CHAPTER ONE

OVERVIEW OF PROPERTY LAW PRACTICE AND APPLICABLE LAWS

A. Generally Applicable Laws

This includes the laws that will be applicable irrespective of the transaction, location of the property or even the parties involved. In the Bar final examination, it is advisable to always provide the generally applicable laws first. This is always asked in the exam; (see **April 2018 Q 1a, April 2019 Q 3f, August 2019 Q 2i, January 2020 Q 6c, Dec 2020 Q 3a).**

The generally applicable laws include:

1. The Constitution of the Federal Republic of Nigeria 1999 (as amended)
2. Land Use Act 1978
3. Stamp Duties Act
4. Illiterate Protection Act
5. Legal Practitioners Act
6. Rules of Professional Conduct 2007
7. Evidence Act 2011
8. Case laws (decided cases which establishes new principles of law)

B. Specific Applicable Law

i. Applicable Laws Based on Location of Property:

The laws that will apply based on location of the property include:

1. **Property and Conveyancing Law 1959**, which is applicable to: **Ogun Oyo, Osun, Ondo and Edo, Ekiti , Delta States.**
2. **Conveyancing Act 1882** which is applicable to the old Eastern and Northern States

Commented [MOU1]:
1.Abia
2.Adamawa
3.Akwa ibom
4.Anambra
5.Bauchi
6.Bayelsa
7.Benue
8.Borno
9.Cross river
10.Ebonyi
11.Enugu
12.FCT – Abuja
13.Gombe
14.Imo
15.Jigawa
16.Kaduna
17.Kano
18.Katsina
19.Kebbi
20.Kogi
21.Kwara – illorin
22.Nassarawa
23.Niger
24.Plateau
25.Rivers
26.Sokoto
27.Taraba
28.Yobe
29.Zamfara

3. Tenancy Law of Lagos State: Applicable to leases in Lagos State

ii. Applicable Laws Based on Transaction

1. Wills Act; this is only applicable in States that do not have Wills Law
2. Tenancy Law of Lagos State (applicable in lease/tenancy)
3. Wills Law Lagos State (applicable for Wills)
4. Administration of Estate Laws of the various states
5. Land Instrument Registration Laws

CHAPTER TWO

VARIOUS PROPERTY LAW TRANSACIONS AND DEED

Most times in the exam, students are asked to identify the various property transactions from a given scenario, as well as the status of parties, the documents/instruments to be executed and the party responsible for the preparation of such documents; (**see Bar Final August 2017 Q 3a and 5a &b, April 2018 Q 1a & 4b, August 2018 Q 1vii, 3(1a&b), August 2019 Q 2ii and January 2020 Q 6a&b)**

The Various Property Law Transactions are:

1. **SALE OF LAND**: This is where the scenario suggests that the parties either wants to buy, purchase, sell or transfer unexpired residue in a land. It is outright transfer of the interest of the owner to the purchaser. Sale of land gives rise to two documents which are:
   a. **Contract of Sale** of **land** or **Sale of Land Agreement**: The parties to the transaction are **Vendor/Purchaser**. The **Vendor's Solicitor** is to prepare the Contract of Sale of Land Agreement. It does not require governor's consent since no legal interest is transferred yet.

b. **Deed of Assignment:** This is the **final instrument to be executed by the parties**. The parties are **Assignor**/**Assignee**. The **Assignee's Solicitor is to prepare the Deed of Assignment** and Governor's consent is required for its perfection.

2. **LEASE AND SUB-LEASE**: This involves the grant of a term of years certain with an understanding that the owner retains a reversion over the property. The nomenclature of the parties and the document/instrument to be executed depends on the term of years granted.

   a. **Tenancy Agreement**: This is prepared where the term of years **is 3 years or below**. The parties are the Landlord/Tenant. The **Landlord's Solicitor** is to prepare the Tenancy Agreement.

   b. **Deed of Lease**: this is prepared where the **term of years is above 3 years**.

      NOTE that if the property over which the lease was created is covered with a Certificate of Occupancy, it will be called a **SUBLEASE**. The parties are Lessor/lessee or Sub-Lessor/Sub-Lessee. The **Lessor's Solicitor** is to prepare the Deed of Lease /Sub-Lease

3. **DONATION OF POWER:** This is where the owner of the property wants to authorize another to act on his/her behalf. It is by **Deed of Power of Attorney** since the donee is always expected to execute a deed. The parties are the Donor/Donee. The **Donor's Solicitor** is to prepare the Power of Attorney.

4. **WILL**: It is a wilful disposition of a person's estate during his life time to take effect upon his death. The parties are the Testator (the maker of the Will), Executors (persons appointed to carry out the instructions in the Will) and Beneficiaries. The **Testator's Solicitor** is to prepare the Will.

5. **MORTGAGE**: This is security transaction usually aimed at securing a loan given to the owner of the property. The document to be prepared if it is a legal mortgage is a **Deed of mortgage**. The parties are the **Mortgagor** (owner of the property and the borrower) and **Mortgagee** (usually the bank giving the loan). The **Mortgagee's (Bank) Solicitor** is to prepare the **Deed of Mortgage.**

6. **GIFT OF LAND**–This is the voluntary transfer or conveyance of any interest in land **made gratuitously** to a recipient and without any consideration paid by the recipient.

There are certain **conditions** which must exist to make a gift of land valid:

a) **It must be by Deed** i.e. **Deed of Gift (Dec 2020 Q 6a)**

b) There must be **intention of the donor to make the gift.**

c) There must be **completed act of delivery to the recipient**; and

d) The **beneficiary must have accepted the gift** – ***Achodo v. Akagha***

POSER

A client has instructed his lawyer to distribute all his properties among his children, what **instrument of transfer** will the lawyer prepare to give effect to the desire of his client. **2009 N0 6b(i)**

Deed of Gift

CHAPTER THREE

DOCUMENTS OF TRANSFER

DEEDS AND DEED OF ASSIGNMENT

Most documents/instruments relating to transfer of interest in land or property law transactions must be made by **DEED**.

DEEDS

A deed is simply defined as a document in writing which is signed, sealed and delivered by the parties to be bound. It may be a deed poll (executed by one party e.g. Power of Attorney) or deed indenture (executed by two or more parties).

Features or the Essential Elements of a Deed

The elements are:

1. It must be in writing: **S.4, Statute of Fraud 1677**
2. Signing: **s.97(1) PCL** It must be signed by the parties because an unsigned deed is inadmissible against the party who has not signed it: ***Faro Bottling CO. Ltd v Osuji***
3. Sealing
4. Delivery: delivery takes place subject to a condition, which may be expressed or by implication and, this is **known as delivery in escrow.**
5. Execution: May be done in the following modes
   a. A director and the secretary.
   b. by two directors or a
   c. A director in the presence of at least one witness.

The absence of a common seal on a deed does not vitiate the document once it was executed in one of the ways above. **Section 103 CAMA.**

6. Attestation

Commented [MOU2]: FOCUS
Delivery is an act done to evince an intention to be bound and occurs when interest passes. See **Jegede v. Citicon Nig.** Ltd.
However, mere physical handing over or delivery without an intention to be bound does not amount to delivery for this purpose. Awojugbagbe v. Chinukwe

Sometimes, delivery takes place subject to a condition, which may be expressed or by implication, and this is known as delivery in escrow. See **Dalfam (Nig.) Ltd. v. Okaku Int. Ltd.**
.
Where a deed is delivered in escrow, it is still binding on the parties. A party cannot back out of a Deed delivered in escrow before the time limited for the condition to be fulfilled. See Dalfam (Nig.) Ltd v. Okaku Int. Limited.

Awojugbabe Light Industries v. Chinukwe it was held that where a deed is executed in escrow, the party executing cannot withdraw from the deed unless the other party fails to fulfil the condition within the time specified

Where a deed is delivered in escrow, the principle of relation back applies.
This is a principle whereby an act relates back to a prior date, from which date it is construed to have taken effect. This means that where a deed is delivered in escrow, the effective date of delivery relates back to the day on which the deed was delivered in escrow and not the date on which the conditions were performed. See *Alan Estates Ltd. v. W.G. Stores Ltd.*

However, **where a deed is delivered on the conditions that it becomes operative on the death of the grantor, it is not in escrow, but a testamentary instrument.** *Governor vs. Guardians of Foulding Hospital & Crane.*

Also, a deed which is delivered subject to a condition and subject to such a right of withdrawal is not an escrow, but merely an undelivered deed.

7. Franking

NOTE THE FOLLOWING EXAM POINTS:

- ⇨ a Deed is valid even if it has no date or that it has a false or impossible date. **See *Anuku v. Standard Bank LTD*.**
- ⇨ **OTTIH v NWANEKWE:** substantial alteration after execution without the consent of the other party will affect the deed
- ⇨ Deed **takes effect from the date of delivery** and not the date of execution. **Awojugbagbe Light Industries v Chinukwe**
- ⇨ Mere delivery without requisite intention to pass the interest to be conveyed will leave the execution incomplete **Awojugbagbe Light Industries v Chinukwe**
- ⇨ **Once a deed has been executed even in escrow, it is too late for the executing party to escape from the effect, PROVIDED the other party fulfils the conditions within a reasonable time if any is not specifically provided ODUSOGA v RICKETTS, Awojugbagbe Light Industries v Chinukwe**
- ⇨ Deed supplemental is used to add or amend an existing deed.
- ⇨ Where land belonging to a family property is sold without the consent of the head of the family, the sale is void. However, where the head of the family consented to the sale of the family property the sale is valid even if he did not sign the transfer document – **Ekpendu v Erika**

FORMAL PARTS OF A DEED OF ASSIGNMENT

- ⇨ This is one the most important sub-topics for the purpose of your Bar exam. There is no bar final without questions asking students to draft one part of a deed or another.

⇨ The most frequently asked part includes; the **introductory part** and the **concluding part**. It is therefore essential for a student to learn how to draft each part; (see **Jan 2020 Q 5a & 6e, Dec 2020 Q 2cii)**

1. **INTRODUCTORY PART**: This part consists of the Commencement, Date, Parties and Recital.
   a. **Commencement**: Usually a deed commences as **THIS DEED OF LEASE or THIS DEED OF MORTGAGE or THIS DEED OF ASSIGNMENT** depending on the transaction.

   b. **Date: MADE THIS…….DAY OF……20……**

NOTE that the deed is still valid without an exact date affixed. This is because the important date is the date of delivery. Another reason is that putting an exact date may attract sanction for the parties since they must register the deed within 30 days from the date stipulated. So the practice is to leave the date until much later; ***see Anuku v Standard Bank PLC*** where the deed remained undated until Governor's consent was given.

   c. **PARTIES**: usually introduced with the word '**BETWEEN'** followed by the names, addresses, occupation must be stated. For Example:

   BETWEEN **Best Trade Limited**, a company registered under the Companies and Allied Matters Act 2020 with its registered address at No 5 Ikewa Close, Zuma (ASSIGNOR) of the one part AND **Bala Linus**, of No 10 Dowadu Road, Bwari, Abuja (ASSIGNEE) of the other part

For Executors: …. (Executor/Executrix of the Estate of …. (Deceased) (the Assignors) of the one Part

d. **RECITALS**: gives the historical background of facts relating to the state of affairs in the present transaction

This is a statement of facts pointing to the background of the transaction. There are 2 types:

a. **Narrative**: This gives the history, background and how the assignor came about the property in issue and;

b. **Introductory**: This explains the intended transaction

DRAFT:

RECITAL or **THIS DEED RECITES AS FOLLOWS**:

1. The Assignor is the holder of a certificate of occupancy No…… over plot….(state the address)
2. The Assignor desires to assign the plot No….. to the assignee for a consideration of sixty million naira

Importance/Function of Recital: (August 2017 Q 1b, April 2018 Q 4e)

a. The Court uses recitals when interpreting deeds to clear ambiguity in the operative part. **Ex Parte Davies, Owoade v Omitola**

b. It estopps parties from alleging contrary state of affairs and is binding on parties. **Olukoya v Ashiru.**

c. **S. 162 Evidence Act**: recitals contained in documents 20 years old or more at the date of the contract are presumed to be sufficient evidence of the truth of the facts stated in those recitals except they are proved otherwise.

Commented [MOU3]: Recitals may also constitute presumptions. **Section 162 Evidence Act**

2. **<u>OPERATIVE PART (note sometimes you may be asked to list the contents of the operative part without drafting, see Bar Final 2015, 2017, April & August 2018 and 2019):</u>** it consists of the following clauses:

   1) Testatum,

   2) Consideration,

   3) Receipt Clause,

   4) Capacity,

   5) Words of grant,

   6) Parcel clause

   7) Habendum.

   a. Testatum: It introduces the operative part of a deed. It commences with: **'NOW THIS DEED WITNESSES AS FOLLOWS'**

   b. Consideration Clause: This is the amount for which the assignor is giving the property to the assignee (demised). The **importance** is that it shows that the transaction is not a gift; also it helps in calculating the amount to be paid as stamp duties; (**August 2017 Q 1b).**

   Example: 'In consideration of the sum of……paid by the Assignee to the Assignor'

   c. Receipt Clause: it discloses that the vendor has collected the money for the property. Once inserted, it dispenses the necessity of issuing another receipt to the assignee. **It is usually in bracket**.

   Example: (**the receipt of which the Assignor hereby acknowledge**).

FUNCTIONS OF RECEIPT CLAUSE - Focus

1) Makes it **unnecessary to issue a separate receipt**. **S. 54 CA, S. 92 PCL**
2) It is **serves as prima facie evidence of payment of consideration** **S. 55 CA, S. 93** PCL
3) Authority to the purchasers' solicitors to pay the balance of purchase price to the vendors solicitor where he produces the conveyances duly executed by the vendor. **S. 56 CA, S.94 PCL**
4) **Helps to determine the amount payable as stamp duties**

d. **Capacity Clause**: It guarantees the title of the assignor to the property. Usually, the best capacity is for the Assignor to assign as a '**BENEFICIAL OWNER'**

e. **Words of Grant**: it could be '**Hereby Assign'**, '**conveys'** or '**demise'**. However, once you start with assignor, you must use the word 'assign'.

f. **Parcel Clause**: This is proper description of the property. The property must be sufficiently described to satisfy the requirement under the law. Usually starts thus '**ALL THAT PARCEL** of land situate……..

g. **Habendum**: It describes the estate that is going to the assignee for e.g. '**TO HOLD UNTO** the assignee all that unexpired residue of the term of years in the certificate of occupancy NO. KN903 subject to Governor's consent".

Commented [MOU4]: MCQ
IT DESCRIBES THE EXTENT AND QUANTITY OF THE PROPERTY SOLD

Commented [MOU5]: PARTICULARS OF REGISTRATION

3. **MISCELLANEOUS PART**: This part contains extraneous details in the deed which may consist of the clauses for undertaking for safe custody and periodic production.

   ⇨ **Safe Custody and Acknowledgment for Production clause** is to be **inserted in the deed when a particular document relates to several properties among which the assignee has assigned some part of the property.**

This is because the document contains several properties, it cannot be given to the assignee but the deed will contain an undertaking that the assignee can see the document whenever he asks for it.

ESSENCE OF SAFECUSTODY – Re Dutty & Jesson (exam focus)

a) **Undertaking by the assignor to keep the original title documents in safe custody**
b) **Acknowledgement of the right of the assignee to the production of the original title documents whenever he wants**
c) **There should be an endorsement of the transfer of the part of the land on the original title documents kept by the assignor**

4. **CONCLUDING PART** the concluding part consists of the following clauses Testimonium, Schedule, Execution clause, Attestation; **January 2020 Q 2b & 6e.** It is one of the mostly asked part in the exam together with the introductory part**.**

   ⇨ **Testimonium**: **"IN WITNESS OF WHICH THE PARTIES HAVE EXECUTED THIS DEED IN THE MANNER BELOW THE DAY AND YEAR FIRST ABOVE WRITTEN"**

Commented [MOU6]:
CLAUSE TO PROTECTION OF PURCHASER

•Undertaking for safe custody

•Acknowledgement of right and undertaking to produce original title document

NOTE: This is the clause that connects the parties to the contents and covenants in a DEED (MCQ)

In the exam you may be asked to draft only the testimonium)

- **Execution and Attestation**: This is the signature of the parties and their witnesses. For Example:
- **SIGNED, SEALED AND DELIVERED** by the Assignor/Lessor/Mortgagor

  ……

  Mr Aims Sam

ATTESTATIION:

IN THE PRESENCE OF:

Name……

Address……

Occupation……..

Signature…….

SCHEDULE CLAUSE: SURVEY PLAN NO., PARTICULARS OF PPTY

ENDORSEMENT FOR GOVERNOR`S CONSENT:

I CONSENT TO THE TRANSACTION CONTAINED IN THIS DEED.

DATED THIS ..... DAY OF ....., 20.....

_____

EXECUTIVE GOVERNOR, PLATEAU STATE, NIGERIA

OR

I CONSENT TO THE TRANSACTION CONTAINED IN THIS DEED

SIGNED ……

GOVERNOR (OYO STATE)

(Repeat the same sequence for the second party)

If any of the parties is a company it will be drafted in 3 way Section 102 CAMA:

THE COMMON SEAL OF ABZ PLC IS HEREBY AFFIXED TO THIS DEED AND WAS DULY DELIVERED IN THE PRESENCE OF

……. **……..**

DIRECTOR **SECRETARY**

OR

SIGNED, SEALED AND DELIVERED by the within named assignor

……

Director

IN THE PRESENCE OF:

Name……

Address……

Occupation……..

Signature…….

OR

SIGNED, SEALED AND DELIVERED by the within named assignor/mortgagee

…… **…….**

Director **Director**

<u>If any of the parties is an illiterate/blind, a jurat will be included thus–</u>

SIGNED, SEALED AND DELIVERED by the Assignor

…….

Mr Aim Sam (Blind/Illiterate)

{The foregoing having been first read (aloud if blind) OR interpreted by me…….from English to Igbo language **when he appeared to have perfectly understood the contents before he affixed his thumb print or mark**}.

<u>If by a Holder of a Power of Attorney: March 2021</u>

SIGNED SEALED AND DELIVERED by the Assignor

……..

Name of donor…

{**Through his Lawful Attorney (name of donee) duly appointed by a Power of Attorney dated…..day of….20….. and registered as 11/222/20**}

PERFECTION OF DEEDS

All transactions that are by deed needs to be perfected in accordance with the relevant applicable laws**.**

This involves the following:

1. Obtaining the **<u>Governor's Consent</u>**, **S. 22(2) of the Land Use Act**
2. **<u>Stamping</u>** the Deed of assignment (within 30 day of creation of the document)
3. **<u>Registration</u>** (within 60 days of the creation of the document).

CSR-Consent, Stamping and Registration. (It is usually asked in MCQ)

Commented [MOU7]: MCQ
AUTHORITY OF THE ATTORNEY

ENUGU CAMPUS
SIGNED SEALED AND DELIVERED by the lawful/appointed attorney of the within named assignee by virtue of a POA **dated…..day of….20….. and registered at No ….. Page ….. of the lands registry in Ikeja, Lagos state**

SIGNED SEALED AND DELIVERED THE ASSIGNEE THROUGH HIS LAWFUL ATTORNEY (NAME) by virtue of Power of Attorney dated…… and registered in No….. At page….. volume..... At the land registry, IBADAN

Commented [MOU8]: POSER:
ADVISE PARTIES ON NEED OF PERFECTION OF A TRANSACTION

Consent-
STATUTORILY required by S. 21 & 22 LUA, no alienation of legal interest without consent of the Governor or approval of LG council, SAVANAH BANK V. AJILO)

Stamping – REQUIRED, OTHERWISE
1.not accepted for registration S. 77 LRL

2.Deed is inadmissible in court to prove title until stamping fee and penalty is paid s.23

Registration- REQUIRED, OTHERWISE
1.Interest of purchaser remains equitable

2.Deed is inadmissible in court to prove title (REMEMBER Benjamin v. Kalio; Abdullahi v. Adetutu

DEED OF ASSIGNMENT – OYO state Procedure for consent
1.consent of the Governor - STATUTORILY THE VENDOR, S. 21 & 22 LUA, SAVANAH BANK V. A … [1]

Commented [MOU9]:
IMPLICATION OF NON-REGISTRATION OF A SALE TRANSACTION UNDER LRL

THE LAND REGISTRATION LAW IS APPLICABLE IN THE WHOLE OF LAGOS STATE IRRESPECTIVE OF THE AREA WHICH PROPERTY IS LOCATED (**1 MARK**)

1.**Un**Registered Document shall NOT be admissible to prove that the interest/transaction s. 6,24, 30, 108, & 109(2) LRL

2.Document not registered shall not be admissible in court as affecting the land to which it relates s. 30 LRL

3.Late registration attracts fine s. 28 LRL

4.Registration governs priority s. 29 LRL

… [2]

The Effect of Failure To Perfect Title To Property

This will be discussed based on the various aspect of perfecting title in the main topics.

- ⇨ **Failure to Obtain the Governor's Consent** as regards land in a State or the Minister's consent when dealing with land in Abuja.

1. It makes the legal transfer of interest to be void: ***Savannah Bank v Ajilo***; section 22 **Land Use Act**
2. Makes the interest equitable or inchoate, see ***Awojugbagbe Light Industries v. Chinukwe.***
3. The **purchaser's interest will lose priority where a subsequent purchaser without notice** of the previous purchase registers his interest. **Fakoya v Saint Paul's Church, Sagamu**; **Okoye v Dumez Nig Ltd.**

- ⇨ **Failure To Stamp the Deed:**

1. Penalty will be paid as fine for late stamping
2. Registrar will not accept it for registration

- ⇨ **Failure To Register the Deed**

1. The interested party will not have priority over the land
2. It will only vest equitable interest in the owner
3. Late registration also attracts penalty.

Documents/Transactions That Must Be By Deed/Under Seal

1. Transfer of title to land by Assignment; Deed of Assignment
2. Lease above 3 years; Deed of Lease/Sub-lease
3. Legal Mortgage; Deed of Mortgage

4. Gift of Land; Deed of Gift
5. Power of Attorney where the donee is expected to execute a deed; Deed of Power of Attorney

<u>Documents/Transactions That Need Not by Deed/</u>Seal (September 2015 Q 3c, April 2018 Q 4e)

1. Lease below 3 years; Tenancy Agreement
2. Will
3. Surrender by operation of law
4. Assent
5. Statutory receipt
6. Court vesting order
7. Disclaimer

⇨ **The Particulars of Instructions Needed to Draft a Deed generally are: (focus)**

1. The particulars of the parties
2. The particulars of witnesses
3. Description and location of the property
4. The history of the title to the land (abstract)
5. Consideration
6. Covenants and undertakings
7. Capacity of the parties
8. The quantum of interest given in the transaction (Habendum)

POSSIBLE EXAM QUESTIONS FROM THIS TOPIC

1. **Identify the transactions to be entered into by the parties in the above scenario.**
2. **Mention the document(s) to be executed in respect of each transaction and who should prepare the said document.**
3. **Draft the introductory and concluding parts of the document to be executed by the parties in respect of the identified transaction.**
4. **Draft only the <u>testatum</u>, <u>consideration</u> and the <u>receipt clause</u> of the final document the parties will execute in the transaction.**
5. **Mention five laws that will be applicable in the transactions identified by you above.**
6. **State five transactions that must be under seal.**

CHAPTER FOUR

POWER OF ATTORNEY

a document executed by one person (Donor) which empowers another person (Donee, attorney or constituent) to represent the former for certain purposes **Abubakar v Waziri**. **Donor prepares the instrument**

FEATURES OF POWER OF ATTORNEY (EXAM FOCUS)

This is where most of the questions asked about Power of Attorney are centered). So take note of the following features of a POA

1. A Power of Attorney is an instrument of delegation. **It is not an instrument of alienation and cannot be used to transfer interest in land** ***Ude v. Nwara, Chime v. Chime.***

2. A Power of Attorney is usually in the form of a **Deed Poll**, (i.e., an instrument executed by only the Donor).

   NOTE: that it is advisable for the donee to also sign the POA if he gave a consideration for it or if it was made in fulfillment of an obligation**.**

3. Power of attorney **should be given in writing and not orally** **Raine v Odibo** **i.e** not through a phone call

4. A POA need not be by **deed** **EXCEPT** **where the Donee in exercise of the power will be expected to execute a DEED** **(**for example where the donee is authorized to sale land or create legal mortgage or lease above 3 years); ***Abina v. Farhat; Powell v London and Provincial Bank***

i.e For a Donee of a Power of Attorney to transfer a property by Deed, the instrument appointing him must be by Deed. **The Donee of a Power of Attorney cannot make a transfer of an interest in land if he was not appointed by Deed.**

5. **As long as the donee acts within the scope of the power of attorney, he incurs no liability, and if there is a liability, it is the donor that bears it**–***Ude v. Nwara***.

6. The **Donor of a POA can still exercise the powers conferred on the donee without restriction**. **This will only result to implied revocation** of the POA; ***Chime v. Chime***.

7. The **donee of a POA cannot sue in his own name but must sue in the name of the donor. Ude v Nwara**

8. A POA **DOES NOT** transfer an interest in land and is not an instrument of alienation, **therefore it does not require a Governor's consent** - **Ude v Nwara** 2011

9. A POA given in respect of family property must be executed by the head of the family as one of the donors or as the sole donor with the concurrence of the principal members of the family; **OTHERWISE IT IS VOID;** ***Ajamogun v. Oshunrinde***

Commented [MOU10]:
The position of the law is that any transaction involving a family property must consented to by the family head and all the principal members of the family; *Ekpendu v Erika*.

Therefore, where the property is a family property **the appointment of an attorney will not be valid without the consent of the family head and the principal members**

10. It is revocable except where it is expressed to be irrevocable; that is where it is coupled with consideration or where it is expressed to be irrevocable, usually for a limited period not exceeding 12 months.

11. **The Donor and the Donee must both be legally capable** (i.e. juristic persons) at the day of creation and throughout the period covered by the Power of Attorney. Therefore a POA given to a firm of lawyers without a named Legal practitioner or to an office **without a named occupant IS VOID/INVALID**; ***National Bank of Nigeria v. Korban Brothers***

12. It attracts fixed stamp duty and does not require the consent of the Governor since it does not transfer interest in land; ***Ude v Nwara***.

13. To be presumed validly executed, the deed creating the power, **if executed outside Nigeria it must be witnessed by either a notary public or a judge, or magistrate**: **S. 150 Evidence Act; Ayiwoh v Akorede**

Note: A notary public by the Law of Nations has credit everywhere; **Hutcheon v Manington**

Note: That a Power of Attorney can be given to more than one Donee the instrument must however state

a. **whether the donor is to be bound by the joint act of the donee**
b. **What specific acts are to be carried out by each donee.**
c. **whether upon the death of one donee, the surviving donee can execute the powers.**

Note where a POA empowers the donee to transfer interest it is valid if done by him. An **exception** to this was made in **IBRAHIM v OBAJE**.

It was held concerning using Power of Attorney to transfer title following **factors must be present**:

1. The **POA must be backed with value and declared to be irrevocable.**
2. The **Justice and equity of the case must be considered** rather than technicality
3. The **intent of the parties in the transaction must be considered** (that an alienation of interest in the land was intended).
4. The **transaction must be non-contentious and no conflict of interest**.
5. S. 22 of LUA should not limit or deny the rights of parties to use land in a non-contentious transaction.
6. The plaintiff could commence action in his name as he was not the donor's agent and neither was he meant to act on behalf of the donor of the Power of Attorney.

Wrong Practice with Power of Attorney

1. Some people use Power of Attorney **to avoid paying stamp duties *ad valorem* for assignment.**
2. Power of Attorney is **wrongly used to circumvent governor's consent.**
3. Power of Attorney is wrongly **used to avoid paying taxes in the form of registration fee.**

Commented [MOU11]:
IBRAHIM v OBAJE (An Exception to the General Rule) AND THE PRACTICE IN ABUJA
It is usually very difficult for consent to be given for a vacant land in Abuja. POA has been used as a device to help purchasers deal with the land pending assignment. PoA can be used to protect a purchaser from subsequent dealings on the land.

Importance and Need for Power of Attorney (April 2019 No 4)

1. **Unavailability of the Donor**; ***Ezeigwe v. Awudu; Chime v. Chime***
2. **Where expert skills of the donee is required.**
3. **Ill health or physical impairments of the donor**
4. Title is not transferred but donor wants donee to deal with the property to secure interest of a purchaser pending the perfection of title of purchaser or performance.
5. **Where the estate is vast and cannot be effectively managed by the donor:** **S. 46, 47 CA and S. 141 PCL; *Chime v Chime***

Distinction between Power of Attorney and Sale of Land(focus)

1. **Power of Attorney does not transfer interest** in land while **conveyance transfers interest in land.**

2. **Power of Attorney may not require Governor's consent** while a **conveyance always requires the consent of the Governor**: **S. 22 Land Use Act**

3. Power of Attorney is usually **executed by one party (deed poll)** while in a **conveyance, both parties execute it (indenture)**

4. **Deed is mandatory in a sale of land** and **not for Power of Attorney**

5. **Sale of land is only for land** while **POA can be for any transaction.**

REVOCATION OF POWER OF ATTORNEY

A Power of Attorney may be revoked in any of three ways namely:

a) Express revocation;

b) Implied revocation

c) Revocation by operation of law; and

1. **Express Revocation–**Power of Attorney is governed by the rules of agency. Accordingly, in keeping with the rule that he who hires reserves the right to fire; the donor can expressly fire the donee or revoke the power. Note however, that **where the appointment is by deed, the power must be revoked by deed** – ***Adegbokun v. Akinsanya; Ojugbele v. Olasoji***

2. **Implied Revocation –** This occurs where the donor after giving a Power of Attorney to a donee, **still goes ahead to deal with the subject matter of the PoA in such a manner that makes it impossible for the donee to effect his authority under the POA**; ***Chime v. Chime*.**

The donor **cannot challenge such exercise but may sue for damages for wrongful revocation or return of the consideration if any**. – **August 2011**

3. **Revocation by Operation of Law –** Power of Attorney is **deemed revoked by operation of law if the donor suffers death, insanity, liquidation, bankruptcy or other legal incapacity**–***Abina v. Farhat* (supra); *UBA v. Registrar of Titles*.**

   An EXCEPTION is where the power is coupled with interest/consideration or it is fixed for a period of time not

exceeding 12 months, then the death, lunacy, or bankruptcy of the donor WILL NOT AFFECT THE POWER.

NB - focus

Whether the death of a donor of a Power of Attorney will revoke the Power of Attorney depends on:

1. it is given for a valuable consideration in which case the death of the donor cannot revoke it until the purpose for which it is given is realized. Section 143 PCL; Section 8 CA. **Labadebi v Odulana.**
2. it is expressed to be irrevocable (even without consideration) for a period of time, not exceeding 12 months in which case the death of the donor cannot revoke it until the expiration of that time. Section 144 PCL; Section 9 CA.
3. it is revocable in which case the death of the donor will revoke it.

NOTE – *(focus)*

that Power of Attorney **can be invalidated if fraud, duress or undue influence is established** (whether or not valuable consideration has been furnished)–***Agbo v. Nwikolo.***

If the **donor grants another power of attorney in respect of the same subject matter, it cannot be taken to be an implied revocation of the original one. The subsequent grant of a power of attorney is invalid. Adegbokan v Akinsanya**

IRREVOCABILITY OF POA

A POA is irrevocable in 2 ways:

1. Where the POA is given for valuable consideration and expressed to be irrevocable: **s. 143 PCL; s 8(1) CA.**

2. Where the POA was made irrevocable for a fixed period (**not exceeding 12 months**) whether given for valuable consideration or not: **s. 144 PCL; s. 9(1) CA.** Bankruptcy, death, lunacy or no consideration cannot lead to revocation of the POA within this time period

Under the above circumstance a POA cannot be revoked until the benefit for which it was conferred has been repaid: ***UBA v Registrar of Title***

i.e the power exercised by the donee is not vitiated irrespective of the death, lunacy, insanity, bankruptcy, etc. of the donor until the consideration is realised, or the time expires.

CONSTRUCTION OF POA (MCQ & Theory)

The powers conferred in a POA are strictly construed: Thus, the donee can only exercise such powers that were expressly stated in the POA. This is to ensure that the donee does not exceed the power conferred on him. **NBA v Iteogu, Jacob v Morris**.

In another vein the donee is restricted to the exercise of the powers expressly given **and cannot rely on the general power clause to add or depart from the specific powers**; ***Abubakar v Waziri; NBA v Iteogu.- March 2021***

Donee cannot vary or contradict specific provisions. **See NBA v Iteoga**

Ejusdem generis rule is applied to construct general powers. See **Abu V Kuyabana**.

The omnibus clause: **"and to do other things expedient, necessary, lawful as the donor would have done"** does not add additional powers to the donee than that specifically stated; ***Jacobs v Morris***. – (**March** 2021)

Protection of Third Parties (April 2019 Q 4iv)

A third party who had acted with the Donee based on a Power of Attorney which later was revoked is protected by Law on the following:

a) Where the **third party is a *bona fide* purchaser for value without notice of the revocation of the owner, his interest will be protected.**

b) Where the **donee makes a statutory declaration within 3 months to the effect that he has not received any notice of the revocation of the power of attorney** by death or otherwise, **this will be regarded as conclusive proof of such non-revocation at the time when such payment or act was made or done.**

FORMAL PARTS OF A POWER OF ATTORNEY (You may be asked to draft a full POA in the Exam April 2019 Q 2b & 4a, August 2019 Q 4e)

1. **Commencement Clause**–(Date is viewed as part of the commencement). "**BY THIS POWER OF ATTORNEY" Or simply "THIS POWER OF ATTORNEY**"

2. **Date Clause**–should be left blank because if dated, one must register and stamp it within a certain period in order to avoid penalties. The presence of a false or impossible date does not invalidate the POA. A POA takes effect from the date stated on it **Anuku v Standard Bank** E.g. "**Made this……..…day of……..20……**"

3. **Recital Clause** – where a donor or donors seek to show that they have the consent of other principal members of the family to give the power of attorney.

4. **Appointment Clause**–this will have 3 things: name & address of donor; name & address of donee; and the fact that the donor appointed the donee. For example:

   "I, (**name of donor**) of (**address**), **HEREBY** appoint (**name of done)** of (address should be here) to be my true and lawful Attorney **to do all or any of the following acts or things namely:**

5. **Power and Authority Clause** – It provide thus: itemize the acts
   a. To collect rents on my property known as No. 7 Osogbo Street…

6. **Omnibus/General Power Clause**:
   "AND to do all and any other things necessary and incidental for the carrying out of the powers created above"

7. **Irrevocability Clause -** To take the benefit of the statutory protection of third parties which has already been discussed, it is important that a clause should be inserted to the effect that:

   "**AND IT IS DECLARED that in consideration of the sum of N50, 000.00 (Fifty Thousand Naira) only paid to the donor by the donee (the receipt of which the donor hereby acknowledges) this Power of Attorney shall be irrevocable**

Or

"AND I DECLARE that this Power of Attorney shall be irrevocable for a period of twelve months from the date of its execution

8. **Testimonium Clause –** a clause is inserted thus:

   "**IN WITNESS OF WHICH THE DONOR HAS EXECUTED THIS POWER OF ATTORNEY IN THE MANNER BELOW THE DAY AND YEAR FIRST ABOVE WRITTEN**"

9. **Execution Clause:**

   "SIGNED, SEALED AND DELIVERED by…… (Name of the Donor) (if it is by deed)

   N.B - 2010

   There is no special precaution in the execution of POA, but to raise a presumption of due execution. It could be attested to by a Notary Public, Magistrate or Judge. Ayiwoh v Akorede

Commented [MOU12]: MCQ EMPHASIS
A POA MUST BE ATTESTED BY A MAGISTRATE OR NOTARY PUBLIC BEFORE IT CAN ENJOY THE PRESUMPTION OF DUE EXECUTION AND MUST BE BY DEED IF IT EMPOWERS THE DONEE TO EXECUTE A DEED

10. **Attestation and Authentication-**Attestation facilitates proof of execution. Attestation goes thus:

    "IN THE PRESENCE OF"

    Name…..……

    Address……

    Occupation……

    Signature/MARK:……..……

FRANKING

Prepared by:

Information Needed From the Client for Drafting POA - focus

1. Particulars of the Donor and Donee
2. Purpose of the Power of Attorney (powers donated)
3. Particulars of the witness
4. Whether or not it shall be expressed to be irrevocable
5. Whether or not it shall be given for valuable consideration and if yes, what is the consideration
6. Particulars of the properties covered by the POA

Perfection of a Power of Attorney

The perfection of Attorney is **only restricted to stamping and registration.** This is because no interest in land is transferred by power of attorney.

Consent to Power of Attorney

In **Lagos** State, a power of attorney relating to sublease of state lands or certificate of occupancy must have the consent of the governor. **S. 57 LRL**

STAMPING

Generally, Power of Attorney attracts a **fixed stamp duty of N50**. Stamping is necessary for it to be admissible in Court. It will be stamped 30 days after execution.

REGISTRATION

registrable under the **Land Instrument Registration Law** applicable to the State where it is used. In most states, Power of Attorney is registrable **within 60 days after its execution**.

POSSIBLE QUESTIONS FROM POWER OF ATTORNEY

1. **Mr James intends to sell his house at Bwari Abuja but wants his younger sister to represent him in the transaction, advise him on what to do to ensure that his intentions are actualized.**

Answer: I will advise him to execute a power of attorney in favour of the sister**.**

2. **Mention 3 other instances that you may advise Mr James to take the same step above.**

   Answer: list the circumstances when POA is required as stated in the note**.**

3. **Draft the instrument of appointment (August 2018 Q 2a, April 2019 Q 4a)**

4. **Assuming the donor sold the property before the donee could do so, comment on the validity of the sale. What is the implication of the sale in respect of the power of attorney?**

   Answer: a donor has the legal right to deal directly with any property over which he had given a power of attorney; therefore the sale is valid**,** ***Chime v Chime.*** The implication of the donor personally selling the property is that the power of attorney is impliedly revoked

CHAPTER FIVE

CONTRACT OF SALE OF LAND I & II

This is one of the most important and frequently asked questions in the exam. It can form a full question and may appear in countless questions.

Vendor Solicitor Prepares the Document

Commented [MOU13]: MCQS
HE PREPARES THE PRLIMINARY INSTRUMENT TO BE EXECUTED BY THE PARTIES BEFORE ABSOLUTE TRANSFER OF INTEREST

Limitations to Acquisition of Interest in Land (January 2020 Q 6f)

A person can acquire an interest in land either by inheritance, gift or by purchase. However, there are some restrictions to this right. It includes**:**

1. **Age**. section 7 of the **Land Use Act** **a person that is not up to 21 years** of age cannot acquire interest in landed property directly. (focus)
2. **Customary restrictions** on transfer of customary or family lands without the consent of the communal or family head.
3. **Statutory restrictions**: for instance, **section 22** of the Land Use Act **provides for the consent of the Governor to be obtained before any transfer of interest in land.**
4. **Town Planning Laws and Regulations**
5. Restriction on transfer of land to foreigners **without the approval of National Council of States; S. 46 Land Use Act. (focus)**
6. Restriction on sale of lands belonging to statutory bodies or government agencies or ministries without the **consent of the Minister**; ***Rocknoh Properties Ltd v NITEL PLC***

7. **Doctrine of *lis pendis***. Once there is a pending dispute in respect of title over a landed property, no sale of such land pending the dispute will be valid; ***Bua v Dauda***

8. **Contractual Restrictions**

TYPES OF CONTRACTS OF SALE OF LAND

1) **ORAL/PAROLE CONTRACT**: As the name implies, it is a sale of land without any written agreement. **It is generally unenforceable in law** by virtue of **section 4 of the Statute of Frauds** and **section 67 PCL**A good example is Sale of land under customary law. This is because writing is not a requirement for sale of land under customary law; see **section 3 Law Reform (Contracts) Ac**t which expressly excludes sale under customary law; ***Alake v Awawa*.**

Disadvantage of Oral /Parole contracts - focus

a) **The terms are difficult to ascertain and therefore the whole transaction is subject to judicial discretion**

b) **Money paid is unrecoverable where purchaser defaults Thomas v Brown**

For oral sale of land under customary law to be valid, the following **conditions must exist**: **(August 2017 Q 3b)**

a. **The purchase price must be paid fully,**
b. **Purchaser must take possession**
c. **Presence of at least two witnesses**; ***Adedeji v Oloso***

NB – no attestation MCQ

2) **OPEN CONTRACT**: This is sale of land that is in writing but the parties only provides for the barest minimum requirement of the Statute of Frauds by providing for the **PARTIES**, the **PRICE** and the **PROPERTY** (the 3Ps). However, the terms of the sale are left out.

Once the agreement is signed by both parties it is a sufficient memorandum of sale and thus enforceable Gaji v Paye .

Several documents have been held to be examples of open contracts: **Focus**

a) In ***Akpara v UAC***: **a letter**

b) In ***Odusaga v Rickkets***, **a Receipt** was held to be open contract; (**focus**)

Once the parties to a sale of land enters into an open contract (i.e **where the purchaser makes part payment and was issued a receipt) the purchaser acquires an equitable title and vendor cannot validly sell the land to a third party**

c) **Rough draft of agreement Gray v Smith**

d) Written offer accepted whether wholly or orally in writing **Powers v Fowler**

e) Several documents connected together Pearce v Gardener

Advantages/Implications of an Open Contract: (August 2016 Q 1b)

a. It is **binding on the parties**
b. **Its enforceable** under S. 4 statute of frauds
c. It is a **sufficient act of part performance and can sustain an order for specific performance**; ***Odusoga v Rickkets.***

d. **Death of any of the parties will not extinguish the contract.**

Disadvantages of Open Contract

a. The important terms/covenants are orally agreed upon and left to be implied by law.
b. Also, the purchaser does not have the opportunity to investigate the title of the vendor; **Paye *v Gaji*.**
c. It is more difficult to prove if dispute should arise.
d. The purchaser in most cases acquires only an equitable title over the property.

3) **FORMAL CONTRACT–**This is a modern form of sale of land wherein the parties pass through the formal stages laid down for legally transferring the legal interest to a purchaser**.** This is the preferred option which every legal practitioner should advice on.

ADVANTAGES OF FORMAL CONTRACT

This is important as they may ask you in exam to advice the parties on why they should enter into a formal contract of sale of land; **see Bar Final April 2018 Q 5a, August 2019 Q 5a, Dec 2020 Q 2a)**

1. The purchaser protects himself by having **more time to investigate the title being transferred before the execution of the deed of conveyance.**

2. The **death of either party to the transaction does not terminate the contract as their personal representatives can proceed with the transaction and complete the sale** –***Yusuf v. Dada*.**

3. **None of the parties can withdraw from the contract midstream** without being liable for breach of the terms of the contract.

4. The vendor cannot unilaterally and subsequently increase the purchase price since this has already been fixed in the contract. **Therefore, prevents gazumping.**

5. It is **easier to enforce the terms of the contract.**

6. **Crystallizes the position of the parties at an early stage**

7. The terms of the contract having been expressly agreed to, the position and rights of the parties are express and not implied.

8. **Fixtures and fittings may be transferred under a formal contract** and **it reduces the amount payable as stamp duty.**

9. Parties may take special advantages under the contract by providing for specific matters they may not otherwise be able to do.

10. May confer special advantages on either of the parties: for example, possession before completion

Terms or Clauses in Formal Contract/Particulars of Sale

Commented [MOU14]:
1.NATURE OF INTEREST, CAPACITY OF the vendor
2.DATE & PLACE OF COMPLETION
3.DEPOSIT / PART PAYMENT
4.BALANCE OF PURCHASE PRICE
5. INTEREST ON UNPAID PURCHASE PRICE
6.COMPLETION DATE
7.POSSESSION BEFORE COMPLETION
8.RISK AND LIABILITIES
9.FIXTURES AND FITTING
10.INDEMNITY

1. **CAPACITY (in which vendor is conveying):** the vendor may convey as beneficial owner, trustee, mortgagee etc. it must be expressly stated. This determines covenants to be implied in to the conveyance at completion. In instances where a vendor conveys as a **BENEFICIAL OWNER (this is the preferable one**) for valuable consideration, (contract of sale and mortgage) 6 (six) covenants are implied by law. These are (**bar final August 2018 Q 1i)**–

   Implications of conveying as a beneficial owner - 7 (a) and(b) CA, and Section100(1)(a), parts I and II 2nd schedule PCL

   a. That the **vendor has the right to convey.**
   b. That the **purchaser will have quiet enjoyment/possession**.
   c. That the **property is free from encumbrances EXCEPT those disclosed in the contract**
   d. Further assurance to **indemnify the purchaser in the event of a claim by an adverse party on the property**

FOR LEASE, ADD THE ABOVE PLUS:

a. That the lease is valid and subsisting;
b. the rent has been paid and the covenants of the lease performed/observed.

IMPLICATION FOR MORTGAGE:

a. The power of sale has become arising and exerciseable.
b. All conditions precedent have been complied with.

2. **PAYMENT OF DEPOSIT**: It is money paid by the purchaser as guarantee of his or her commitment to complete the sale at the initial stage of the transaction. They must agree on the deposit which is usually 10% of the price. **Thomas v Brown, Re Hoyle**

   USE: (May 2011)

   It's an indication of the commitment and willingness of the purchaser to complete the transaction and the agreement of the vendor not to transfer the property to another person **Thomas v Brown,**

Importance of Payment of Deposit (Bar final August 2019 Q 5c, April 2018 Q 5bi)

a. It ensures **commitment on the side of the purchaser**
b. It **prevents the vendor from selling the property to another person**
c. It is also a **sufficient act of part performance**. **UBA v TEJUMOLA & Sons**

POSER:

What's the Status of the parties to a contract of sale of land after the receipt of deposit of the purchase price. **August 2011 No 6B(a)**

After the payment of deposit by the purchaser, the purchaser becomes the equitable owner of the land, but can lose this right if he defaults in paying the balance of the purchase price at the agreed time – **Tiley v Thomas, Odusoga v Ricketts**

The Vendor remains the legal owner of the property but becomes a trustee of the legal estate in the property to the Purchaser.

Difference Between a Deposit and Part-Payment:

a. A **deposit is a mere security/show of commitment** on the part of the purchaser to complete the transaction in due course.
b. Part payment presupposes that the contract is concluded and binding
c. Part payment is a part of the agreed purchase price while deposit will form part of the purchase price if the transaction succeeds
d. Part payment is always recoverable while deposit will be forfeited if the purchaser defaults; ***Edosa v Zacalla***

Capacity For Which a Solicitor May Hold Deposit (Exam Focus)

The solicitor may hold the deposit either as an **AGENT** or a **STAKEHOLDER**; **Rockeagle *Ltd v ALSOP*.**

If he takes as an Agent:

a) He **receives the money on behalf of the vendor** or as agent of the **vendor only.**
b) The solicitor is **bound to remit the money to the vendor.**
c) The solicitor is **liable to pay interest on the deposit.**
d) The vendor is **liable to the purchaser where the deposit is misappropriated**. ***Sorrel V Finch***

If he takes as a **STAKEHOLDER**, he will be acting as an agent of both parties. This is **PREFERABLE** because **he is not obliged to release the money for either of the parties until the party is obliged to take it. Also he will be entitled to keep any interest accruing from keeping the deposit**; **(Dec 2020 Q 3f).**

ALTERNATIVELY

Commented [MOU15]: Comment on the propriety of the action of a Legal Practitioner who was paid money as a Stakeholder and he paid it into his personal account. What are the remedies available against him under the LPA. 2010 No 1a (vi)

A Legal Practitioner is in a fiduciary relationship with his client and is mandated by the Rules of Professional Conduct to pay all monies received on behalf of a client into a client account. It is professional misconduct for a legal practitioner to intermingle client money with his. **Rule 23(1) RPC 2007; Section 20 Legal Practitioner's Act; Legal Practitioner's Account Rules**. **NBA v Iteogu; NBA v Udeagha.**

By **Section 12 LPA**, the remedies available against the Legal Practitioner include
1.striking off the name of the lawyer from the roll;
2.suspension from practice; and
3.admonition.

a) The solicitor is the trustee of the money.

b) The solicitor has personal responsibility to keep the money safe.

c) The solicitor will be liable for any loss of the money.

d) The solicitor is **not liable to pay interest on the deposit.**

e) The solicitor is liable to pay the money to vendor **in the event of default by the purchaser to complete the transaction.**

f) The solicitor **is to pay the money to the purchaser where it is the vendor's default in completing the transaction**

g) The solicitor **becomes an interpleader and he is obliged to pay the party who eventually becomes entitled to it:**

If the contract fails, he hands over the deposit to whosoever is entitled depending who was responsible for the failure. (If it's the fault of the purchaser the deposit is handed over to the vendor and if that of the vendor it is handed over to the purchaser). ***Sorrel V Finch***

NOTE: The Solicitor is expected to deposit the money into the client's account **and avoid mixing same with his personal money**; **R 23 RPC**.

3. **BALANCE AND INTEREST ON UNPAID BALANCE**: **The balance is paid at completion**. Where purchaser is in default, interest is chargeable, which is 4% at common law. ***Esadile v Stephenson***. However, it is advisable to provide for the going rate (commercial rate or CBN rate, usually 11-12%). If this is not expressly provided for in the contract of sale, then common law rate of 4% applies.

4. **DATE OF COMPLETION**: Generally, time is not of the essence in a contract of sale of land. **It is usually completed within reasonable time**; ***Reynolds Const. Co v Edomwonyi***. The term 'within a reasonable time' is ambiguous and usually subjective. It is advisable for the parties to

provide for an actual time in order to make time of the essence. Also see ***Johnson v Humphrey.***

However, where the vendor makes a deposit or part payment, he will be required to complete the transaction within a reasonable time. This is because if he fails to do so, the vendor will be entitled to repudiate/terminate the transaction and may sell the land to another person. (See January 2020 Q 2a-b)

USE OF DATE OF COMPLETION – May 2011

a. **the date determines the right of the vendor to rescind the contract where the purchaser is unable to pay the balance of the purchase price or seek interest on the purchase price.**

b. **Without the date of completion, the contract of sale would be completed within a reasonable time** (which is an uncertain duration to be determined by the Court). **Tilley v Thomas; Johnson v Humphrey.**

5. **PAYMENT FOR FITTINGS AND CHATTELS**: The parties may agree on a separate price for fixtures and fittings (this is where the land is to be sold with a building on it), it reduces the amount payable as stamp duties since the document is stamped ***ad volerem*** (i.e. according to the value).

6. **POSSESSION BEFORE COMPLETION**: Generally, in a contract of sale of land, the purchaser is not entitled to take possession until completion when he has paid full purchase price. However, parties may agree otherwise. **It is advisable to let in the purchaser as a licensee** so

that **in default, you don't have to go through rigorous process of recovery of premises;** ***Odutola v. Paper Sack Nig. LTD*****; April 2018 Q 5b**

USE- May 2011

a. **it allows the purchaser to take possession of the land before the conclusion of the transaction.**

b. **In the absence of express agreement, a purchaser has no right to take possession before completion of the transaction. And he should express to take possession as a licensee**. **AP v Owodunni.**

EXCHANGE OF CONTRACT

This is the procedure by which a contract of sale of land is made binding on the parties. Without exchange, the contract will not be binding on the parties.

The Procedure for Exchange of Contract is as follows:

1. Vendor's Solicitor prepares the contract of sale and sends a copy to the purchaser's solicitor for perusal and any amendment.
2. The purchaser's solicitor on approval (or amendment) sends the copy back to the vendor's solicitor **who then engrosses the document** after effecting the necessary corrections;
3. **The vendor's solicitor will produce two plain copies** and send a copy to the purchaser's solicitor for signing while **he retains the other copy for the vendor to sign**;

4. When the purchaser signs, the rule is that he moves to the vendor by taking his own signed copy to the vendor's solicitor together with the deposit in exchange for the vendor's signed copy.
5. The exchange takes place in the vendor's place or vendor's solicitor's office or exchange can be by post, email, telephone, fax depending on what is agreed by the parties.

NOTE:

Exchange is not required where one solicitor acts for both parties.

When one Solicitor May Act for Both Parties:

Generally, a single solicitor should not act for both parties in order to avoid conflict of interest **Rule 17 RPC** but there are instances that the law allows a single solicitor to act for both parties.

When a solicitor can act for both parties (Bar final August 2019 Q 3c, April 2019 Q 2b, Dec 2020 Q 6c) Smith v Mansi

1. Where the title to the property is sound
2. Where there is no likelihood of conflict between the parties e.g. company and its subsidiary, relatives (existing relationship btw the parties)
3. Where the consideration is small (small value)
4. Where the term of the contract had been fully negotiated and agreed upon by the parties
5. The parties **consented**
6. Exchange then takes place once the parties have signed the document, no need for physical exchange (***Smith v Mansi***)

Commented [MOU16]:
Sole Solicitor-
Ordinarily Not advisable except: 1MARK
1.Good title ½ MARK
2.Clear terms mutually agreed by parties ½ MARK
3.Consideration not too huge ½ MARK
4.Special relationship between parties ½ MARK
(1/2 MARK EACH FOR ANY 3 EXCEPTIONS)

EFFECT OF EXCHANGE OF CONTRACT - FOCUS

1. Upon exchange of contract, the **contract takes effect and becomes binding on the parties**; ***Domb v Isoz***
2. The **purchaser immediately acquires an equitable interest on the property**.
3. **None of the parties can rescind the transaction without attracting liability.**
4. The **Vendor becomes a qualified trustee in favour of the purchaser if he is still in possession.**
5. Death of any of the parties will not vitiate the transaction as their personal representatives can step in and complete the transaction; ***Gwangwan v Gagare***

PERFECTION OF CONTRACT OF SALE AGREEMENT

STAMPING

- ⇨ Contract of sale carries a fixed stamp duty
- ⇨ Failure to stamp the document will attract penalty or fine.
- ⇨ **An unstamped document cannot be evidence to prove title. However, the document be used in Court to prove that money had been received. Benjamin v Kalio**

REGISTRATION

- ⇨ Contract of sale is registerable; ***Okoye v Dumez***
- ⇨ Effect of non-registration is that the contract would be inadmissible to prove title ***Abraham v Adetutu***.

⇨ It also governs priority among competing interests.

STEPS/STAGES IN THE SALE OF LAND (Bar final August 2017 Q 1a, August 2018 Q 5ii & 2019 Q 5b, January 2020 Q 6d)

In the case of ***International Textile Industries (Nig.) Limited v. Aderemi*** the stages of transfer of interest in land was summarized into 3 stages: **Contract stage, Completion stage, post-completion stage**

GENERALLY, the stages of contract of Sale of Land are categorized into 5 and it includes the following activities:

Commented [MOU17]: FOCUS – MCQS
THE CORRECT ORDER FOR CONVEYANCE IS
PRELIMINARY ENQUIRIES > CONTRACT > DEDUCTION OF TITLE

1. **PRE-CONTRACT STAGE** which involves**: P&N**
   a. preliminary enquiry
   b. negotiation of price.
2. **CONTRACT STAGE** which involves: **APE**
   a. Agreement on terms of sale
   b. Preparation and execution of formal contract of sale and
   c. Exchange of contract.
3. **POST CONTRACT STAGE** which involves **DIR**
   a. deducing of title by the vendor or his solicitor and
   b. investigation of vendor's title by the purchaser or his solicitor.
   c. Raising requisitions if necessary
   d. Search report
4. **COMPLETION STAGE** which involves
   a. preparation and execution of the deed of assignment

Commented [MOU18]:
FOCUS - MCQ
WHAT STAGE WILL YOU DEDUCE TITLE THE ANSWER IS
BEFORE COMPLETION

b. transfer of title documents to the assignee.

5. **POST COMPLETION STAGE** which involves perfection of the deed of assignment: **C.S.R**

   a. obtaining the governor's consent,

   b. stamping and

   c. registration of the deed of assignment.

NB- The documents to be drafted to evidence CFSOL are:

1. Contract of sale of land Agreement and
2. Deed of Assignment
3. Abstract of title
4. Epitome of title
5. Search report

DEDUCING OF TITLE – March 2021

HOW A VENDOR CAN **DEDUCE TITLE**

Commented [MOU19]: DEDUCING TITLE MAY NOT BE NECESSARY WHERE THE PROPERTY IS ALREADY REGISTERED AT THE LANDS REGISTRY

CA states (**Eastern and Northern states**): **40 years** but in

Abia it has been reduced to 30 years

PCL states (Ogun, Oyo, Ondo, Osun, Ekiti, Edo and Delta): **30 years. S. 70**

LAGOS: Under the Lagos Information Management System **there is no need for the vendor to deduce his title, since the purchaser could on mere inspection of the register discover the vendor's power and right to sell and the presence or otherwise of any encumbrance**. **Onagoruwa v Akinremi**

In Lagos state, the right of an owner of land becomes extinguished after **12** years of adverse possession. **Majekodunmi v Abina**

There are two ways of deducing title which is by:

1. abstract of title and
2. epitome of title.

A means of deducing title is by the vendor producing the **abstract/epitome of title**, which are both documents of summary evidence of the history and types of the title of the vendor.

Epitome of Title **contains a schedule of documents and events, which constitute the title** and is accompanied by photocopies of the documents. Modern method used today.

Abstract of Title is the **chronological history of how the land came into possession of the vendor.** It must connect and there must be no discrepancies in the history.

In ***Oakden v. Pike*****,** the court defined abstract of title as a document, which contains with sufficient clearness and sufficient fullness the effect of every instrument, which constitutes part of the vendor's title

ADVANTAGES OF ABSTRACT/EPITOME OF TITLE

1. It provides prima facie evidence to the purchaser if there are any defects in the vendor's title.
2. It helps the purchaser in raising requisitions of title (requisition of title is a demand to the vendor to clarify certain queries by the purchaser).
3. It is very useful to the purchaser's solicitor when he is writing the report on title

DIFFERENCE BETWEEN ABSTRACT & EPITOME OF TITLE

Both the abstract and the epitome of title are documents that contain summary of evidence of the history and types of the title of the Vendor. But **while an abstract of title contains a review of previous owners (lien, encumbrances, mortgages, easements) or any other matter that affects the ownership of the property**, **an epitome of title contains the schedule of documents and events which constitute the title and is accompanied by the photocopies of the documents.**

What Constitutes A Good Root of Title (January 2020 Q 2f)

This is a document of title, which is sufficient in itself without any extrinsic evidence to establish the title to the land. Such document must contain the following features: **Akinduro v Alaya**

1. **Sufficient description the property.**
2. It must **establish both the legal and equitable ownership of the land.**
3. **Dispels all doubt as to its authenticity**
4. It must **not be subject to a higher interest;**

Examples of A Good Root of Title (Exam Focus) - Lawson v Ajibulu

1. A Deed of Assignment (registered)
2. A Deed of Legal Mortgage (registered)
3. A Deed of Gift.
4. Assent
5. Court vesting order
6. Certificate of purchase: it certifies the sale of land pursuant to court process

NOTE:

Certificate of Occupancy is not a good root of title. It is merely evidence that the holder is entitled to possession of the property over which it was issued.
A person with a better title over the land may take precedence; ***Ogunleye v Oni*, EXCEPT** it relates to a state grant or there are documents of title over the land.

Documents that Constitute Bad Root of Title

1. A Deed of Lease
2. Power of attorney – **Ude v Nwara**
3. An Equitable mortgage
4. Certificate of Occupancy: it only raises the presumption that the holder is in possession which can be displaced by evidence of better title ***Ogunleye v Oni***.
   However, if the C of O is in respect of a state grant or issue pursuant to a deed statutory right of occupancy, then it is a good root of title.

INVESTIGATION OF TITLE

The purchaser's solicitor should investigate the title to the vendor after the vendor has deduced his title. Thus, the practice is that as soon as the purchaser receives the abstract/epitome of title, the purchaser should proceed to verify the authenticity and genuineness of the documents relied on by the vendor to establish his title.

Various Ways of Investigating Title (Exam focus)

There is need to conduct a search on the title. After obtaining the epitome and abstract of title the purchaser's solicitor can conduct searches in the following places –

1. **Searches at the Lands Registry**–This will reveal whether the vendor is actually the registered owner.

   The procedure to conduct search in Abuja Geographical Information System (AGIS) is:

   A. A written application to conduct a search should be made to the AGIS **stating the particulars of the property**. **Accompanied** by:

      1) **a letter of consent by the owner of the title authorising the purchaser's solicitor to conduct the search of the file/property or affidavit in lieu**

      2) evidence of **payment of search fee**

   B. Submit the items at AGIS

      1) Officials of AGIS conducted the search and a report is issued and delivered to the solicitor

   PROCEDURE FOR SEARCH UNDER LIMS (Lagos)

   A. Application in the prescribed form (**Form 3**) and payment of the prescribed fee. Application and payment could be made online.

   B. Review/consideration of application by Registrar or upon Registrar's instructions.

C. Issuance of official search report by the Registrar as in Form 4. see section 22(5) Lagos state Land Registration Law

2. **Search at the CAC –** This is in situations where the vendor or past owner is a company incorporated under CAMA, apart from the searches at the land registry, there should be a further search at the Corporate Affairs Commission. E.g. need to know whether the articles of association allow the company to deal with the property the way it intends to.

3. **Search at Probate Registry –** This is a search conducted to reveal whether or not probate has been granted in relation to a land and who are the personal representatives.

4. **Traditional Evidence –** This is a search conducted on the principal members of a family land or on the community and heads of the community where the property is not subject to family or community ownership, to confirm that all relevant consents were obtained and that the title is neither void nor voidable.

5. **Physical Inspection –** This is a personal visit to the title in question in order to find out if there is any issue, or to find out for yourself the actual size of the land and whether it conforms to the dimensions of the land registry or if it is squatted .

6. **Court Registry–** This is a search conducted to see if the land is subject to any court litigation or if the title is based on a Court issued certificate.

Summary of the Procedure to Investigate Title/ steps you will take to investigate title

September 2015 Q 3d, August 2019 Q 5d Dec 2020 Q 2b March 2021 4a)

1. **Obtain/examine the epitome and abstract of title from the vendor**
2. **Conduct physical inspection of the land by visiting the location**
3. **Conduct search in the following places;**
   a. **Land Registry**
   b. **Probate Registry**
   c. **Court Registry**
   d. **Corporate Affair Commission for companies**
4. **Carry out family/communal enquiries** if the land is a family or communal land.
5. **Raise requisitions on areas that are ambiguous if any arising from the investigation**
6. **Observation of the replies to the requisition**
7. Prepare a search report and send to the purchaser.

Contents of A Search Report (August 2016 Q 6d, 2018 Q 1ix, 2019 Q 5d)

1. Letter head of the legal practitioner and address of the client
2. Title of the search report
3. **Date of search**
4. **Place of search**
5. **Name of owner**
6. **Nature of interest**
7. **Description of the property**

8. **Encumbrances**
9. **Comments/recommendation**
10. **Name and signature**
11. Valuation report (for Mortgage only)

(**NOTE** you may be asked to draft the Search Report)

REQUISITION OF TITLE

If in the course of investigation of the title of the vendor at the places suggested for investigation, questions arise in the mind of the purchaser's solicitor; he has a right to make a requisition. This he can do by asking questions aimed at clearing the ambiguity.

If you are asked in the exam to raise requisitions over any title, you can ask any reasonable question depending on the abstract of title. For example, assuming one of the title documents is an Assent or Deed of mortgage, you can ask the following questions:

1. Has probate been granted over the Will?
2. Are you the sole beneficiary in the Will?
3. Can I see a copy of the probate?
4. Has the mortgage been discharged?
5. Was a deed of discharged given to you by the Bank?

Importance Pre-Contract Enquiries/Why you should Investigate Vendor's Title (See August 2017 Q 6c, April 2018 Q 5a, August 2019 Q 2iii & Q 4f)

1 To **ascertain whether the vendor has a good root of title.**

2. To **discover latent defects on the land which physical inspection will not reveal.**
3. To **avoid future disputes and lawsuits**.
4. **To ensure the property is free from encumbrances**
5. To ensure that the vendor's title is clearly registered.
6. To **ensure that the land is not subject to any pending dispute**
7. To avoid the application of constructive notice.
8. To ensure that the requisite consents or authority were obtained in the case of family or communal land.

NOTE: (exam focus)

A vendor only owes the duty to disclose to the purchaser LATENT DEFECTS on the property that cannot be discovered with a physical inspection. All Defects that are visible or patent need not be disclosed by the vendor – Yandle v Sutton

It is important for a purchaser to conduct preliminary inspection of the physical state of the property he seeks to purchase, because **in the event of failure to conduct such inspection, he will be bound to take the property with his patent defect - August 2011 No 6B(e)**

The Effects of Failure to Investigate the Vendor's Title

a. The **purchaser may acquire bad root of title.**
b. The **doctrine of constructive notice may be imputed on the purchaser.**
c. There is highly **likelihood of future dispute arising from the transaction.**

d. The legal practitioner may be liable for professional negligence.
Rondel v Worsely

COMPLETION OF SALE OF LAND PROCEDURE

This entails the procedure of preparing the deed of assignment or conveyance, and execution of the deed. It is usually preceded by a completion (financial) statement.

The completion stage means that the purchaser has accepted the title offered by the vendor, or at least, he has waived his right to any objection on title. The completion stage signifies cash for the vendor and keys (possession) to the purchaser.

The procedure is: **(April 2019 Q 2a(iv))**

1. **Preparation of deed of assignment by purchaser's solicitor.**
2. **Vetting of deed of assignment by vendor's solicitor.**
3. Engrossed copies (several original copies) to be made by purchaser's solicitor.
4. **Payment of outstanding purchase price**, if any.
5. **Execution of deed of assignment by both parties.**
6. **Surrender of original title documents by vendor to purchaser** (including keys, if developed); and notice of change of ownership to tenants if already occupied by tenants.
7. Assignment of insurance policy if any.

COMPLETION STATEMENT - MCQ

This is also termed *"financial statement".* It is prepared by the solicitors. **It gives a financial record of the transaction between the vendor and the purchaser.** It shows the amount of money to be expected by the vendor at completion. Thus, **it is a statement conveying the financial position of the parties to the transaction.**

A completion statement should contain the following:

1. The sum being paid or received in respect of the transaction;
2. An accurate and full statement of all disbursements. For example, to valuers, surveyors, and other professionals, fees, taxes, and other expenses;
3. The solicitor's charges;
4. The final amount to be paid before completion or to be paid after completion.
5. Taxes and other fees to be paid

What Amounts to Completion for Vendor Consists of?

1. Conveying a good root of title in the property to the purchaser.
2. Delivering up actual possession and enjoyment.

Whilst, What Amounts To Completion for Purchaser Consists of:

1. Accepting the title.
2. Taking possession of the title documents and the deed.
3. Obtaining a draft for the payment of the balance of purchase price.
4. Taking possession.

Documents to Be Collected on Completion by the Purchaser from the Vendor (April 2019 NO. 2A (iii))

1. **Copies of the duly executed deed of assignment** (with survey plan attached, as it is a requirement of law that survey plan be attached).
2. **All original title documents** (except where there is an acknowledgment for production and undertaking for safe custody)
3. **Receipt of payment of all outgoings** e.g. ground rents, rates and taxes
4. Where the property is sold subject to tenancies, the vendor should hand over a letter to be delivered to the tenants notifying them that the property has been sold to the purchaser. Henceforth he is entitled to rent.
5. Duly executed form for Governor's consent
6. Original Power of Attorney if the conveyance was made pursuant to the Power of Attorney.

PERFECTION OF TITLE (August 2017 Q 6e, January 2020 Q 5d)

1. GOVERNOR'S CONSENT

Under section **22 LUA** and **SAVANAH BANK v AJILO** where the consent of the Governor is not sought and obtained the transaction will be null and void

The steps taken to apply for a Governor's consent may vary from State to State – generally, it will involve:

Commented [MOU20]:
CONTRACT – Procedure for perfection Oyo

1.CONSENT- NOT REQUIRED, AS ONLY EQUITABLE INTEREST IS BEING TRANSFERRED

2.STAMPING- REQUIRED, FIXED STAMPING

3.REGISTRATION- REQUIRED BY VIRTUE OF S. 2 LIRL OYO STATE

Commented [MOU21]:
STEPS TO OBTAIN CONSENT IN ABUJA

1) Written application to the FCT minister stating the consideration of the transaction

2) Inspection and valuation report conducted by relevant department on whether consent should be granted or not

3) Payment of consent fee and other outstanding rents and charges on the property e.g. ground rent

4) Evidence of tax payment for 3 years preceding the time of application

STEPS TO OBTAIN CONSENT IN OGUN STATE

1)Application,

2) CTC of docs attached,

3) evidence of payment of ground rent up to date

4) evidence of payment of current tenement rate if property is developed,

5) 3 years Tax of assignor and Assignee,

6) state development levy receipt for 4 years,

7) 6 copies of Deeds of assignment,

8) 4 passports,

9)PAYE for company staff (companies in the state),

10) TCC of 2 directors for companies outside the state

STEPS TO OBTAIN CONSENT IN KADUNA STATE

1)Complete Form L 6,

2)documents of transaction,

3)evidence of payment of processing fees,

4)evidence of payment of Tax,

... [3]

1. The application should be made in the prescribed form and signed by the purchaser and the vendor.

2. The application form should be submitted with the following –
   a. A covering letter addressed to appropriate authority.
   b. Evidence of payment of the prescribed consent fee.
   c. Current tax clearance certificate of the two parties
   d. Where one of the parties is a corporate body, the corporate body must supply the revenue certificate papers for its staff remitted to government and the current tax clearance certificates for the directors.
   e. In the case of a developed property, there shall be a requirement for the building plan.
   f. Six (6) copies of the Deed of Assignment
   g. Evidence of up to date payment of ground rent and legal charges.
   h. A Certified True Copy (CTC) of the assignor's land document obtainable from the Lands registry.

2. STAMPING

Deed of assignment must be stamped **ad valorem within 30 days of execution S.23(3) SDA. Where the parties are natural persons, duty is paid to the state board of internal revenue (SBIR), when it's a company its to be paid to the federal government at federal inland revenue service (FIRS)**

Effect of Failure to pay stamp duties–

1. The instrument will not be accepted for registration; and

2. The instrument will be inadmissible in evidence in court to prove title; the court may still admit it if the stamp duties are paid–**Sect. 22 SDA**
3. There is penalty for late stamping.

3. REGISTRATION

Deed of assignment is a registrable instrument and **must be registered within 60 days of execution:**

Importance of Registering Title Documents is – (Jan 2020 Q 2c)

1. It is a **Notice that the title is encumbered.**
2. It **gives priority, that is, the first in time will prevail where there are rival instruments that are registered.**
3. Where an instrument is not registered, it cannot be pleaded because it is inadmissible in evidence. and the courts cannot give effect to it, that is, it cannot be used as a document of title to land–***Akinduro v. Alaya***

TAXES PAYABLE – March 2021 Q 4 (e), August 2011 No 2 (a)(ii)

1. Consent fee
2. Capital gains tax
3. Stamp duties
4. Registration fee
5. Personal income tax
6. Value Added Tax
7. Land Use Charge

ETHICAL DUTY

1. To handle the clients, matter competently
2. To adhere strictly to the provisions of the RPC
3. To prepare documents having regard to the applicable law and rule in respect to the transaction
4. To Advise the Client Appropriately According to The Applicable Law
5. Not to misappropriate or convert client's money
6. To ensure that the interest of the client is protected

POSSIBLE EXAM QUESTIONS FROM SALE OF LAND

8. Mr. James gave a written note to Chief Nath acknowledging receipt of the sum of N1 Million being part payment for his property situate at Asaba, Delta State. However, before the parties could complete the transaction, Mr. James died in an accident.

   a. **What is the nature and implication of the receipt given to Chief Nath by Mr. James?**
   b. **State the effect if any of the death of Mr. James to the transaction**.

Answer: The nature of the receipt is that it is an open contract of sale of land. The implication is that the contract is binding and enforceable against the parties.

Secondly, Mr. James death will not affect the transaction because his personal representatives will complete the transaction.

9. **Advise the parties on why they should execute a formal contract of sale before completion of the transaction**.

10. **State 4 reasons why you should investigate the title of the vendor**

11. **Assuming the parties intends to retain your services as their solicitor, advise the parties on whether it is possible for you to represent both parties**.

Answer: Generally, it is not advisable for one solicitor to act for both parties. However, it is possible where the vendor's title is sound, the terms are clearly stated, there is no likelihood of dispute and the consideration is small.

5. **List the stages the parties will follow in the sale of land to ensure that a valid title is transferred to the purchaser.**

CHAPTER SIX

LEASES

A lease is a temporary transfer or grant of possessory interest in a property to another (lessee) by the owner (lessor) for a definite time in consideration for rent which may be money or money's worth. The lessor retains a reversionary interest in the leased property.

Note:

a tripartite deed of lease occurs where the lessor feels like the lessee will not be able to perform the covenant in the lease, so he wants a third party to guarantee him that the lessee will perform the covenant. It can also be between the lessee and a sub-lessee.

Essential Elements of a Valid Lease (Jan 2020 Q 5b, Dec 2020 Q 4a March Q 3 (a)) OSHO V. FOREIGN FINANCE CORPORATION

1. **Certainty of Parties:** Being a contractual transaction, parties must be juristic persons and must be adequately described. ***UBA v Tejumola & Sons; Bosah v. Oji***

2. **Certainty of Property:** The property must be in existence at the commencement date and must be sufficiently described, otherwise, nothing is demised and the agreement is void.

3. **Certainty of Term:** There must be a definite time frame where the lease will commence and the time it will come to an end. The lease cannot inure in perpetuity. ***Okechukwu v Onuorah: UBA v. Tejumola & Sons Ltd***

   NOTE: most of their question on lease stems from this feature

   The lease may be expressed to take effect upon the happening or occurrence of an ascertainable future event or contingency which is certain in time to occur; ***Okechukwu v. Onuorah, Bosah v. Orji.***

   In such circumstance the lease will become valid if the event or contingency occurs

   In **Aminu v Nzeribe** a lease that had no date was declared invalid, (**focus**)

   a lease for as long as the company is trading was held to be void **Bierel v Carey**

4. **Exclusive Possession**-There must be exclusive possession by the lessee; ***Osho v. FFC***. This is so even against the lessor **UNLESS** there is a clause

Commented [MOU22]: **POSER: Advise a party who states a lease is invalid for lack of commencement date after being in use of the property**

THOUGH ONE OF THE ESSENTIAL VALIDITY OF A LEASE IS CERTAINTY OF TERM, THIS MEANS THE COMMENCEMENT AND DURATION DATE MUST BE ASCERTAINABLE

where parties have entered into a contract, the parties must honor the terms of the contract, A party who induced another to enter a contract, which benefits the inviting person, and which he utilized without complaint, cannot deny validity of that contract
OKECHUKWU V. ONUORAH ,UBA v. TEJUMOLA

Commented [MOU23]: where the lease is expressed to take effect on such date the lessor obtains a Certificate of Occupancy over the land; therefore the lease will remain invalid until the date the C of O is obtained.

Commented [MOU24]: One of the essentials of a valid lease is that the lessee must be granted exclusive possession to enjoy and control the property, subject natter of the lease, and to exclude all persons from the property including the lessor. **Tejumola & Sons v UBA Ltd; Bosah v Oji;**

allowing the lessor to enter the premises for the purposes of checking or effecting repairs. UMEZURIKE v. GEORGE. **A document that purports to be a lease, but does not confer exclusive possession is not a lease**. ***Clore v. Theatrical Properties Ltd***

5. **The lease must be created in the proper manner– if the lease is for a period above 3 years, it must be created by deed** but if it is **3 years or below then it need not be by deed** but by a tenancy agreement.

Difference Between a Lease and Sale of Land - focus

1. lease is the **transfer of occupation or possession** but lessor retains the title while assignment is the **transfer of the title of land/ownership** to the assignee
2. A **lease** is granted for a period of term while in **an assignment,** the assignee receives the entirety of the estate from the assignor.
3. In a **lease,** lessor has **reversionary interest** while in **an assignment,** there is **no reversionary interest retained by grantor.**
4. In a **lease,** all covenants in the head lease (express and implied) bind parties to a lease while in **an assignment** only covenants that touch and concern the land in the head lease binds assignees
5. In a **lease,** it **may not require deed** depending on the duration and mode of creation while in **an assignment, it always require a deed** for legal title to be passed to the assignee.
6. In lease the **parties are called lessor/lessee** but **in assignment the parties are called assignor/assignee.**

A license is a mere permission or privilege given by the occupier of land to a person to do an act upon his property which otherwise will amount to trespass.

A license does not create proprietary (ownership) rights **Eloichin Ltd v. Mbadiwe**

RENT IN LEASE

This is the consideration (compensation) paid by the tenant to the landlord for the term granted. **Payment of rent is not a strict requirement of a valid lease**. A main feature of a lease is lawful occupation by tenant whether the person pays rent or not is immaterial –***African Petroleum Ltd. v. Owodunni.***

Some situations where a lease may be created without the payment of rent are:

1) Where a capital sum is paid (premium) so long as it is permissible;

2) Where there is a right to live rent-free under a sale and a lease-back arrangement.

3) Where there is only the undertaking to perform and observe the covenant in a lease and

4) The mere acceptance of the lease by the tenant.

TYPES OF RENT: (January 2020 Q 2g) & MCQ

1. **Ground Rent**:

This is the **rent paid by the Lessee on the land itself** (bare land) without considering the development or improvement on the land. **Section 5(1)(c)** of the Land Use Act

2. **Rack Rent**:
   this is **an economic rent payable for the improvements and developments on the land.** It could be paid annually, monthly or fixed period

3. **Premium Rent**:
   This is a **lump sum usually paid in addition to other rents.** It is considered as a fine and therefore prohibited in some states.

N.B – You're sometimes asked to differentiate use the definition to do that

MODES OF COLLECTING RENT

Rent may be charged in **ARREARS** (at the end of the term granted) or in **ADVANCE** (before the end of the term granted). However, **it is not** advisable to charge rent in advance for the following reasons: **(April 2018 Q 5dii, April 2019 Q 3d)**

Commented [MOU25]: Where a Lessor intends to collect rent in advance for years, **the lessor should be advised on three considerations of inflation; taxation and the applicable laws.**

1. **Tax implications –** This can be found under **section 3(3) of the Personal Income Tax Act (PITA).** It provides that a landlord who collects rent in advance for a period exceeding five (5) years is liable to pay higher tax than when the rent is for five years or below.

2. **Inflation –**Where a landlord collects many years rent in advance, he will not be able to review the rent for such period and this may turn out to be

disadvantageous because inflation may make the rent collected virtually useless.

3. **Offence** - Also in Lagos state, collecting rent in advance for more than one year is a crime and attracts a fine of **N100, 000.00- or three-months imprisonment** upon conviction.

Note:

The general rule is that rent is payable in arrears (at the expiration of the term granted)

FAILURE TO INSERT THE TIME FOR PAYMENT - May 2012, 2022 resit

Where parties want the rent to be payable in advance, **such term must be expressly stated in the lease. Where the lease fails to stipulate when rent is payable, the effect is that it is payable in arrears** – **G.B Olivant Ltd v Alakija**

COVENANTS IN LEASES

These are agreements creating obligations usually in a deed. Promises and pledges made by parties to a lease.

TYPES OF COVENANTS

1. Implied covenants
2. Usual covenants
3. Express covenants

1. IMPLIED COVENANTS:

Essential covenants implied/inferred by law whether the lease or tenancy agreement makes provision for them.

Implied Covenants on The Part of The Landlord/Lessor:

1. Quiet enjoyment i.e. not to disrupt tenant from enjoyment of the property
2. Non-derogation from grant
3. Compliance with relevant laws guiding recovery of premises (notices) i.e. no room for self-help

Implied Covenants On The Part of The Tenant:

1. Payment of rent
2. **Covenant not to commit waste**
3. **Keep and deliver the premises in a tenantable condition-*Warren v. Keen***

N.B – **MCQ & Theory**

Tenancy Law of Lagos, DOES NOT APPLY TO:

a) **Ikeja GRA,**
b) **Victoria Island**
c) **Ikoyi,**
d) **Apapa**

2. USUAL COVENANTS

Usual covenants are proper and common covenants inserted in a lease based on the facts or evidence presented before the court.

Commented [MOU26]: Emphasis on GRA, THERES a place called IKEJA

THE FOLLOWING TERMS MUST BE SPECIFICALLY PROVIDED FOR TO AREAS WHERE THE TL DOES NOT APPLY: S 7

1.**Pay the rents**

2.**Pay all existing and future rates and charges not payable by the landlord by law;**

3.**Keep the premises in good and tenantable repair, reasonable wear and tear excepted;**

4.**Permit the landlord and his agents during the tenancy at all reasonable hours in the daytime after previous written notice, to view the condition of the premises and to effect, repairs in necessary parts of the building;**

5.**Not make any alterations or additions to the premises without the written consent of the landlord;**

6.**Not assign or sublet any part of the premises without the written consent of the landlord; and**

7.**Notify the landlord where structural or substantial damage has occurred to any part of the premises as soon as practicable.**

CONVERSELY IN THE AREAS WHERE THE TENANCY LAW APPLIES TO THE ABOVE ARE IMPLIED WHERE THEY ARE NOT IN THE LEASE AGREEMENT

Usual covenants include:

a. Quiet enjoyment of the property
b. Payment of rent
c. Payment of taxes except those expressly stated to be payable by the Landlord
d. To keep the property in a good state of repairs
e. Allow Landlord a right to view the state of repairs

3. EXPRESS COVENANTS

Express covenants are covenants which will not be implied in the lease or enforced by the parties **except** there is express or definite agreement on them. This is most the exam focus areas.

Example of Express Covenants:

In the exam, there are three ways of asking questions on these covenants**.**

A. You may be asked to draft the covenant or

B. The covenant will be improperly drafted and you will be asked to comment or

C. You may be asked to list the contents of the covenants.

POSER

Mention five crucial lessee's covenants that need to be included in a lease agreement. **May 2010 No 5b**

1. Covenant on Assignment
2. Covenant to pay Rent

3. Option to renew
4. Covenant to pay rate, rates and other outgoings
5. Rent review clause
6. To keep property in state of repairs
7. Covenant to Insure
8. Covenant on use
9. Abatement of rent

1. COVENANT TO PAY RENT /RENT CLAUSE

RATIONALE-

A lease should provide for the payment of rent. The rent must be certain or ascertainable, it is either money or money's worth and generally payable in arrears unless otherwise stated. Once rent has been agreed upon, neither of the parties can unilaterally alter the clause; ***Yahaya v Chukwuma*.**

DRAFT- (This may also be referred to as **REDDENDUM)**

> "YIELDING/PAYING as rent the yearly sum of …..clear of all deductions by yearly payments in advance; the first of such payment having been made on the…..day of…..20……."

OR

PAYING THE SUM OF … (the receipt of which the lessor acknowledges) as rent for the term granted in advance at the commencement of this lease

OR

YIELDING/PAYING THE SUM of …. Per Annum

OR

In consideration of the sum of … paid by the lessee to the lessor as rent for the term granted

Remedies for failure to pay rent include:

i. An **action in court to recover the money**
ii. An action in distress- i.e. the seizure of the Lessee's goods to satisfy the rent without going to court.
iii. An action for forfeiture where contained in the lease
iv. A claim for *mesne* profit against a tenant at sufferance

2. COVENANT TO PAY RATES AND OUTGOINGS

Occupier liable to pay in the absence of an express agreement or statutory provisions

Ordinarily, **the lessee is only bound to pay the rates he met as at the time he entered the premises and not future rates UNLESS** it was expressly included in the covenant.
In drafting this clause, **it should be made wide enough to accommodate future outgoings**; **(Dec 2020 Q 4b, March 2021 Q 3b)**

If there is no express covenant on who is to pay the rates and outgoings, **section 7(2)** of **the Tenancy Law of Lagos** will apply and the tenant is to make all payment on rates and outgoings.

SAMPLE DRAFT-(April 2019 Q 1 Bii, Dec 2020 Q 4bii March 2021)

1. ***The Lessor/Lessee Covenants To pay all existing rates, taxes and other outgoings in respect of the demised premises.***

   This inappropriate? Because it is giving liability on either of the parties, whether lessor or lessee, because it covers only the outgoing taxes or rates but doesn't cover the subsequent taxes or rates and is inappropriate because it doesn't specify which of the parties pay.**)**

2. ***The Lessor/Lessee covenants to pay all existing rates, taxes and other outgoings in respect of the demised premises payable now or as may be imposed subsequently whether payable by the owner or occupier.***
3. ***The lessee/tenant shall pay taxes, rates, duties, assessments, impositions and outgoings now or as may be subsequently payable in respect of the demised property."***

Remedies for Breach of Covenant to Pay Rates and Outgoings

a. An **action to recover the outgoings and rates that have accrued**.
b. An **action for damages**
c. An **action for forfeiture and re-entry where the lease contains a provision to that effect.**

3. USER COVENANT OR COVENANT ON USE

This covenant stipulates the use for which the demised premises will be put by the lessee**.**

CONSEQUENCE OF NOT INSERTING A USER COVENANT

If this is not stated, the demised premises can only be used by the lessee for any lawful purpose. - ***Dawodu v. Odulaja.***

This might work against the lessors interest and the value of the property

it must be provided in an agreement where the tenancy law of Lagos does not apply and conversely

if the property is in an area that the tenancy law of Lagos applies to **and its excluded it will be implied in the lease agreement**

Purpose/Usefulness of the Covenant:

1. It **protects the property against nuisance.**
2. It helps the **lessor** control use and purpose of the property.
3. To **prevent use of property for unlawful** or immoral **purpose**.
4. To protect the reversionary interest of the lessor.
5. To **ensure compliance with town planning laws** and user covenants on title documents.

NOTE: Landlord's Remedy for Breach:

1. Damages to compensate for misuse of the property;
2. Specific Performance
3. Injunctions to prevent a contrary use
4. Action forfeiture and re-entry if it is provided for in the lease

Commented [MOU27]:
In the absence of an express provision to the contrary, the lessee shall be at liberty to use the premises for any purpose whatsoever

SAMPLE DRAFT: see January 2020 Q 1f

> "**The lessee covenants to make use of the demised premises and to permit the premises to be used for the purpose of residence/commerce/agriculture only**"

OR

The Lessee covenants to use the demised premises for lawful commercial/residential purposes only.

As Lessor's Solicitor, Note the Following Points about User Covenant:

a. It does not always favour the **lessor/landlord. This is because** the more restricted the use of the property is, the less likelihood of the lessee letting the premises.
b. **So advice the lessor this will be your advice i.e. that the covenant should not be strict**).

4. **COVENANT TO REPAIR**

It is also an implied term of a tenancy that the tenant is to keep the premises in constant tenantable repairs with the exemption of reasonable wear and tear.

Who has the obligation to Repair?

Any of the party may carry out the repairs but it still depends on the type of repairs as follows:

a. **Structural repairs** like repairs on the roof, house foundation, walls, pillars etc. **are to be done by the Lessor/ Landlord**. **S. 8 (vi) of the Tenancy Law of Lagos State**.

b. **Internal repairs** like bad sinks, broken floor, toiler seat, kitchen cupboard, painting, changing locks etc. **are to be repaired by the tenant/lessee.**

Points A Solicitor Should Note While Drafting the Covenant:

a. The structural repairs to be done must be itemised in the draft.

b. The draft should contain the lessor'**s** right of entry to inspect repairs.

c. The draft must exclude fair wear and tear.

SAMPLE DRAFT: MARCH 2021

> "**The Lessee covenants to keep and maintain the premises in a good state of repair fair wear and tear excepted and to permit the lessor to enter at reasonable time to view the state of repair and to deliver up the premises in a good and tenantable condition**"

Commented [MOU28]:
"The tenant/lessee covenants to keep and maintain the demised premises in good state of repair, fair wear and tear excepted; and to permit the landlord/lessor to enter at reasonable times to view the state of repair on the part of the tenant under this tenancy/lease"

Purpose/Usefulness of the Covenant to Repair

a. It protects the premises against waste committed by the tenant.
b. It maintains the value of the property.
c. It preserves **tenant's** enjoyment of the premises by maintaining same in a habitable condition.

Remedies for Breach of Covenant to Repair

Determined by whether or not the tenant is in possession or not,

Where the tenant is in possession:

a. Serve a notice to repair on the tenant
b. Re-entry and forfeiture of the lease.

c. An action for specific performance
d. Action for damages

Where the tenant is no longer in possession

a) Action for damages
b) Action for loss of rent

Where the landlord is in breach, the tenant may:

1. Serve a notice to repair
2. Action for specific performance
3. Repair the property and claim the cost from the repairs

5. COVENANT NOT TO MAKE ALTERATIONS

It may be drafted thus:

> "**The tenant covenants not to make any addition or alteration to the premises without the written consent of the Landlord, such consent not to be unreasonably withheld and to restore the property to its original position at the end of the term of the lease at his own expense**".

Commented [MOU29]:
STRUCTURE
1.NOT TO MAKE ALTERATION
2.OBTAIN CONSENT OF THE LESSOR
3.RESTORATION OF THE PROPERTY

USEFULNESS:

1. Safeguards the premises and lessor's reversion
2. Enhances lessee's use or enjoyment of the property.

4. COVENANT TO INSURE (Very Important)

This is an undertaking to insure the demised premises by one of the parties to the lease or in the name of one or all of the parties. It is always asked in the exam both in theory and in the MCQ. (**see MCQ Dec 2020 Q 6 & 20)**

CONTENTS/Elements of Insurance Covenant: DWRACA (April 2019 Q 2c(d) March 2021)

a. Date of commencement of insurance policy
b. Who is to insure
c. Risk to be insured
d. Amount of insurance cover
e. Application of the insurance money and
f. The insurance company

Commented [MOU30]: where part of the property is held by the Lessor, then he should insure the property to make sure a common Policy covers the whole property. Where the lessee occupies an exclusively detached premise, then the lessee should insure in his own name

Sample Draft

> 'The Lessee is to insure the property in the joint names of the lessor and lessee against fire and flood with NICON Insurance Co. Ltd (RC NO 9999) to the tune of N10, 000,000 (ten million naira) and make payment of all premium on the policy and in the event of the property being damaged, all money received in respect of the insurance shall be used to reinstate the property. If reinstatement is not possible, the sum will be shared PRO RATA between the parties'.

Factors That Determine Who Is to Insure: (August 2011)

a. Existing Obligations on the Property

b. The Nature of the Property
c. The use of which the Property will be used.
d. Any other agreement in the lease

Application of Insurance Money: How money will be collected from insurance and how the money will be applied depends on the following factors:

- **Where Reinstatement Is Possible:** Generally, where the **Landlord insures, the tenant cannot compel the landlord to use insurance money to re-build the premises** or to restrain the landlord from suing for rents until the premises are rebuilt. -***Leeds v Cheetham***.

  However, **where the tenant insures or reimburses** the landlord, **he can compel the landlord to use insurance money to reinstate the property.** ***Munford Hotels Ltd. v Wheeler.***

- **Where Reinstatement Is Impossible:** Where reinstatement is not possible, the insurance money will be shared **PRO RATA** (equal measure).

USEFULNESS

1. Protects the property and the reversion
2. In the event of loss, provides for reinstatement of the property
3. Provides for the sharing formula where reinstatement is not possible.

REMEDIES FOR BREACH OF COVENANT TO INSURE

1. Damages against the person who ought to insure but fails to do so.
2. Action for forfeiture if expressly provided

3. Application to court by a person interested in the destroyed property to use the insurance money to reinstate the damaged property.

5. COVENANT AGAINST ASSIGNMENT/SUB-LET

A tenant has the unrestricted right to assign his tenancy or to create subleases of such tenancy in the ABSENCE of a provision to the contrary- ***Keeves v. Dean***

RATIONALE - This covenant ensures that the Landlord is in control of tenants occupying the premises.

Types/Forms Covenant against Assignment

i. **Absolute Bar/Prohibition:** An example of an absolute bar is:
"The Tenant/Lessee shall not assign or part with possession of the demised premises".

IMPLICATION-This is harsh on the lessee as it does not protect his interest at all. Thus, it is not a good way to draft the clause. **It will affect the consideration and make the property unattractive to potential tenants/lessee's Ishola Williams v Hammond Projects**

ii. **Conditional /Qualified Prohibition:** An example of this clause is drafted thus:
"The lessee shall not assign sublet, charge or part with possession of the premises or any part of it without the written consent of the Landlord".

Commented [MOU31]:
The clause is not adequately drafted.
1.On the part of the lessor, it imposes an absolute prohibition on the tenant from sub-letting or assigning the demised premises and so will affect the consideration as it makes the premises unattractive to potential tenants.

2.It is also not in the interest of the tenant.

However, it does not provide an absolute restriction, as the tenant is at liberty to sub-let or assign part of the demised premises as there is no prohibition from subletting part of the premises. Ishola Williams v Hammond Projects; Ideal Film Renting v Neilsen.

IMPLICATION-It is not good enough **as the test for granting or refusing consent is subjective and landlord is not bound to disclose why he does not allow the tenant to sublet etc.**

NOTE: In the exam, an incomplete draft of the covenant may be given and you will be asked to criticize it and also re-draft it. In which case, the **comments** made **above** and the **draft** given **below** will be your answer.

iii. **Balanced/Ideal Clause:** this is the preferred one for you to draft in your exams; **see January 2020 Q 1f, Dec 2020 Q 4bii, March 2021**

"**The Lessee covenants not to sublet, Assign or otherwise Part with possession of the Demised Premises or any part of it without first obtaining the written consent of the Lessor, such consent not to be unreasonably withheld in the case of a responsible or respectable person"**

Commented [MOU32]: Lessee/Tenant Not to assign, underlet or otherwise part with the possession of the demised premises without the written consent of the landlord; such consent not to be unreasonably withheld in the case of a responsible and respectable person"

IMPLICATION-It is used to ensure a balance of the competing interests of the parties. Landlord can only refuse for reasons known to law and tenant must always get consent before subletting etc.

NB- August 2011 No 3(a)(iii)

Where the tenant permits another person to use the premise e.g., allow a licensee to use the premises, **this does not amount to breach of the covenant not to assign or sublet**. – **Ishola Williams v Hammond Projects**

CONSEQUENCE OF NOT ADDING THE COVENANT – August 2017

Where the lease is silent, the tenant may assign or let the premises without restrictions. - – **Ishola Williams v Hammond Projects**

This clause must be expressly provided where the Tenancy Law of Lagos does not Apply, conversely where the TLL applies it is implied

USEFULNESS

a. Helps guide against nuisance to neighbours
b. Prevents subletting/assigning of property to persons who would use it for illegal or immoral purposes
c. Helps to protect the lessor's reversionary interest
d. Enables the lessee recoup part of his expenses or money expended on the property.

Remedies of the Lessor Upon Breach of the Covenant:

a. Claim of damages
b. Action for forfeiture
c. Action for specific performance of the covenants

N.B

The landlord **cannot resort to self-help** **Akpina v. Balogun**

What Amounts to Reasonable and Responsible Persons

A reasonable and respectable/responsible person has been held to mean a person with a **good financial standing; Alakija v John Holts Ltd.**

Where the lessor refuses consent to sublet to reasonable and respectable persons, the lessee may:

1. Go ahead and sublet and obtain an injunction restraining the lessor from interfering or

2. He can also bring an action for the refusal to be declared unreasonable by the court; ***Nigerian Land & Sea Food Ltd. v. Roadside Engineering Foundry Ltd.***

For the refusal to be reasonable, it must be based on any of the following grounds: (exam focus)

1. The **personality of the intended user;** i.e. whether he has good financial standing.
2. The **nature of the property** is such that subletting same will be improper
3. The **use the property will be put by the intended user is against the user covenant agreed by the parties** **(see January 2020 1g**

PROVISOS/CLAUSES IN A LEASE

1. OPTION TO RENEW CLAUSE

This is **a lessor's covenant** made to the **lessee** that at the expiration of the lease a new lease will be created for similar or reviewed terms, rents and covenants (as agreed upon by both parties based on certain conditions e.g. that the tenant complied with covenants in the lease).

Where an option to renew is not excluded there is a risk of a perpetually renewable lease created. Re Hopkins

The clause is ordinarily in favour of the lessee **(Dec 2020 Q 4f)**

PURPOSE-This may prevent the drafting of a new Deed of Lease or Tenancy Agreement.

USE OF OPTION TO RENEW - focus

A. **To ensure that the tenant is given a fresh lease of the same property at the expiration of the current lease subject to terms agreed upon**
B. **To prevent the lessor from letting out the property to another person at the end of the current lease**

DIFFERENCE BETWEEN RENT REVIEW CLAUSE AND OPTION TO RENEW - focus

1. Option to renew goes to the term of years, whereas Rent review clause goes to the rent payable
2. Rent review clause does not require review of the entire lease unlike option to renew
3. Rent review clause **enures to the benefit of the lessor** whereas option to renew **enures to the benefit of the lessee**
4. Rent review clause allows the lessor to review the rent upwards during the subsistence of the lease while option to renew enables the lessee to ask for grant of another term of lease at the expiration of the current term

Contents of the Option to Renew Clause (you may be asked to list the content without drafting see April 2019 Q 1iv-v, January 2020 Q 1b, c&d and Q 2g)

a. Time within which the application is to be made
b. Mode of the exercising the option
c. Condition precedent to be fulfilled before exercise of the option.
d. The terms of the new lease if granted.

e. Restrictions on the option

NOTE very importantly that

where the tenant/lessee does not exercise his option to renew, the option becomes a mere interest**.**

The option to renew must be totally accepted by the tenant, if not the option to renew is terminated.

(**The tenant/lessee cannot ask for review nor vary it** in any way; **where the lessee tries to vary, the lessor has a right to lease the property to another person and the Lessee cannot maintain an action against him Dawodu v Odulaja** **(see January 2020 Q 1b)**

Secondly, in drafting the clause, **it must exempt the rent clause and the option to renew from the agreemen, this is to prevent the creation of perpetual renewal of the lease. Re Hopkins**

SAMPLE DRAFT January 2020 Q 1d, Dec 2020 Q 4d

"**The Lessee covenants with the Lessor that upon the lessee paying the rent and observing all the terms and covenants in the lease and upon giving……notice before the date of expiration of the present lease, the lessor shall grant him a further term of……at a rent and subject to the covenant and terms to be agreed upon by the lessor excluding this option to renew and rent clause.**

OR

"The Lessor shall on the written request of the Lessee made at least …. months before the expiration of the current term, grant to the Lessee the lease of the demised premises for another term of ….. years from the

expiration of the current term on the same terms and conditions as the present lease, except rent and this option to renew; Provided, however, that Lessee shall have materially observed all its obligations under the present lease".

OR

"The Lessor shall on the written request of the lessee made …. months before the expiration of the current term, grant to the lessee; the lease of the demised premises for another term of …. years from the expiration of the current term on the same terms and conditions of this lease except the option to renew and rent."

2. ABATEMENT OF RENT CLAUSE-

This is a clause that is **meant to preserve the rent paid by a lessee during any period where he could not make use of the premises as a result of any natural occurrence.** It must be specifically provided for, because generally frustration is inapplicable in leases.

Sample Draft:

> 'The Lessor covenants with the Lessee that the rent shall not continue to run in a case of an act of God where the demised premises is destroyed or anything happens preventing the use of the premises'

3. RENT REVIEW CLAUSE

A rent review clause must be expressly provided for in a lease for the following reasons:

a) To keep up with or reflect the current market value of the property.

b) to **cushion the effect of inflation** and keep to the money value realisable from the demised premises.

In the absence of such clause, the vendor cannot increase the rent unilaterally.

A rent-review clause should contain the following (August 2018 Q 1vi):

1. Method of initiating the review.
2. The time frame for the review.
3. The method of calculating the new rent.
4. Procedure for resolving any dispute of the new rent.

The rent review clause can be drafted in two ways:

a. By inserting it in the reddendum or;

b. The reddendum could refer to it in the schedule.

Example of a rent review clause (can be included with the consideration clause): breaking it down but in exam write it together

"time fame: The rent reserved in this lease shall be reviewed within ….. months of the expiration of the current rent;

Method of initiating review: the lessee shall by notice in writing be notified of a review of the rent.

Method of calculating: The amount of the reviewed rent **is to be fixed by an estate valuer appointed by the parties.**

Dispute resolution: In the event of any disputes arising from the rent review procedure, a single arbitrator shall be appointed by the parties subject to the Arbitration and Mediation Act"

1. FORMAT OF THE REDDENDUM REFERRING TO THE RENT REVIEW CLAUSE IN THE SCHEDULE

YIELDING AND PAYING during the said term granted the rent of N500,000.00 subject to review in accordance with the provisions contained in the schedule attached to this lease.

SCHEDULE

Method of Initiating the review: A notice in writing to be given by the lessor to the lessee not less than six months to the expiry of the current term.

The time frame for the review: The reviewed rent shall be due and payable at the end of the current term.

The method of calculating the new rent: A property valuation expert licensed by the State Government shall be appointed by the lessor with the approval of the lessee to advice on the appropriate rent based on the current rental value for similar property.

Dispute resolution: In the event of any disputes arising from the rent review procedure, a single arbitrator shall be appointed by the parties subject to the Arbitration and Mediation Act

2. FORMAT INCORPORATING IT IN THE RENT REVIEW CLAUSE IN THE SCHEDULE

YIELDING AND PAYING during the said term granted the rent of N500,000 subject to review **PROVIDED ALWAYS** that the lessor will give notice in writing to the lessee not less than six months before the expiry of the current term. The reviewed rent shall be due and payable at the end of the current term. A property valuation expert licensed by the State Government shall be appointed by the Lessor with the approval of the lessee to advice on the appropriate rent based on the current rental value for similar property. In the event of any dispute arising from the rent review procedure, a single arbitrator shall be appointed by the parties subject to the Arbitration and Mediation Act.

PROVISO FOR FORFEITURE & RE-ENTRY

This may lead to the suspension or termination of the lease for non-payment of rent or non-observation of covenants of the lease. This operates to bring the lease to an end earlier than it would terminate.

It may be drafted thus:

PROVIDED ALWAYS that if the tenant commits a breach of any covenants or conditions in the lease or becomes bankrupt, it shall be lawful for the lessor to re-enter the premises and immediately the terms shall absolutely cease and determine.

The lessor may enforce the clause in two ways

a. By peaceable entry
b. By action to possession

DETERMINATION OF A LEASE OR TENANCY (Bar Final April 2019 Q 1bvi)

1. **Effluxion of Time:** This is where the lease if for a fixed period which has elapsed.
2. **Merger** –This is where the tenant or third party retains the lease and acquires the reversion before expiration of the lease.
3. **Notice to Quit**.
4. **By Surrender-**This is where the lessee voluntarily gives up the premises before the agreed date of determination**.**
5. **Frustration**-This may arise as a result of war or natural disaster which makes the demised premises inhabitable; ***Araka v. Monier Construction Nig. Ltd.***

   NB-Where the property is **destroyed** and the lessee remains in possession, he cannot plead frustration-***Odusanya v. Oniororo*.**

6. **Forfeiture and Re-Entry:** This is where the lessee is meant to forfeit any term remaining in the lease and the lessor to retake possession of the premises.

   Conditions for Forfeiture

   a) **Express provision in the lease document**
   b) **Rent must be reserved**
   c) **Landlord must make a formal demand and tenant remains in default.**

Remedies in a Lease

1. Damages
2. Specific Performance
3. Notice to Quit
4. Forfeiture
5. Injunction
6. Declaration
7. Notice to Repair

Particulars of Instruction/Information Needed to Prepare a Lease (April 2018 Q 4d)

1. Particulars of the parties
2. Commencement date
3. Particulars of the property
4. Duration of the lease
5. Use of the property
6. Rent payable and method of payment; whether in advance or arrears
7. Covenants to be performed by the Lessee/Sub-Lessee
8. Covenants to be performed by the lessor/Sub-Lessor

9. Party to insure the property, duties and liabilities in respect of the insurance policy

10. Particulars of Witnesses

NB – ¼ of the amount calculated under scale II

Where one solicitor acts for both lessor and lessee, he is entitled to the full charge due to the lessor's solicitor, plus half of what is due to the lessor's solicitor i.e. full charge of lessor's solicitor's fees **plus ¼ of lessor's solicitor's fees (April 2019 Q 3e, August 2019 Q 3cii)**

FORMAL PARTS OF A DEED OF LEASE

1. **COMMENCEMENT: THIS DEED OF LEASE**

Where it is a simple tenancy, it is commenced thus '**THIS TENANCY AGREEMENT OR THIS AGREEMENT'**

2. **DATE:** Made this ……. Day of ……. 20 …

3. **PARTIES:**

Individuals: BETWEEN (NAME) of (ADDRESS) Lessor/Landlord of the ONE PART and (NAME) of (ADDRESS) Lessee or tenant of the OTHER PART

COMPANY: XYZ LTD, a company registered under CAMA and having its registered office at……. the lessor of one part or the lessee of the other part

4. RECITALS: This is not an essential part of a lease **though** it may be useful in a sub-lease

5. **TESTATUM**: **NOW THIS DEED WITNESS AS FOLLOWS, the lessor demises to the lessee;** OR WHEREBY the lessor demises to the lessee

For tenancy: IT IS AGREED as follow:

6. ***CONSIDERATION CLAUSE:*** **"In consideration of the rent and lessee's covenant reserved/contained in this lease or (agreement)**

7. **RECEIPT CLAUSE: Receipt of which the Lessor hereby acknowledges'**

8. **OPERATIVE WORDS: The lessor DEMISES to the lessee**

   For Tenancy: The landlord gives and the tenant takes

9. **PARCEL CLAUSE: ALL THAT** property (describe the property) (Demised Premises)

10. **HABENDUM:** TO HOLD UNTO the lessee for the terms of …… years commencing on …….. and ending on …….

11. **REDDENDUM:** paying yearly during the term the sum of ……. OR YIELDING and PAYING yearly during the term of …. Years the sum of …..

12. **COVENANTS:**

PROVISOS - 'PROVIDE THAT"

13. **TESTIMONIUM:**

Commented [MOU33]:
TO HOLD THE SAME UNTO the Lessee for a term of …. Years commencing on 1st February, 2021 to expire on 31st January, 2026".

Commented [MOU34]:
"(YIELDING AND) PAYING the sum of N2m (Two million naira) (the receipt of which the lessor acknowledges) yearly as rent for the term granted in advance clear of deductions, the first of such payments to be made on/before the execution of this deed."

IN WITNESS OF WHICH the parties have executed this DEED in the manner below the day and year first above written.

14. **EXECUTION**:

SIGNED, SEALED AND DELIVERED by the within named lessor or lessee.

…….

(Insert name of lessor)

TENANCY AGREEMENT - SIGNED by landlord or tenant

<u>Where One of the Parties Is a Company</u>

The Common Seal of **XYZ LTD** is affixed to this deed and was duly delivered in the presence of:

DIRECTOR SECRETARY.

OR

SIGNED, SEALED AND DELIVERED by the within named lessor/lessee

……

Director

IN THE PRESENCE OF:

Name……

Address……

Occupation……..

Signature…….

OR

Commented [MOU35]:
SIGNED, SEALED and DELIVERED/SIGNED (as the case may be – Lease or Tenancy)
by the lawful attorney of the within named Lessor/Lessee by virtue of the Power of Attorney dated the .....day of .....2022, registered as No .....at Page .....in Volume ..... of the Lagos Land's Registry.
.....
name of the attorney

SIGNED, SEALED AND DELIVERED by the within named Lessor /lessee

…… **…….**

Director **Director**

Execution by an Illiterate:

SIGNED, SEALED AND DELIVERED by the lessor:

{**the content of the document having been first read and interpreted to him in** Igbo Language by me (name of interpreter and address) **when he appeared perfectly to understand it before affixing his thumb print, mark/signature**}

……

Name of illiterate

ATTESTATION:

IN THE PRESENCE OF:

Name……..

Address…….

Occupation…….

Signature…….

CHAPTER SEVEN

MORTGAGES I, II & III

Mortgage is a security transaction wherein an owner of a property transfers the interest in the property to another person for a loan with an agreement that the property will be transferred back to owner upon repayment of the loan.

The borrower in legal parlance is the Mortgagor while the lender, the Mortgagee. **Mortgagees' solicitor prepares the document**

TRIPARTITE MORTGAGE

This will arise where the mortgaged property belongs to a third party. Simply put, the person taking the loan is different from the person whose property is used to secure the loan. **The third party will be known as a guarantor or surety.**

Instances where a mortgage transaction can be tripartite are:

a) Where the mortgaged property belongs to another person other than the borrower.
b) Where the mortgage includes a guarantor (e.g., insurance company)
c) In a mortgage created by sub-demise or assignment, to show that the consent of the head lessor has been sought and obtained.

FEATURES OF A MOTGAGE

a. It is a conveyance of an interest in land to a lender of money
b. The land is held only as security or collateral to ensure repayment of the money loaned.
c. The property is re-conveyed back to its owner when the money loaned is repaid.

d. In the event of failure to repay the money advanced, the lender of the money has the right to sell the land to realise the money advanced.

e. An essential feature of mortgage, both legal and equitable is that once a mortgage, always a mortgage and nothing but a mortgage; ***Yaro v. Arewa Construction Ltd.***

LAWS REGULATING MORTGAGE TRANSACTIONS - focus

1. Land Use Act
2. Property and Conveyancing Law
3. Stamp Duties Act
4. Mortgages and Property Law (Lagos State)
5. Conveyancing Act
6. Land Instruments Registration Law
7. Illiterates Protection Act/Law
8. Companies and Allied Matters Act

FACTORS THAT MAY AFFECT THE VALIDITY OF A MORTGAGE - focus

1. **Capacity**: where any of the parties lacks the capacity to enter into the contract.
2. **Lack of consent of the governor** under the LUA.
3. **Defect in the Mortgagor's title**: you cannot give what you don't have. **Erikitola v Alli**

ROLES OF SOLICITORS IN MORTGAGE TRANSACTIONS IN NIGERIA

1. Advising on law, sources and negotiating for the loan.

2. **Investigating** the title of the property sought to be mortgaged
3. Advising on the **modes** and drafting of the mortgage instrument
4. **Perfecting** the mortgage instrument and obtaining relevant consent.
5. **Discharge** of the mortgage and drafting the discharge instrument.

CONTRACT SUBJECT TO MORTGAGE

A contract of sale of land entered into in expectation of some loan should be made conditional upon the client (purchaser/Mortgagor) obtaining a loan. The contract should also provide that in the event that the loan is not obtained, the vendor shall return the deposit paid by the purchaser; this is what is referred to as contract subject to a mortgage. **For this clause to be valid the following conditions must exist:**

1. It must **state the source and amount of the loan.**
2. The **terms of payment;**
3. The **interest paid on the loan.**

DRAFT: exam focus

This contract for sale and the completion is subject to the purchaser obtaining a loan from (NAME OF BANK) in a sum sufficient to allow the purchaser complete the contract and on terms specified by the vendor. PROVIDED THAT where the loan is not obtained at the date of completion, this contract shall come to an end and the purchaser shall be entitled to a refund of deposit paid.

Note:

The **document needed by the mortgagee to investigate the title of the mortgagor is** the **abstract of title and epitome of title**

while the abstract of title is a review of the previous owners/history of the vendor's title. The epitome of title is a schedule of document and events which constitute title of the vendor

MORTGAGE INSTITUTIONS IN NIGERIA

(Also couched as source of raising capital Sometimes they may ask you to list a certain number of mortgage institutions)

1. Federal Mortgage Bank

It is a Federal Government agency and it is the most Preferred Mortgage Institution for the following reasons;

- **a.** The credit facility granted is long term (up to 25 to 30 years repayment)
- **b.** Provides up to 66% of the consideration
- **c.** The interest rate is very low, as low as 6%
- **d.** Has branches across the federation, but this exists, to a large extent, in theory
- **e.** Enjoys government support

2. Housing Corporations

Advantages of this source of Mortgage Finance

a. There is security of title in respect of property purchased from any of these corporations as there is no problem of demolition.
b. Funds from the corporation attract low rate of interest.
c. They are built on State land with their Certificate of Occupancy ready for collection;

Disadvantages

a. Prices are beyond the reach of ordinary Nigerians.
b. There is scarcity of funds, particularly for housing projects.

3. **Housing Schemes:** This is usually set up by employers to help its employees to own houses at a subsidized rate**.** Interest rate is low. It is on a long-term repayment plan. In other words, affordable deductions are made from the employee's remunerations for several years.

4. **Commercial Banks**

It is generally the least favourite because of the following reasons:

a. Interest rate is usually very high.
b. Their loan may be short-term
c. Stringent collateral conditions

5. **Private Property Developers**

6. **Life Endowment**

This is a policy of life insurance and is a form of savings.

Insurance companies may lend or guarantee loan from a bank with a collateral mortgage of life policy. The borrower assigns the policy to the lender and the notice of this is given to the insurance company.

CREATION OF MORTGAGES (Bar Final Favourite)

Two types of mortgages, namely, **LEGAL** and **EQUITABLE**.

1. LEGAL MORTGAGE

Legal mortgage is any mortgage created in accordance with the law in which case, the mortgage is by deed and was duly perfected.

Modes of Creation of Legal Mortgage (August 2018 Q 1viii & Q 2e, April 2019 Q 2c(b), August 2019 Q 4a, January 2020 Q 3a)

Generally, **the location of the property to be used as security and the applicable law determines the mode of creation of mortgage**. It is therefore important for every student to know from the scenario where the property to be used as security is located.

1. **CONVEYANCING ACT (EAST & NORTH): A.S.CSM**

we have three (3) methods/modes of creating a legal mortgage. It includes;

a. By Assignment
b. By Sub-demise
c. Charge by deed expressed to be by way of Statutory Mortgage

a. **BY ASSIGNMENT**

One major feature of this is that the mortgagor transfers the entire unexpired residue of his leasehold interest to the mortgagee.

There is no reversionary interest to the mortgagor, hence in the event of default; the mortgagee can pass the mortgagor's entire interest to a purchaser without any problems.

There is no privity of contract between the Governor/Head-lessor and the mortgagee, there is privity of estate.

Creating mortgage by Assignment is the preferred option for the mortgagee for the following reasons: focus

a. The **totality of the interest in the property is assigned to the mortgagee.**
b. **The mortgagee can exercise his right of sale easily without recourse to the mortgagor if the mortgagor defaults**: thus, he can transfer the interest assigned to him to a subsequent purchaser

Commented [MOU36]:
Which of the modes of creation of legal mortgage under the CA is most preferable? Give reasons. 2009 No 4(f)

The preferred option for the creation of a legal mortgage under the Conveyancing Act is mortgage by Assignment of the unexpired residue in the statutory right of occupancy. This is because:

1.The mortgagee has the power to transfer the title of the mortgagor in the event of default

2.The mortgagee will have the right to retain the original title documents

3.The mortgagee will be able to enforce the beneficial covenants in the head lease (if the title of the mortgagor is leasehold)

c. The **title deeds are retained by the mortgagee** (The mortgagee can take possession of the title deed).

b. **SUB-DEMISE**

The main advantages of this mode are:

a. There is neither privity of contract nor privity of estate between the Governor/head-lessor and the mortgagee;
b. There is uniformity, as this mode is applicable under the CA and PCL states
c. It can be used to create successive legal mortgage **in the PCL States only.**

The main disadvantage of creating mortgage by Sub-demise is that:

i. **The mortgagee cannot sell the mortgaged property together with the mortgagor's reversion** (i.e. the mortgagor must agree to sell the property).

The **REMEDY** to the above problem is either to:

A. **Power of Attorney**: the mortgagee, in consideration of the mortgage sum is appointed attorney with authority to deal with the entire estate and including the reversionary interest. The power of attorney is expressed to be **irrevocable** until the loan is discharged and by this device, the mortgagee can sell the legal estate by virtue of the clause.

B. **Trust Declaration and appoint the mortgagor as trustee** of the property in favour of the mortgagee and he would convey the property to the mortgagee as a beneficiary; ***Re White Rose Trust***

NOTE:

1. under the PCL there is no need for the above clauses to cure the disadvantage of a mortgage by sub-demise as that has been taken care of by **Section 112(1) of the PCL.**

Charge by deed expressed to be by way of STATUTORY MORTGAGE-S. 26(1) CA

NB – August 2011

For a legal mortgage created by sub-demise in a state which operates the **CA**, the challenge that the Mortgagee might face in exercising the power of sale of the property in the event of default is that the mortgagor exercises the reversionary interest in the property and there is no right automatic to exercise the power of sale by the mortgagee.

The challenge faced by the mortgagee may be taken care of by the inclusion of the remedial devices of a power of attorney or a trust declaration.

N.B – FROM ABOVE

My answer will be different if the property is situated in a State which operates the PCL, because the remedial devices of a power of attorney or a trust declaration are unnecessary since **the PCL expressly contains the right of a mortgagee to exercise the power of sale even where the mortgage was created by a sub-demise**. **Section 112 PCL.**

2. PROPERTY & CONVEYANCING LAW (PCL) STATES – S.CL.S

This law applies to only six states to wit; Ondo, Osun, Oyo, Ogun, Edo, Ekiti and Delta State.

Commented [MOU37]:
ENUGU
1.Demise(freehold-deemed grantee of ROO, transfer part) 108 PCL

2.By Sub demise(leasehold-grantee of ROO, transfer part) 109 PCL

3.By Statutory Charge by deed expressed to be by way of legal Mort 110

Under the PCL, mortgage can be created generally by: **S. 108, 109 and 110**

1) sub-demise for a term of years absolute
2) charge by deed expressed to be by way of legal mortgage
3) by statutory mortgage/charge;

A. **SUB DEMISE–Section 109 PCL;**

The same rules as explained earlier apply here, except that under the PCL, there is no need for the drafting devices. The law already makes provisions for them. **Section 112, PCL (a statutory power of sale for the mortgagee where the mortgagor defaults).** Allows subsequent and second mortgage to be created: **section 163 PCL**

B. **CHARGE BY DEED EXPRESSED TO BE BY WAY OF LEGAL MORTGAGE –S.110 PCL (This can simply be called Legal Charge)**

Advantages of Creating Mortgage by Legal Charge (this is the preferred option)

a. Since no interest is passed to the mortgagee, it is no breach of the covenant against sub-letting. **Section 22, Land Use Act**
b. It is **shorter and simpler to create**. ***Samuel v. Jarrah***
c. It is **easily discharged by a statutory receipt.**
d. There is **no transfer of the legal interest in the land/property used as security**
e. It is **convenient for mortgaging mixed properties** i.e. A single charge could be used to cover multiple properties

f. The charge has all the rights, powers and protection of a Legal mortgagee

g. It is **best for creating successive legal mortgages without drafting a new Deed**

C. BY DEED OF STATUTORY MORTGAGE

Distinction between Legal Mortgage Created By Assignment under C.A and Legal Mortgage Created By Sub-Demise under PCL

Banks prefer legal mortgage by sub-demise for two reasons:

1. **Lack of Privity --**In a legal mortgage created by an **Assignment**, even though there is no privity of contract, there is privity of estate, binding the mortgagee with liability for restrictive covenants running with the land; ***Tulk v. Moxhay.*** This opens the mortgagee (BANK) to liability for breach of the covenants.

   On the other hand, **in** a mortgage by **sub-demise, t**here is neither privity of contract nor privity of estate between the Governor/head-lessor and the mortgagee, so the mortgagee will not be liable for any breach of covenant.

2. **Uniformity: mortgage by Sub-demise** is common both under the CA as well as under the PCL; hence there is uniformity, which is attractive to the Banks that have branches all over Nigeria. But assignment is only peculiar to CA states.

3. **Creation of successive legal mortgages using the same** property as security is not possible in CA states but only possible in PCL states for mortgages created by legal charge or sub-demise **- Section 109(2) PCL**

CREATION OF LEGAL MORTGAGE IN LAGOS STATE

In Lagos State the applicable law in creation of mortgage is the **Mortgage and Property Law of Lagos State (MPL).**

Under the MPL, the mode of creation of legal mortgage depends on the nature of the mortgagor's interest over the security as follows:

1. **Right of Occupancy:**

If the mortgagor is a holder of a Right of Occupancy, which means he is traditional or customary owner of the property before the Land Use Act: legal mortgage will be created by: **Section 15 MPL**

1. Demise for a **term of years absolute**
2. Charge by **deed by way of legal mortgage**
3. Charge by **deed by way of Statutory mortgage**

All in **Form No.1 to the 2nd schedule MPL, S.4 MPL**

2. **Leasehold Interest: S.CL.SM**

The title of the mortgagor is said to be leasehold if he is a holder of Certificate of Occupancy issued by the governor. Where the mortgagor's interest is covered by a C of O, legal mortgage will be created by:**S. 15 MPL**

1. **Sub-demise (less by at least one day)**
2. Charge by **deed expressed to be by way of legal mortgage**
3. Charge by **deed expressed to be by way of Statutory mortgage**

NOTE: in the exam if the nature of the interest or title of the mortgagor is not indicated, students are expected to present the two above. i.e

Both freehold and leasehold can be charged under the MPL – applicable to the entire Lagos State: (see ss. **15 & 16 MPL**).

a. Demise

b. Sub-demise.
c. Charge by deed expressed to be by way of statutory mortgage
d. Charge by deed expressed to be by way of legal mortgage

ADVANTAGES OF LEGAL MORTGAGE

1. **More Secured against fraud than equitable mortgage**
2. **Easier to enforce than equitable mortgage**
3. **Rank higher in priority than equitable mortgage**
4. The mortgagee is entitled to the title document
5. Can be used for small, medium and large loans

CREATION OF EQUITABLE MORTGAGE

An equitable mortgage is a type of mortgage created under the rules of equity. It confers equitable interest on the mortgagee. It is a mortgage that can only be enforceable in equity.

Modes of Creating Equitable Mortgages - (April 2018 Q2d, April 2019 Q 3a, March 2021):.

1. By mere deposit of title deeds **with a clear intention that the deeds should be used or retained as security for the loan**. **Okuneye v FBN Plc**
2. By an **agreement to create legal mortgage**. ***Ogundiani v Araba***
3. **By deposit of title deed accompanied by an agreement to execute a legal mortgage.**
4. **Mortgage of an equitable interest**
5. **A defective legal mortgage:** such has failure to obtain governor's consent **Savannah Bank v Ajilo**
6. By mere equitable charge of the mortgagor's property.

Creation of Equitable Mortgage under the MPL Lagos State S. 18 MPL

1. **Deposit of title deed accompanied by an agreement to create a legal mortgage in favour of the mortgagee,**
2. **Charge accompanied by an agreement to create legal mortgage**
3. **Assignment of equitable interest** with proviso for redemption **See Section. 18 (1) MPL**

N.B

For an equitable mortgage, the condition precedent for the Bank to sell the property is to first seek and obtain the order of the court.

CREATION OF SUCCESSIVE LEGAL MORTGAGES USING THE SAME PROPERTY AS SECURITY

This occur when the **same property is mortgaged twice or more with different mortgagees.**

(1) In CA (East & North): successive legal mortgages **cannot be created over the same property.**

This is because **in the CA States**, the applicable law for the creation of legal mortgage is the common law which **uses the doctrine of interesse termini**. This is because once a legal mortgage is created, the mortgagor transfers his legal title in the property to the mortgagee and what he has left is mere equity of redemption and therefore can only create an equitable mortgage.

(2) In the PCL States: successive legal mortgages **can be created over the same property.**

Successive legal mortgage is possible in PCL states because **section 163 PCL** abolished the doctrine of ***interessi termini***

NOTE: **Section 50 LRL**, Lagos State can also create successive legal mortgage

S. 50 LUA permits successive mortgages.

Conditions for Creation of Successive Legal Mortgages under the PCL

a) The **property must be covered by C of O** i.e., the land **must be registered.**
b) The **value of the property must accommodate the subsequent loan**
c) There **must be a remaining/reversionary interest** by at least one day

COVENANTS IN MORTGAGES (April 2019 Q 2c)

1) Covenant to Repay the Mortgage Sum & Interest
2) Covenant to Insure
3) Covenant to Repair
4) Covenant not to Assign or Sublet
5) Covenants on Consolidation of Mortgage
6) Covenant on Non-Redemption for a Term Certain
7) Covenants on Leases and Sub-Leases
8) Covenant to Create Power of Attorney/Declaration of Trust
9) Covenant to Observe and Perform any Condition in the Head-Lease
10) Covenant Against Unauthorized Use

1. Covenant To Repay the Principal and Interest at A Fixed Date

One of the basic features of mortgage is that the loan is repayable on an agreed date with interest**.** This covenant aids the mortgagee to know when his power of sale may arise.

It should capture the following:

1. **Repayment of the mortgage sum and the interest within the fixed period**
2. **The interest rate must be agreed upon.**

   Where the interest rate is not agreed upon. Custom and usage in banking will be applicable, causing the interest rate to fluctuate from time to time

NOTE: This covenant to repay principal & interest **must be drafted as a positive inducement and not a negative inducement or as a punishment**.

EXAMPLE 1

The courts will frown at a covenant drafted thus: **(January 2020 Q 3e)**

"The interest payable is 15% but where mortgagor fails to pay on time, the interest shall be 20%".

Therefore, a better clause would go thus:

"The rate of interest shall be 20% but if the mortgagor makes punctual repayment, the rate of 15% may be accepted

(This is the one you should draft if asked for in the exam)

2. COVENANT TO ENSURE THE SECURITY

This covenant is to provide for what would happen in the event of any damages or destruction to the property.

S. 19(1)(ii) CA & S. 123 PCL provides that if the mortgage is made by deed, the **mortgagee insures and the premium charged is added to the interest and the mortgage sum.**

Contents of the Insurance Covenant (April 2019 Q 2c)

The covenant should contain the following things: **DWRACA**

1. Date of commencement of the insurance policy
2. Who to insure;
3. The risk to be insured against
4. The Insurance company
5. The amount of the Insurance Cover
6. Application of the insurance money.

it's in the interest of the mortgagee to request and ensure that the property be mortgaged in the joint names of the mortgagor and the mortgagee **S. 23(2) CA and S. 132 (2) PCL**. Failure to do so mortgagee might not be able to effect the mortgage

Factors that determine the risk to be insured against are: (Exam)

a. The **use to which the property is put**
b. The **location of the property**
c. The **nature of the property itself** – developed property or vacant land

2. COVENANT ON CONSOLIDATION

Consolidation of mortgages **occurs where a mortgagor uses different properties to secure a loan of money from the same mortgagee.**

(E.g. mortgage on property A for a sum of money from Zenith Bank, mortgage on property B for a sum of money from Zenith Bank); Zenith Bank may consolidate the mortgages into one and therefore **the mortgagor must redeem all three properties at the same time and not separately**.

Generally, **the law prohibits consolidation of mortgages** (because it is oppressive to the mortgagor) **EXCEPT where the parties expressly agreed to it in their deed of mortgage**; **S. 17 CA, s. 28 MPL, s. 115 PCL**, S.114 of the abia state property law

Conditions for Consolidation (April 2017 Q 3a)

a. It must be the **same mortgagor and mortgagee (Parties must be the same)**
b. The **mortgage must be by deed**
b. The **legal due date for ALL the mortgages Must Have passed**
c. **It must have been expressly agreed by the parties and stated in the deed of mortgage.**

N.B

The import of this is that the mortgagor CANNOT redeem any of the property but all must be redeemed upon the full payment of the mortgage sum

3. **COVENANT TO REPAIR**

This deals with the reinstatement of parts that have fallen into disrepairs. The aim is to maintain the value of the property to avoid depreciation of the property. The parties should agree on who is to repair, and list out the places to be repaired.

NOTE

It is advisable that the mortgagee carries out the repairs and subsequently **charges the cost of repairs on the mortgage property**. However, repair does not include rebuilding the property: ***Nigerian Loan & Mortgage Co. v Ajetunmobi.***

4. **COVENANT ON LEASE AND SUB-LEASE ON THE PROPERTY**

This largely depends on whether the lease was created before or after the mortgage.

If there was a lease on the property BEFORE the mortgage the lease will be BINDING on the mortgagee and even on subsequent purchaser and the mortgagee will not be entitled to rent.

Where the lease is created AFTER the mortgage, then **the determining factor is whether either party is in possession** in which case **the party in possession of the mortgaged property can create a lease binding on the other: Section 18(1) CA, section 121(1) PCL.**

Where the lease is created **after** the mortgage the CA and PCL allows it but the PCL provides that it shall not exceed 99 years

5. **COVENANT NOT TO REDEEM FOR A TERM CERTAIN**

A mortgage cannot be irredeemable, but can be made to be irredeemable for a certain period and if there is a covenant not to redeem, the period must not be unreasonably long ***Multi Service Banking Ltd v. Merden*.**

Except for debentures arising from a company's mortgaging of land, the right of redemption cannot be clogged. S. 171 CAMA

The, courts frown at this restriction and therefore adopt a restrictive approach in interpretation and enforcement of this covenant.

However, it may be allowed upon the following being considered:

A. What is the length of time?

Where the length of time is short, the court may allow it. Where it is fairly long the court may not allow it.

B. Who are the parties?

If the mortgagor is a corporate body, not in liquidation, or those who are elites and knowledgeable, the court will allow the restriction on the ground that the members ought to know the implications of such restriction.

C. What type of mortgage is created?

If it is a legal mortgage with all the covenants agreed, the Court of equity will be slow to go against the agreement. If it is equitable mortgage, the court of equity is more willing to be sympathetic.

6. COVENANT AGAINST UNAUTHORIZED USE

UP-STAMPING (see April 2018 Q 2a & August 2019 Q 3a, January 2020 Q 3c)

It is an **additional stamp duty paid by a Mortgagor who obtains additional facility using the same property from the same bank (Mortgagee)**.

If subsequently the mortgagor wants additional loan from the same mortgagor using the same property as security, he does **not need to apply for fresh governor consent**. **Owoniboys Tech Services Ltd v. UBN Plc**

Stamp duty is paid on the additional loan and the ***instrument registered***.

Owoniboys Technical Service v. UBN plc.

Up-stamping **does not require another registration** so long as the first mortgage was registered – **AIB Ltd v Lee and Tee Ind Ltd.**

NOTE: In Lagos state 1.5% of the value of the up-stamped document is payable before the document is registered. Item 17 2nd schedule, Lagos state Land Registration of title law 2014.

The conditions for the grant of additional loan by a bank to an existing mortgagor relying on the same security are: FOCUS

(a) Parties must be the same

(b) the **security provided by the mortgagor can conveniently take care of the loan and interest.**

(c) there would be proper up-stamping of the additional loan after it is granted

NOTE: For companies up-stamp at FIRS

Some Features of Up-Stamping

1. The property is the same;
2. The terms are the same
3. The parties are the same but
4. The new facility or advancement is different
5. New duties are paid to (up-stamp) to the new document
6. The up-stamped instrument is registered.

THE RIGHTS AND REMEDIES OF A LEGAL MORTGAGEE (April 2018 Q 2c & August 2019 Q 3a, Dec 2020 Q 3c March 2021)

A mortgagee has the following rights, powers or remedies upon default by the mortgagor:

1. **Right of action in Court to recover the mortgage sum and interest – Ezomo v NNB Plc**
2. **Right to sale of the mortgaged property - Visioni v NBN**
3. **Action for Foreclosure – S. 21 LUA**
4. **Appointment of receiver – Awojugbabe Light Industries v Chinukwe**
5. **Right to take possession of the property. Section 123 PCL, 19 CA, S. 35 MPL**
6. **Right to sue for an order of specific performance.**

NOTE: FOCUS

There are several remedies available to a **mortgagee** in the event of default by a mortgagor and **these remedies are cumulative, as the use of one does not preclude the mortgagee from resorting to another.**

e.g Notwithstanding the pendency of an action in court, the mortgagee can validly exercise the power of sale though not advisable. **Olori Motors Nig Ltd v UBN**

1. RIGHT TO TAKE POSSESSION

Possession goes with legal estate. A **legal mortgagee** has a right to take possession of the mortgaged property upon execution of the mortgage …

The mortgagee is entitled to possession whether or not the mortgagor is in default of payment of the loan. Hughes v Whaite

This right is **immediate**. **An equitable mortgagee can only take possession of the property (security) upon a court order**.

The right accrues immediately upon default of payment, but the mortgagee must render accounts

The mortgagee **cannot be liable for trespass when it exercises its right to take possession** the mortgagor being not its tenant but remains in possession at will or mercy of the mortgagee. **AWOJUGBABE LIGHT INDUSTRIES LTD V CHINUKWE**

When Should a Mortgagee Take Possession?

a. Where the **property is being squandered**
b. **Fear of destruction or depreciation is imminent**
c. Where the **primary concern is the payment of interest and not the mortgage sum.**

Reasons Why It Is Not Advisable to Take Possession: (April 2017 Q 3)

a. **The mortgagee will be liable to account for the profits made or received on the property to the mortgagor**. **White v. City London Brewery (focus)**
b. The **mortgagee is also liable for any deterioration or neglect or disrepair of the property**. Thus, must carry out repairs on the property.
c. The lender is liable to pay rent for use of the property while he is in possession even after the mortgage has been discharged.
d. The **mortgagee cannot make profit from the property; he can only recover mortgage sum and interest his security**

e. The mortgagee will also be deemed to have accepted payment by instalment.

2. APPOINTMENT OF RECEIVER

A receiver is **an independent, uninterested third party** appointed to manage the mortgaged property: ***Adetona v. Zenith International Bank Ltd***

When a legal or an equitable mortgage is **created by deed**, the mortgagee has a right to appoint a receiver upon a default when the loan is due to receive income of the mortgage property or any part of it.

An **equitable mortgage created not by deed; the mortgagee must apply to court for appointment of a receiver.**

For an equitable mortgage made by deed solicitor should ensure that a provision is made for the appointment of a receiver

Powers, Duties and Rights of a Receiver: Sect. 24 CA, Section 131 PCL

a. The receiver shall have the power to **demand and recover all the income of the property of which he is appointed receiver**. Pursue debts owed to the property, collect any rents etc.

b. He shall be **entitled to remuneration out of the money received by him to pay taxes, rates and other outgoings in respect of the property.**

c. To **pay interest on the mortgage sum**

d. To remit the balance to the person who is entitled to receive the income of the mortgaged property; ***Awojugbabe Light Industries v. Chinukwe***

3. **ACTION IN COURT TO RECOVER PRINCIPAL SUM AND INTEREST**

   Available to the mortgagee **where the mortgage instrument does not confer an express power of sale on the mortgagee. Ezomo v NNB Plc.** Either by Summary Judgement or Undefended List Procedure – See Order 11 Lagos and Order 35 Abuja.

4. **ACTION FOR ORDER OF SPECIFIC PERFORMANCE**

This remedy is available to an **EQUITABLE MORTGAGEE.** This would arise where the equitable mortgagor **fails, refuses or neglects** to complete documentation of the mortgage agreement.

5. **POWER OF SALE (Dec 2020 Q 3d March 2021 Q1)(favourite)**

The power and right of a mortgagee to sell property is central to legal mortgages created by deed. **It is automatic. T**he mortgagee need not go to court to enforce it**.** However, for the mortgagee to be entitled to exercise its power of sale, the power must **HAVE ARISEN** and **become EXERCISABLE**. **(2 conditions)**

It arises upon the expiry of the legal due date and also **when there is default in the payment of any instalment** – **Union Bank v Fajebe Foods Ltd**

For the power of sale to **ARISE** the following three conditions **MUST EXIST:**

a) The **mortgage must have been created by a deed;**
b) There must be **no contrary intention against sale in the mortgage deed;**

c) **The legal due date, which is the date of redemption**/repayment of the mortgage **must have passed**: **Section 19(1) CA, section 123 PCL,** ***NHDS Ltd. v. Mummuni*****, Nig. Advertising Services Ltd v. UBA Plc.**

d) There is default in any payment of regular instrument **(Union Bank Ltd v Fajebe Ltd)**

Even where power of sale has arisen, the mortgagee is still **NOT** entitled to sell the mortgaged property **unless** and until the power has become exercisable: ***NAB Ltd v. UBA PLC*****.**

The power becomes EXERCISABLE when any of the conditions in section 20 CA and 125 PCL is satisfied, which is that:

a. **Notice requiring payment has been served on the mortgagor** and **there is default of payment of the mortgage money for 3 months after such service**

b. **Some interest under the mortgage is in arrears and unpaid for 2 months after becoming due**.

c. There has been a breach of some terms in the mortgage deed or under the statute i.e. the CA or the PCL

B.O.N v. Aliyu, B.O.N v. Babatunde

Note: The construction of the above is disjunctively

EXERCISE OF POWER OF SALE Lagos – S 37(1) MPL

1. **Notice requiring payment has been served on the mortgagor** and **there is default of payment of the mortgage money for 2 months after such service**;

2. **Some interest under the mortgage is in arrears and unpaid for 2 months after becoming due**

3. **There has been a breach of some provisions contained in the mortgage deed or under the MPL**

   (The principal thing here is the **two-month default payment** which differs from other states asides that its essentially the same)

NOTE:

Compliance with the above conditions is mandatory and not advisory, **BON v ALIYU**

the above requirements may be dispensed with or varied upon agreement of the parties. **BON v BABATUNDE, S. 19(2) CA and S. 123 PCL**

Protection of Innocent Purchaser

A purchaser who purchases a mortgaged property **BEFORE** the power of sale arises **WILL ACQUIRE A BAD TITLE.**

However, **Section 21(2) CA and 126(2) PCL** offers protection to a third party or purchaser who buys the property where the **power HAS ARISEN BUT NOT BECOME EXERCISABLE provided**, he is a ***bona fide*** purchaser for **value without notice of the default**; **(Dec 2020 Q 3d)**; ***Okonkwo v CCB; Eka-Eteh v. NHDS*, Nigeria Advertising Services Ltd v. UBA**

The only remedy available to the aggrieved mortgagor is action for damages against the mortgagee

A sale of the property used as security may be set aside by the court on the following grounds: focus

a. That the mortgagor has **NO GOOD TITLE *AB INITIO*** - **Erikitola v. Ali**

b. There is **FRAUD/COLLUSION** between the mortgagee and the purchaser; ***Ogwuchi v. FMB Nig Ltd***

c. Where there is evidence that the **money advanced was paid in full**

d. Where the **right of sale has not arisen before the actual sale**. **Twentieth Century Banking Corporation v. Wilkinson.**

e. That the sale was made after payment of the out-standing mortgage sum.

f. Where the property was sold for a gross undervalue. **Does not necessarily imply fraud there must be evidence of fraud and must be proved beyond reasonable doubt**. ***ACB v Ihekwoba*** (**focus**)

g. The mortgagee sells to itself or to its agent:
The rule is that a mortgagee must not sell mortgaged property to itself or its agents or privies and such sale will be invalid. **Ekah Ete v Nigeria Housing Development Society Ltd**
But this is only the case where the sale takes place by a private treaty. But if it is by public auction, it will be valid. **Okonkwo v CCB**

h. **Where a mortgage is created by sub-demise without a POA or Trust Declaration in a CA jurisdiction.**

i. **Where required consent was not obtained.** for example under LUA, the consent of the Governor is required for legal mortgage. See **SAVANA BANK V AJILO**

A sale of the property used as security for a mortgage will not be set aside on the following grounds:

i. It was sold at a low price, **except** it was sold at a gross undervalue and there is fraud in it: **S. 183 of the PCL and *Okonkwo v. CCB***
ii. The outstanding sum is contested by the parties
iii. The sale was **motivated by ill-will**
iv. The mortgagor has paid a part of the loan
v. An Order of the Court was not obtained before the sale- ***UBN Ltd. v. Olori Motors Ltd***

Commented [MOU38]: A mere sale of a property at a low price alone without more, will not be a ground to set aside the sale by a mortgagee unless the price is so low that it can be taken as evidence of bad faith or collusion. **Ekah Ete v Nigeria Housing Development Society Ltd; Okonkwo v CCB; Section 183 PCL.**

Application of Proceeds of Sale: (Bar Final 2017 & 2018, Dec 2020 Q 6e)

a. Pay up all mortgages having priority.
b. Pay commission to the auctioneer and all other cost
c. Pay up outstanding interests and
d. Pay up outstanding the mortgage sum.
e. Pay balance (if any) to the mortgagor or to any persons entitled to it.

Section 21(3) CA, section 127 PCL, Visioni Ltd v. NBN

NB: You must write it in this order !!!

NB – 2011 MAY

Where the sum realized from the sale of mortgage property does not fully pay the mortgage sum and interest, a mortgagee can still proceed against the mortgagor in court for an action for the mortgage sum and interest

POSER

What is the effect of a sale of mortgaged property by a mortgagor while the loans remains unpaid **May 2011 No 4C(ii)**

A sale of mortgaged property by the mortgagor merely transfers an equitable interest and the equity of redemption to the purchaser. Notwithstanding the sale, the mortgagee can still do any of the following:

a. Action to recover principal sum and interest
b. Foreclosure
c. Appointment of a receiver
d. Right to Possession
e. Statutory right of sale of the mortgaged property

6. ACTION FOR FORECLOSURE

This is an **Order of Court extinguishing the mortgagor's equity of redemption.**

Where the court is willing to grant the foreclosure order it will:

a. First make the order nisi (**6months**)

b. Then Absolute if the borrower is still unable to pay

Commented [MOU39]:
Where the proceeds of sale do not satisfy the principal and the interest, the mortgagee can sue the mortgagor to recover the balance.

The court may transfer the title of the mortgagor to the mortgagee or order a sale of the property. NB certificate of sale\purchase registrable of Ogun and Kaduna

The Order of foreclosure can be re-opened on the following grounds:

1. He's **ready to pay all the money outstanding on the loan**, principal, interest **and cost immediately to court**
2. The mortgagee acted in **bad faith in obtaining the order nisi**
3. The **property as security is of immense value** i.e. it is a family property
4. **That it's just and equitable to do so**

MORTGAGOR'S REMEDIES AND RIGHTS

A mortgagor has the right to redeem his property at any time before the due date, (legal right) and even after the due date (its equity of redemption). This is so because once a mortgage is always a mortgage; ***Yaro v Arewa***. This is known as equity of redemption**.**

The right of the mortgagor to redeem can never be clogged upon either expressly or impliedly by agreement in the mortgage Deed- ***Santley v Wilde;***

The **right of the mortgagor to redeem the mortgage On or Before The Legal Due Date for repayment of the loan** is known as **Legal Right to Redeem**.

While the right to redeem AFTER the due date is the right granted by equity to the mortgagor to still recover his security by paying the mortgage sum and interest although the time fixed for the payment of the money has passed. This is known as **Equitable Right to Redeem.**

NOTE: the **equitable right** to redeem **becomes extinguished where the mortgagee has exercised its power of sale or has obtained an order of foreclosure which has become absolute.**

Taxes payable in respect of a Mortgage transaction. 2010 No 1a (v)

- Stamp duties
- Land Use Charge
- Consent fees
- Registration fees

PARTICULARS NEEDED TO PREPARE A MORTGAGE DEED

1. Particulars of the parties: Full names and addresses
2. Date of commencement
3. Duration of the mortgage
4. Principal sum
5. Interest rate
6. The terms of repayment
7. Loan offer letter
8. Mortgagors tax clearance certificate
9. Receipt of payment of ground rents and tenement rates
10. Valuation report
11. Original title deeds
12. Terms and conditions contained in the covenants
13. Description of the mortgage property
14. The witnesses

REPRESENTING BOTH PARTIES – focus (full gee and half gor)

Where one solicitor acts for **both mortgagor and mortgagee**, he is entitled to **the full charges due to the mortgagee's solicitor plus half of what would be due to the mortgagor's solicitor.**

PERFECTION OF LEGAL MORTGAGE

The appropriate order is – May 2012

1. Consent of the Governor. **Section 22 Land Use Act**
2. Stamping the Deed of Mortgage. **Section 23 Stamp Duties Act**
3. Registration of the Deed of Mortgage. **Onashile v Barclays Bank.**

1. GOVERNOR'S CONSENT; Section 22 LUA

The consent of the Governor must be sought and obtained for the creation of a legal mortgage.

Failure to obtain the consent of the **Governor before the actual mortgage** itself makes the transaction null and void; ***Savannah Bank v. Ajilo***

The transaction is inchoate but not unenforceable**;** ***Awojugbabe Light Industries v Chinukwe.***

For the creation of debenture (being a floating asset) the consent of the governor is not needed. **Nig Ind. Dev Bank v Olalomi**

Where the **land is subject to Customary Right of Occupancy, the consent of the appropriate local government is required - Sect 21 Land Use Act.**

Responsibility of the mortgagor to apply for consent

Where the mortgagor fails to obtain the consent, he cannot be heard to say the transaction is illegal. Felix George & Company V Afinotan

NOTE:

However, in an alienation through equitable mortgage the consent of the governor is not required. **Okuneye v. First Bank Plc**

Consent of the Governor After the Deed of Mortgage has been Executed Whether It Is Null & Void

However, where a deed of mortgage had been executed **WITHOUT FIRST OBTAINING the governors consent and the parties had intended it to be Effective After The Consent Of The Governor Has Been Obtained, its prior execution and physical delivery will not make it null and void or ineffective but rendered inchoate and mere escrow. Awojugbabe Light Industries v. Chinuke (the transaction is inchoate)**.

DELEGATION OF CONSENT

1. Governor's consent can be delegated to the commissioner of lands
2. **It Cannot Be Sub-Delegated** to a permanent secretary or a director. **FMB Plc v. Babatunde.**

Documents Required for Governor's Consent - Focus

1. Application Letter (or duly completed form) for Governor's consent
2. Tax Clearance Certificate
3. Title deeds of lands of the mortgagor
4. Deed of Mortgage Duly Executed by both parties

5. CTC of Original Title Documents
6. Evidence of payment Consent Fee
7. Evidence of Payment of Ground Rent
8. Evidence of Payment of Tenement Rate where the property is developed
9. Building Plan approval (for developed property)

When mortgagor is a company: the following documents will be included:

1. Certificate of incorporation
2. CTC of Memo & Article of Association
3. **CAC Form CAC 7** (Particulars of Directors) and E-Status Report (in case there is a change, E-statuts report shows this and therefore should be used.
4. Tax Clearance Certificate of the Company

2. **STAMPING**

A deed of legal mortgage is required to be stamped as evidence of payment of stamp duties (taxes) imposed by the Stamp Duties Act. The duty paid on mortgages is **ad valorem** (according to the value of the transaction). A document is required to be stamped **within 30 days** of its execution **section 23 Stamp Duties Act**.

FAILURE TO STAMP

Inadmissible until the stamping fee and any applicable penalty is paid. **S. 23 SDA – Da Rocha v. Hussein – Ogbahon v. Registered Trustee**

3. **REGISTRATION-Section 2(1) Land Instrument Registration Law:**

A deed is to be registered **within 60 days** of its execution

In Lagos it shall be registered **within 60 days after** obtaining the Governors consent. **Section 26 Lagos State Land Registration Law**. (FOCUS)

Where the mortgagor is a **company**, it must be registered with CAC **within 90 days**. **Section 222(1) CAMA.**

Effect of Non-Registration of Mortgage: (Exam Focus)

a. The instrument is inadmissible to prove to prove title**: sect 15 Land Instrument Registration Law of Lagos (LIRL)**, ***Benjamin v. Kalio***.

b. It **loses priority** where there is conflict of interest. – ***Fakoya v. St. Paul Church Shagamu; Okoye v. Dumez***

c. If the property falls within the registration district and it is not registered **within two months** of the execution of the deed of mortgage, the transaction will be void***: Onashile v. Barclays Bank Co.***

d. Unregistered document can be used to prove evidence of transaction or receipt. See Benjamin v. Kalio.

DOCUMENTS REOUIRED FOR PERFECTING LEGAL MORTGAGE –

1. The **title documents**

Commented [MOU40]:
EFFECT OF NON-REGISTERATION OF A MORTGAGE TRANSACTION UNDER THE LRL LAGOS

•**Registered Document shall be admissible to prove that the interest/transaction is registered S. 6,24, 30, 108, & 109(2)**

•**Document not registered shall not be admissible in court as affecting the land to which it relates S. 30**

•**Late registration attracts fine S. 28**

•**Registration governs priority S. 29**

•**Transaction remains inchoate, i.e. no interest is transferred/created unless and until doc is registered**

•**Access to file, register, or CTC of registered doc, free of charge on subpoena or order of court**

2. **Tax clearance** of the mortgagor for 3 years preceding the year of assessment and that of the mortgagee, if any.
3. **Application form for Governor's consent** or written application
4. **Receipt of payment of ground rent** on the property
5. **Receipt of Payment of any tenement rate** where this required
6. **Valuation report**
7. **Approved building plan of the property**
8. **Insurance policy of the property**
9. The **mortgage document/deed** itself
10. **Application made for payment of stamp duties and for registration of the mortgage deeds**

SEARCH REPORT

It is a written comprehensive assessment of the property to be mortgaged practitioner by a legal to the mortgagee.

PURPOSE OF SEARCH REPORT

1. To **determine whether the mortgagor has a good title**
2. To **ensure the property is free from encumbrance**
3. To guide the mortgagee appropriately on taken decision whether or not to engage in the transaction.

CONTENTS OF SEARCH REPORT – focus

1. Date of search
2. Place of search
3. Name of borrower
4. Owner of the property, if different from the borrower
5. description of the property

6. Nature of the interest: Statutory Right of Occupancy
7. Encumbrance and if any nature thereof
8. Comment: The solicitors advice
9. Name of the solicitor who conducted the search
10. Signature of the solicitor

Where the **borrower/Mortgagor is a company** the search report should contain the following:

1. Date of search
2. Name of the company
3. Date of incorporation
4. RC number of the company
5. Particulars of shareholders
6. Particulars of the directors
7. Borrowing powers of the company
8. Any registered charge against the company's assets
9. The last annual returns filed
10. name & signature of the solicitor

SEARCH REPORT IN LIMS

The report is as **in form 4 to the schedule of LRL**, Electronic search report

1. Document search
2. Date of search
3. Description of property
4. Grantor

5. Grantee
6. Term
7. Area of land
8. History of land
9. Subsequent transaction/encumbrance
10. Remarks

HOW/WHERE TO CONDUCT SEARCH

1. Land registry
2. Physical inspection
3. Court registry
4. Probate registry
5. LIMS
6. CAC where a company is involved

DISCHARGE OF MORTGAGES (focus)

In the CA states: deeds

a) By Deed of discharge

b) deed of release

c) deed of surrender.

In the PCL states: S. 135 (Receipt)

a) By a simple **receipt** (statutory receipt)

b) By reassignment.

c) By surrender

d) By release of transfer

Under the MPL (Lagos); 30, 47, 52

a) Statutory receipt

b) reconveyance/surrender

Equitable mortgage:

a) By a simple receipt of payment under hand (where made to the mortgagee 's solicitor, it should be by deed).

COMPANY

Where the mortgagor is a **company**, a certificate of discharge and filing of memorandum of satisfaction in the register of charges **(form CAC 10)**

POSSIBLE EXAM QUESTIONS

1. **Identifies or state the mode for creation of the mortgage over the property located in Asaba Delta State.**

   Answer: Since Delta is a PCL state legal mortgage will be created by sub-demise, legal charge and by statutory mortgage; section 109-110 PCL (**NOTE: The property may be located in any other state**)

2. **Mention 4 covenants that must be in the mortgage deed.**

3. **State five remedies available to the bank upon default by the mortgagor in repaying the loan.**

4. **Assuming the mortgagor merely deposited his title documents with the bank, state the condition precedent for the bank to sell the property if the mortgagor defaults.**

   Answer: if the mortgagor merely deposited his title documents then it is an equitable mortgage and therefore the mortgagee must obtain an order of court before it can sell the property.

5. **The mortgagor intends to borrow additional loan from the mortgagee using the same property as security, advise the parties of the legality or otherwise of doing so.**

   Answer: It is possible. That is up-stamping where in the parties will pay additional stamp duties on the new loan granted.

CHAPTER EIGHT

SOLICITORS BILLING AND CHARGES FOR PROPERTY TRANSACTIONS

THE APPLICABLE LAWS

1. Legal Practitioners Act 2004
2. Rules of Professional Conduct for Legal Practitioners 2007
3. Land Instrument Preparation Law
4. Legal Practitioners Remuneration for (Legal Documentation and other Land Matters) Order 1991
5. Judicial Authorities.

Types of Fees Chargeable in Property Transactions (April 2018 Q 1ei)

1) Fixed Fee
2) Appearance Fee
3) Hourly Rate Fees
4) Percentage Fees
5) Contingent Fee
6) Scale Fees
7) Consultation fee

1. SCALE FEE

These are fees charged under Scales I and II Legal Practitioner (Remuneration for documentation and other land matters) order **in non-contentious matters.** Fees here are fixed and can neither be disputed nor varied by the court.

2. **FIXED FEE**

This is fee charged for specified class of works, such as drafting. Fixed fee **is charged for simple non-contentious works** and is usually a flat rate.

Note: **where a firm has a general retainership to represent a firm in contentious issues, he cannot set a fixed fee**. It would be a breach of **Rule 49 RPC** which provides that counsel must be separately instructed and remunerated by fees for each piece of work. It is therefore not permissible for counsel to undertake to represent any person, authority or corporation in all their court work for a fixed annual salary. For each case he must have a separate fee.

3. **HOURLY RATE FEE**

This is fee charged on hourly rate for the number of hours spent on the client's work. The time spent must be commensurate and reasonable to the work done (used in the USA).

4. **PERCENTAGE FEE**

This is fee charged based on the value of the transaction, the higher the value the more the percentage charged and the lower the value the lower the percentage charged. It is common in property transactions especially the sale of land.

5. **CONTINGENCY OR SUCCESS–BASED FEE**

Mostly a portion of the amount recovered in a transaction and usually based on success in the matter. A lawyer may enter into a contract with his client for a contingent fee in respect of a civil matter undertaken for a client whether contentious or non- contentious

it is banned under **Rule 50(2) RPC** for criminal matters. It is only permitted in civil cases -**R. 50(1) RPC**

Conditions for Charging Contingency Fee; Rule 50(2) RPC (April 2018 Q 6e)

1. The **arrangement must be reasonable at all times**
2. There **must be no fraud, mistake or undue influence**
3. The arrangement **must not be contrary to public policy**
4. It must **not relate to criminal matters**
5. The **lawyer must inform the client of the effect of the contingency fee arrangement** an afford the client an opportunity to retain him based on the arrangement

SCALE OF CHARGES

The **Legal Practitioners Remuneration for Legal Documentation and other Land Matters Order 1991** provides 3 scales of charges for legal documentation and land matters.

SCALE 1: This deals with completed transactions of sale of land, purchase or mortgage.

NB: In mortgages, the solicitor to the mortgagor charges **his full charges** as computed according to the scale, while the solicitor to the **mortgagee is** entitled to charge **full charges** as computed according to the scale.

Where one solicitor acts for **both mortgagor and mortgagee**, he is entitled to **the full charges due to the mortgagee's solicitor plus half of what would be due to the mortgagor's solicitor.**

SCALE II: These deals with leases and agreement for leases in which the transaction have been completed.

NB: In leases, the **lessor's solicitor** is entitled to **the full charges** as computed according to the scale; whereas **the lessee's solicitor** would be entitled **to half of what the lessor's solicitor** charged …

Where one solicitor acts for both lessor and lessee, he is entitled to the full charge due to the lessor's solicitor, plus half of what is due to the lessor's solicitor i.e. full charge of lessor's solicitor's fees **plus ¼ of lessor's solicitor's fees (April 2019 Q 3e, August 2019 Q 3cii)**

For instance: if the lessor's solicitor is entitled to **N50, 000.00**, the lessee's solicitor will be entitled to **N25, 000.00** but if it's one solicitor that is acting

for both parties, he will be entitled to N50, 000.00 plus **N12, 500.00** which is half of **N25, 000.00 (i.e. ¼ of N50, 000.00).**

SCALE III: These deals with all other legal documentation not provided for in scales I and II. There is no specific amount fixed, the fees charge shall be fair and reasonable.

A lawyer must inform his client of his intention of charging under scale III

Principles/Conditions for Charging Under Scale III (August 2018 Q 6d)

1. The **complexity, novelty and difficulty of the matter**
2. The **skill, labor, specialized knowledge, expertise and responsibility involved on the part of the solicitor**
3. **Value of the property involved.**
4. The **time expended by the lawyer in the transaction**
5. The number and importance of the documents prepared
6. The importance attached to the transaction by the client
7. Places to be visited where the transaction or a part of it will take place.

Procedure for the Recovery of Professional Fees (Dec 2020 Q 6d)

1. Prepare a Bill of Charges
2. Deliver a signed Bill of charges to the client
3. **If after 1 month the client failed to pay**, **sue to recover fees in Court** (it is the High Court that has jurisdiction on this matter)
   See S. 16(2) of the LPA. See also *Oyekanmi v. NEPA*

Bill of charges may be taxed if objectionable or applied for by the client **within 1 month** of the receipt of the Bill;

NOTE: The Court having jurisdiction is the **High Court.**

CONTENT OF A BILL OF CHARGES - focus

1. The name and address of the Legal Practitioner
2. The name and address of the Client
3. Nature of the brief
4. Date of all principal items
5. Particulars of principal items and cost
6. Method of payment and the information that failure to pay, legal action will be taken against him.
7. Signature, date and name of the Legal Practitioner; ***See FBN v. Ndoma-Egba and Oyekanmi v. NEPA;*** **S. 16 (2) (a) LPA**

TAXATION OF BILL OF CHARGES

The client is to apply within 1 month of receipt of the Bill to the Court for it to be taxed. It is taxed by an officer of the Court based on **R. 52 of RPC. See S. 17 & 19 of the LPA**

APPLICATION FOR TAXATION

1. Within 1 month of service of Bill of Charges: Only the client can apply for taxation and the court has no discretion but to conduct the taxation;
2. After 1 month of service of Bill of Charges: Any of both parties can apply for taxation but the court has a discretion to refuse the application;

3. After twelve months of service of Bill of Charges: No application for taxation can be made.

WHO TAXES A BILL OF CHARGES?

1. An officer of the court
2. The court itself

RULES GUIDING BILLING FOR SOLICITORS CHARGE IN RESPECT TO PROPERTY TRANSACTION

1. **Rule 3** a lawyer shall not share his fees with a non-lawyer subject to **R. 53**
2. **Rule 48(1)** a lawyer is entitled to be paid adequate renumeration for his services
3. **Rule 48** a lawyer shall not enter into an agreement for a charge or collect a clearly a excessive fee
4. Where one solicitor acts for only one party the solicitor shall be entitled to take full fees from his client
5. The professional fees charged by a lawyer for his service shall be reasonable and commensurate with the services rendered and accordingly the lawyer shall not charge fees which are excessive or so low as to amount to undercutting

NOTE: LEARN HOW TO CALCULATE THE SCALE IT IS ALWAYS ASKED.

CHAPTER NINE

WILLS AND CODICILS 1 & II

This is one of the most important and frequent exam topics. It usually appears as a compulsory question and it can form a full question without an addition of any other topic. **(See April 2018 Q3, August 2018 Q4, April 2019 Q6, August 2019 Q1, January 2020 Q4 and December 2020 Q1).**

Reasons/Advantages of Making A Will (August 2019 No 1(a)) - Idehen v Idehen

1. It excludes or **limits the application of customary rules of inheritance**.
2. **Appointment of guardians and executors.**
3. A valid will **confers authority on the executors to act immediately following the death of the testator**.
4. **Security of assets in the estate.**
5. It **ensures positive display of wishes of the testator**.
6. **Low cost of probate where the will is not challenged.**
7. It gives the Testator's peace of mind and sense of fulfilment.
8. The testator gives special directives as to the disposition of his property.
9. It enables the testator to decide who should inherit any property in his estate.

Reasons for the Undesirability in Making A Will

A lot of people do not make Wills for the following reasons:

1. Ignorance.
2. Illiteracy and lack of exposure.
3. Superstitions.
4. Lack of trust.

CAPACITY TO MAKE A WILL

The testator must possess the **TESTAMENTARY CAPACITY** to make a Will. Testamentary capacity involves two main criteria; that is:

1. Age
2. Mental capacity

1. AGE OF THE TESTATOR

Only Adults from **18 years** in Lagos State (**section 3 Wills Law, Lagos**) or **21 years of age** under **section 7 Wills Act,** can make Wills. (MCQ

The **EXCEPTION** to the above rule is a **privileged** Will allowed to be made by members of the Military who **are below the age limit of adulthood** as follows;

a. Soldiers in actual military service (at war)
b. Sea Men at sea
c. Mariners at sea
d. Crew of commercial airlines in the Air; **S. 11 W.A; S. 6 WLL**

2. MENTAL CAPACITY

A testator must have sound-disposing mind and memory to make a Will. This must be present both

1) **at the time of giving instructions for his Will to** be prepared and
2) **at the time of its execution**. ***Okelola v. Boyle***

Test of Testamentary Capacity

The test for determining if the testator has mental capacity or a sound disposing mind when making his Will was laid down in the case of ***Banks v. Goodfellow*** as follows:

a. The **testator understands the nature and effect of making a Will.**
b. He **recollects all the properties he wishes to dispose**, i.e. he knows the extent of his estate; ***Johnson v Maja; Adebajo v. Adebajo***
c. He **recollects and appreciates the persons who are the intended beneficiaries.**
d. He remembers and **clearly states the manner in which the estate is to be distributed between the beneficiaries**.

The factors the court may consider in determining mental capacity are:

1. Conduct of the testator shortly before the execution. **Adebajo v Adebajo.**
2. The complex and elaborate (detailed provisions nature of the will. **Adebajo v Adebajo**
3. Evidence of circumstances surrounding the execution of the will. (Lawyers office, medical doctor)

Onus of Proof of Mental Capacity

If the **state of mind** of the testator is contested, **the onus is on the propounder of the Will** to establish that the Will was **duly executed**

Commented [MOU41]:
TAKE NOTE:
Mental capacity must exist both at the time of giving the instruction and execution of the will).

1.The testator must have knowledge and effect of a will.

2.Knowledge property constituting his estate.

3.Certain or be sure about beneficiaries.

4.State how his properties are to be distributed.

usually by showing that the Will is rational on its face or **by advancing positive affirmative evidence in support that the testator was in a good state of mind**; ***Johnson v Maja***

Proof of Sound Disposing Mind/Mental capacity

To prove the mental capacity of a testator, a legal practitioner may rely on:

a. Presumption of a sound disposing mind or
b. Positive affirmative evidence of a sound mind.

This may be by showing;

i. That the testator wrote the will himself;
ii. That there was attestation before witnesses;
iii. The conduct of testator before and after the will was made;
iv. Showing evidence of general habit in the course of life,
v. Medical evidence

Presumption of Sound Disposing Mind

It is presumed that a testator was sane at the time he made his Will. The presumption of sound mind is based on the view that where a Will appears *ex-facie* rational and logical, it will be presumed to be so; ***Okelola v. Boyle***

This is based on the Latin maxim '***omnia prae sumuntur rite esse acta'*** (which means 'everything is presumed to be regular which appears regular').

Precautionary Measures by A Solicitor in Respect to Mental Capacity

1. Prepare a confirmatory statement to be signed by the testator that he had mental capacity to make a Will. ***Re: Walker***

2. The Solicitor can also get a medical report by a medical practitioner who examined the testator confirming the presence of mental capacity of the testator.

The following Persons can make a will: focus

1) Everybody of age and of sound disposing mind.
2) A blind man can make a will, **BUT THERE MUST BE A JURAT. Insiful v Christian.**

3) A sick person can make a will, **UNLESS** the **sickness** is such that it **DEPRIVES the testator of the capacity of understanding** the **nature of the act he was performing**. **Adebajo v Adebajo,**

4) A person of **extreme old age** can make a will, **UNLESS** the old age is such that it **makes the testator Suffers Senile Decay of The Mind** that he is **unable to understand the nature of the act he is performing**. **Belonwu v Nezianya**

5) A **Muslim** but where the Wills law applicable subject such a will to Islamic law, then it mut be made in accordance to Islamic law of succession. See **Ajibaye v Ajibaye, Adesobukun v Yunusa.**

POSER: does physical infirmity or extreme old age or delusion affect mental capacity?

No, **unless it has direct impact on the provision of the will. Parker v Felgate**

POSER: Can a will **executed after loss of memory be invalid**?

It depends on how initial instructions were giving to the solicitor before the loss of memory by the testator.

If it was **giving directly to the solicitor the will is still valid**,

if it was through an agent, intermediary or third party it is **invalid**

UNLESS: BATTAN SINGH v AMIRCHANA

1. The **instruction by the testator to the agent** or third party **were clear and unambiguous.**
2. The **third party/agent perfectly understood the instructions**.
3. The **agent/messenger/third party/intermediary honestly delivered the instruction to the solicitor.**
4. **The solicitor perfectly understood the instructions.**

BLIND PERSONS CAPACITY TO MAKE A WILL

A blind person can make a Will; **however, for the Will to be valid, blind person's jurat,** must be inserted to the Will as evidence of having read the Will to him

NOTE:

A blind person cannot attest or act as a witness to **a Will because his disability makes it impossible for him to see the signature of the testator and the act of signing the document.**

Properties that can be bequeathed or devised in a will are:

1. All properties the testator is entitled to according to law and equity.
2. Not family property. **Okeke v Okeke**

3. Not property **jointly owned Okelola v Boyle**

PROOF OF A WILL:

1. **Common form (non-contentious):** by affidavit or evidence.
2. **Solemn form (contentious):** by Presumption of due execution where the will appears regular, executed and attested to.

CONTENTIOUS FORM

Burden of proof lies on the **PROPOUNDER** of the Will though it may shift to the **CHALLENGER** where the propounder discharges the burden.

Usually by:

A. Proof of Due Execution **Section 168 (1) Evidence Act** (Presumption of due execution) everything is presumed okay which looks okay

For this presumption to be invoked, the will;

1) Must be regular on its face
2) Have proper attestation clause **Nelson v. Akofiranmi** (supra)

B. Positive affirmative evidence

Oral and Documentary evidence is admissible:

a. Statements at the time of instruction & execution
b. Witnesses (light weight/ unless corroborated)
c. Evidence of conduct before & after making the will.See Maja v Johnson
d. Evidence of general habits and course of life of the testator
e. Medical evidence by a doctor who have attended to the testator in the past

REQUIREMENTS FOR A VALID WILL

Generally, the requirements of a valid will are:

I. It made according to law'
II. Executed according to law;
III. Witnessed and attested according to law and

1. **WRITING**

Every valid Will must be in writing. No particular form of writing is required; therefore it may be typed, printed or even handwritten.

The language must not only be English. It can be any language; ***Whiting v. Turner***; **S. 9 Wills Act, S. 4. Wills Law Lagos**

2. SIGNED BY THE TESTATOR

The Will must be signed by the testator. A signature may be an initial**,** a cross, rubber stamp,

A testator may sign/execute the Will in 3 ways, these includes: (Dec 2020 Q 1i)

a. **By the testator PERSONALLY in the presence of at least 2 witnesses who must in his presence also attest to the Will.**
b. The **testator may Appoint a Third Party To Sign** the Will **and adopt** it in the presence of at least 2 other witnesses. See **section 9, W.A, S. 4(b) Wills Law, Lagos, Parker v felgate.**
c. The Testator himself may **PRE-SIGN THE WILL and later acknowledge same as his signature** in the presence of at least 2 witnesses

NOTE:

The signature of the testator or his nominee must appear at the foot or end of the will.

This however is amended allowing for the signature to be at any part of the will **so long as there is no gift or instruction made under the signature of the testator or witnesses**. **section 1 Wills (Amendment) Act, 1852. Hunt v Hunt, In the Goods of Osborne, In the Estate of Randle**

3. **ATTESTATION BY THE WITNESSES (August 2019 Q 1b)**

The signature of the testator must be made or acknowledged by him in the presence of **at least** two witnesses who must be present at the same time**.**
The witnesses must be present at the same time **when the testator is signing** though they may not be present when **each** of them is signing**-** ***Chodwick v Palmer***
Every person **except** a blind man can witness will. See **In The Goods Of Gibson, Christian v Instiful**

POSSER: Can a child witness a will?).
YES, A child can witness a will even if he cannot make a will**. He may not only be competent witness to give admissible evidence to the execution of the will**. **Egenti v Egenti**.
NOTE: the qualities of a witness are:

a. Credible & trustworthy, person available to give evidence in court,

b. person younger than the testator and

c. a person of good health.

POSERS: Can an irregular signature invalidate a will? Can a forged signature invalidate a will? Due execution entails the following:

Answer: **an irregular signature saves a will but a forged signature invalidates a will. Egenti v Egenti.**

NOTE:

A witness must sign **in his own hand** and **cannot direct another to sign on his behalf as a witness.**

The validity of having three witnesses instead of two:

There is no maximum number of witnesses so long as the witnesses are not less than two. Will attested by three witnesses is valid so long as other conditions for validity exist. **Section 9 wills Act; section 4 WLL.**

Beneficiaries or their Spouses Attesting a Will (August 2014 Q 1hii)

The general rule is that a beneficiary or spouse to a Will cannot take the gift made to them under a Will if either of them is a witness to the Will. **Any gift made to such person will be utterly null and void (loss of gift); S. 15 Wills Act; S. 8 Wills Law Lagos.**

A solicitor who prepares that will **is liable for negligence**. **Ross v Counter.**

Exceptions to the Above Rule are:

1. Where there are other witnesses other than the witness who is a beneficiary of the gift, the gift will be valid (superfluous witness).
2. Where the marriage between the witness/spouse and beneficiary took place after the making of the will. – **Apline v Stone**
3. Where the gift is made to a witness in a privileged will.

4. Where the will was witnessed before marriage, it does not affect the validity of a will – **Thorper v Bestwick**
5. The gift was made to the witness in settlement of a debt.
6. Where the witness acts as a trustee of the gift. – **Cresswell v Cresswell**
7. The gift was subsequently confirmed in another Will or codicil, which is not attested to by the beneficiary. **Re Marcus**

VITIATING ELEMENTS OF A VALID WILL – March 2021

a. **Insane Delusion**
b. **Undue influence**
c. **Fraud**
d. **Mistake**
e. **Suspicious circumstances**

A. INSANE DELUSION

Delusion is a belief which no rational person could hold but which reasoning with the testator cannot eradicate from his mind and which is capable of influencing the provision of his will.

The Delusion must influence disposition to render the will invalid- ***Battan-Singh v. Armichand; Amu v. Amu***. There must be a nexus between the delusion and the disposition of the will.

NOTE: Where a testator gives instructions with sound disposing mind directly to a solicitor or notary but before execution loses mental capacity, **the will is still valid if executed with knowledge**–***Parker v. Felgate***

The rule in **Parker v. Felgate** **will not apply** where the instructions were given to lay intermediary by the testator

B. UNDUE INFLUENCE

Undue influence is **coercion** to make a will in a particular way. ***Hall v. Hall*** An undue influence **must be proven not presumed.** In the case of ***Money-Penny v Brown***, the wife was holding the hand of the testator on his sick bed and was directing what he wrote, the Will was set aside for undue influence; Mere closeness between the testator and the beneficiary or existence of immoral relationship alone **do not vitiate a testamentary intention or capacity**. **Johnson v Maja, Hall v Hall,**

NOTE: **Influences which appeal to affections or sentiments of past gratitude for past services or pity** for example where the wife of the testator said *"Remember all my sufferings with you all this years, they should not be in vain while you write your Will*", **cannot be regarded or treated as undue influence; *Hall v Hall; Johnson v Maja* (See August 2013 Q 6Aii)**

C. SUSPICIOUS CIRCUMSTANCE

This is a situation where the **circumstances surrounding** the Will are such that casts doubt in the mind of the court to the effect that the Will may not constitute the free will of the testator. For instance where; the sole beneficiary is the solicitor or the neighbour of the testator**; *Wintle v Nye, Okelola v Boyle***

CLASSES OF GIFTS UNDER A WILL (Exam August 2016 Q4, 2017 Q4, April 2018 Q3, April 2019 Q6, August 2019 Q1, January 2020 Q 4a, Dec 2020 Q 1c)

This is a very important sub-topic for the purpose of your exams. Usually, a list of gifts is made in the scenario and the students will be asked to identify the nature and implication of such gift

Types of Legacy/Gifts in a Will:

1. **SPECIFIC LEGACY (SPEC DEMP)**

This is a gift of an identifiable property that is specific and distinguishable from the other properties owned by the testator. It is a gift that was particularly and clearly described. **Gift + Description= Specific Legacy**

EXAMPLES: "I give **My Toyota Camry car with Reg. No BQ232 AW to my daughter Bimpe"**.

Implications/Features of Specific Legacy (Jan 2020 Q4b, Dec 2020 Q1c)

It is however subject to **ADEMPTION**. This means that where the gift change in form or nature or even got lost. If the gift is no longer in existence or cannot be found at the time of the testator's death, it would be said that the gift has adeemed. i.e. the beneficiaries will lose the gift if they are not part of the estate at the time of the death of the testator

2. **GENERAL LEGACY (GENBATE)**

This is where the gift was made in general nature. There is no specific description of the gift. It does not refer to a particular piece of the testator's

Commented [MOU42]:
1. **Specific legacy/gift**
2. **General legacies**
3. **Demonstrative legacies**
4. **Pecuniary Legacies**
5. **Residuary Legacies**
6. **Annuity**

Commented [MOU43]: take it as advantages and disadvantages

Commented [MOU44]: Circumstances Under Which A Gift May Suffer Ademption

1. By Operation of Law: Where the property is compulsorily acquired (e.g. by the government pursuant to the land use Act) **Re-Galway.**

The time of making the will and the time of acquisition determines whether the beneficiary gets the compensation or not.:

1. Where the will is made **BEFORE THE ACQUISITION,** the **gift adeems** and the **beneficiary is not entitled to the compensation.**

2. Where the will is made **AFTER ACQUISITION**, the **gift will not adeem** and the **beneficiary is entitled.**

2. Where the property is either lost or sold by the testator before his death: See **Re Dowsett**.
Where the property is extinguished or its natural character is substantially altered by the testator before his death.
NOTE: a change in name or form of a gift may necessarily make it liable to ademption.
NOTE: **The creation of a mortgage by the testator does not lead to ademption. The beneficiary takes the equity of redemption and thus becomes entitled to redeem the mortgage like the testator who had created the mortgage.**

3. Option to Purchase Property Given Out in A Will: If the property given out in a will is subject to an option to purchase and the option is exercised by the third party, the gift will adeem once the third party who has been granted the option exercise the option.

4. Ademption of Property in a Will Which is Subject to a Contract of Sale: Generally, a contract of sale of land is enforceable against the Personal Representatives of the deceased party to the contract. **Yusuff v. Dada**. Whether or not the gift of land that is subject to contract will adeem or not will depend on the time the contract of sale was entered into by the testator.

5. Where the Contract was entered into after the Land has been Devised in the Will: The beneficiary will inherit the land until the contract is concluded by the PR of the deceased. Once the contract is concluded, the gift will adeemed and the beneficiary is not entitled to the proceeds of sale.

6. Where the Contract of Sale of the Land Predate the Will: The beneficiary is not entitled to property. Th ... [4]

estate. The testator intends that the gift should be satisfied from the general assets of his estate. **GIFT – DESCRIPTION= GENERAL LEGACY**

EXAMPLES

'A gift of a Camry car to my son Joel';

Where the gift does not exist at the time of the Testator death, Executors must acquire it or give the money's worth to the beneficiary.

Legal implication/Features of General Legacy: (Jan 2020)

it suffers **ABATEMENT** where estate is insufficient, may fail where the value of the gift cannot be ascertained

Commented [MOU45]: Take it as advantages and disadvantages

3. **DEMONSTRATIVE LEGACY (DEMBATE)**

A gift directed to be satisfied from a specific source or particular pool of property (usually but not restricted to money payable from a particular bank account) i.e., testator will demonstrate to the executors the source from which the gift is to come from. **GIFT + DESCRIPTION + SOURCE= DEMONSTRATIVE LEGACY**

Commented [MOU46]: **Differences Between Specific Legacy and Demonstrative Legacy**

1.In specific legacy the testator describes the gift without stating the source.

2.In demonstrative legacy the testator describes the gift and goes further to state the source.

3.Specific Legacy is liable to ademption.

4.Demonstrative legacy is not liable to ademption however, it can abate if there is insufficiency of estate.

EXAMPLE

'I give 50,000 naira to Bimped to be drawn from my savings account No. 2345678910 at Diamond Bank Akay'

I give 200 hundred units of shares from my shares in UBA PLC, to my steward Emeka Usman'

Demonstrative gift will **only ABATE where the particular fund is not sufficient to take care of the legacy**.

4. PECUNIARY LEGACY

This is **STRICTLY MONEY DISPOSITIONS.**

NOTE

Pecuniary legacy is **called an ANNUITY when it is expressed to be paid at INTERVALS**. **Re Earl of Berkley**

Example: **'I give N50, 000 to my wife Nkechi to be paid to her every month**'.

If the testator gift money and describe the source from where the money could be paid then it is **Demonstrative Pecuniary Legacy**.

MONEY + SOURCE + OR OTHER SOURCE = DPL

Example: ***"A gift of N4 Million to be paid out of my account with Zenith Bank, Yola"***

If the testator merely gives some amount of money to the beneficiary, without more it is **General Pecuniary Legacy**. Example: ***I gift N20,000 to Theo Ephraim***.

If the testator gift money and describe the source from where the money is to be paid and goes further to state that money could be derive from that only source and no any other source then it is **Specific Pecuniary Legacy**.

MONEY + SOURCE (AND NOT ANY OTHER SOURCE) = SPL (Ademption Applies)

Example:

"A gift of 30 Million to be paid out of my account with Union Bank Yola Branch but if the fund in the account is insufficient to satisfy the gift, the beneficiary shall be entitled to whatever shall be available in the account and not other account".

5. **RESIDUARY LEGACY (S. 25 W.A)**

This is the remainder of the property belonging to the testator after payment of all other gifts and debts, expenses taxes and liability of the testator have been fulfilled, cleared or paid. It is made up of personal or real property.

A residuary clause is usually inserted in the Will **to transfer all remaining residue and remainder of the estate to anyone the testator desires.**

Such remainder may have been derived from the following sources: (August 2016 Q 4c, April 2018 Q 3b, and Jan 2020 Q 4d, Dec 2020 Q 1a)

1) **Property acquired by testator AFTER making his will or codicil**
2) Properties acquired **AFTER testator's DEATH**. **S. 33 W.A**
3) Gifts that **lapsed for lack of substitution clause**
4) Gifts that **failed for diverse reasons**
5) Gifts rejected or renounced by the beneficiaries

The beneficiaries are called **'Residuary LEGATEES'**

Example: **"I give all the remainder of my properties not specifically given out in my Will to my children in equal share"**.

NOTE:

THE EEFECT of not including the residuary clause in the Will is that it will lead to **PARTIAL INTESTACY**. **S. 53 AEL**

That means dividing up the part of estate according to the rules of intestacy. In which case the personal representatives or executors of the testator **will require Letters of Administration to be able to deal with the remainder of the estate**; **(January 2020 Q 4c, Dec 2020 Q 1a)**

OTHER TYPES OF GIFT

Commented [MOU47]:
A residuary legacy covers all assets not specifically given out by the testator, those not mentioned in the will, those property the testator may have acquired after making the will. The clause is important because **if omitted from the will it will result into partial intestacy**.
This means that the part of the estate not covered by the will or any property acquired by the testator after making the **will be administered by letters of administration**

Commented [MOU48]:
ABSOLUTE LEGACY
This is a gift made in a will that is not subject to any condition but vests automatically or immediately in the beneficiary.

ALTERNATE LEGACY
This is where the beneficiary is given the opportunity to choose between two or more properties amongst the assets in the estate.
Example: ***"A gift of Honda Car or Mercedes Benz depending on his choice".***

CONTINGENCY LEGACY
A gift made in a will that depends on an uncertain event to vest in the beneficiary.
Example: ***"A gift of N3 Million to my niece, Aduak when he attains 24 years".***

MODAL LEGACY
This is a gift accompanied by directions as to how it will be applied to the benefit of the beneficiary.
Example: ***"A gift of N5 million to my daughter to be invested by my executors on her behalf in the shares of Zenith Bank Plc".***

CONDITIONAL LEGACY
This is a gift that becomes effective or be defeated upon the occurrence or non-occurrence of a specified event.
Example: ***"The gift of a leasehold to a beneficiary subject to the payment of ground rents and performance of the covenants reserved and contained in the agreement".***

Types of Conditions
1.Condition Precedent: This condition determines the passing of the gift to the beneficiary.

2.Condition Subsequent:

Void Condition
A condition may be void where it is:
a). Repugnant
b). It is impossible to perform
c). It is contrary to public policy
d). It is uncertain

INCONSISTENCY IN EXPRESSION OF GIFT

Where there is **inconsistency in the way a gift is expressed in words** and figures, **THE FIGURE WILL PREVAIL**. **Re Hammond.**

E.g If a testator made a gift of one million naira (N3m) to a beneficiary, the figure (N3m) will prevail over the one million naira expressed in word

FAILURE OF GIFTS

These are situations where the legacies/bequests will not be available to the beneficiary under a Will for some reasons which may include:

1. Lapse
2. Ademption
3. Abatement
4. Disclaimer
5. Uncertainty:

   Legacies can only be valid if:

   a. The **Gift** itself is **WELL DESCRIBED**

   b. The **beneficiary** is **WELL DESCRIBED**

   Where the **above conditions are not met the gift fails for being UNCERTAIN.**

   Note: **A gift to charity will not fail on ground of uncertainty** where the testator fails to describe the charitable organization. The gift can be directed to a particular charitable organization. **Re White.**

6. Attestation by a beneficiary: Where a witness or the spouse not falling under the exceptions is a beneficiary under the Will: **S. 15 Wills Act and S. 8 Wills Law**

7. Public Policy: the **gift will fail like when the beneficiary is proved to have killed the testator**–***Errignton v. Errington*** **OR** to incite divorce or for an immoral purpose.

Commented [MOU49]: A person cannot benefit from the estate of his victim.
A gift to induce divorce
A gift to promote illegality.

8. Gift made contrary to the doctrine of ***Nemo Dat Quad Non Habet***: Where testator has no valid title **over the property.**

9. **Gift made as a result of fraud on the testator:**
   Where it is **shown that the beneficiary committed fraud on the testator to secure the gift in the Will, the gift fails**. **Wikinson v. Jiughlin**. A beneficiary got married to the testator without revealing to the testator she was married to another person. The gift to her failed on the ground of fraud

10. Gift contingent upon condition not fulfilled or satisfied:
    A gift in a will may be subject to certain condition, which may be a condition precedent or condition subsequent.
    If it is condition precedent, a definite time frame must be stated for the fulfilment. If it is not met within the time, the gift fails.
    If the gift is predicated on condition of precedent, like attaining a particular age. If the beneficiary does not attain the age, the gift fails.

11. The gift was made to promote an **illegal** purpose.

12. Gift contrary to the principle of inalienability

LAPSE OF GIFT (April 2017 Q4 and August 2017 Q4c, Dec 2020 Q1h)

A gift will lapse where the **beneficiary dies before the testator**. **Roper v Williams.**

Where the beneficiary predeceases (or dies before) the testator, **the gift lapses and falls into residuary estate of the testator because gifts in a will are expectancy (testamentary).**

Exceptions To Lapse of Gift

1) **Class gift(s)** made to more than one person **JOINTLY** or in **EQUAL** shares. The other **survivors** will take the gift.
2) Where the **gift is made to settle a debt or moral obligations**
3) Where there is a **substitution or alternative gifts** (**substituted beneficiary).**
4) Gift to a **benecifiary who left an issue; S. 33 Wills Act, S. 24 Wills Law (April 2018 Q 3c)**
5) Where **there is a residuary clause**
6) **Entailed gift**: where the testator state series of persons to inherit the gift in succession each having a life of the legacy. **S. 32 Wills Act**
7) **Presumption of Death**: **Where two or more persons have died in circumstances in which it is uncertain to know who died first, they are presumed to have died in order of seniority**.

   Therefore, **if the Testator is older than the beneficiary and** they die at the same time, it is presumed that the testator died first, thus the gift will not lapse; **S. 164(2) Evidence Act (Dec 2020 Q 1h)**

Commented [MOU50]: A gift to a beneficiary who predecease the testator but has a child who is living after the death of the testator will not lapse but go to the surviving child of the beneficiary

ADEMPTION OF GIFTS

This will arise where there has been a substantial change in the form or nature of the gift or that the gift or legacy was no longer in the existence as at the time of the testator's death.

The following will result to ademption: (Exam Focus)

1. The **property is destroyed** as result of natural disasters/consequences like fire.
2. Where the **testator sold the property during his lifetime** or for any reason lost the interest/ownership of the property.
3. Where the **government compulsorily acquires the interest in a gift** of real/landed property during the life time of the testator.

PLEASE NOTE CAREFULLY: (see August 2013 Q 6C, Jan 2020 Q 4e, Dec 2020 Q 1d & e)

- ⇨ If the government **acquires** a property given out in a Will **during the lifetime of the testator**, but **paid compensation** for the acquisition **after the testator's death**, the money will go to the testator's **residuary estate and not to the beneficiary.**

- ⇨ But if the **acquisition** of the property by the government **was made after the testator's death**, the **gift will not adeem**, therefore any **compensation paid will go to the beneficiary.**

- ⇨ If the property was used by the testator to secure a **loan which was not redeemed before the testator's death**, the property **will still go to the beneficiary** who will acquire the equity of redemption (i.e. the

Commented [MOU51]:
A property constituting a gift which was mortgaged by the testator and was not redeemed before the testator's death does not suffer ademption. The property was part of the estate of the testator at the date of his death. It could be redeemed and handed over to the beneficiary after the death of the testator

The creation of a mortgage by the testator does not lead to ademption. The beneficiary takes the equity of redemption and thus becomes entitled to redeem the mortgage like the testator who had created the mortgage.

beneficiary may repay the loan and get back the property) **unless the Bank has exercised its power of sale.**

ABATEMENT OF GIFTS

This will **arise where the estate of a testator is not enough or sufficient to satisfy the legacies in the Will**. This is possible where the testator was rich when he made the Will but became financially unstable before his death

ATTESTATION BY WITNESS

Generally, by virtue of **S. 15 of Wills Act** and **S. 8 Wills Law Lagos**, a person who witnesses a will cannot benefit from the will, or his spouse but if he does, the will is still valid but the gift will fail. See **Ross v. Counter.**

Exception: FOCUS

1. Where **there are other witnesses other than the witness who is a beneficiary of the gift, the gift will be valid**. (Superfluous of Witnesses)

2. Where **the will was witnessed before marriage, it does not affect the validity of the gift**. See **Thorper v. Bestwick.**

3. Where the **gift is subsequently confirmed by another will or codicil which is not attested by the beneficiary, the gift will not fail**. **Re Marcus**

4. Where **the beneficiary acts as a trustee and not as a witness the gift will not fail**. **Cresswell v. Cresswell**.

5. **Where the gift is made to a witness in a privileged will, the gift is valid.**
6. **Gift made in settlement of debts.**

DISCLAIMER

A gift made in a will or Inter Vivo's in favour of a person **can be renounced by the beneficiary.**

A person cannot be compelled to accept a gift. Townson v. Tickell.

POINTS ON DISCLAIMER

1. By **writing or by conduct**
2. Disclaimer **can be made anytime provided the BENEFICIARY HAS NOT ACCEPTED THE GIFT.**
3. A beneficiary **CANNOT PARTIALLY disclaim by accepting the gift and renounce the obligation.**
4. Where the gifts are separable **the beneficiary can take benefit of one and disclaim the others. Guthrie v. Walrond.**
5. Where the gifts are inseparable, the beneficiary cannot pick and choose.

Likely Reasons for Disclaiming a Gift

1. **Tax Implication**: Usually under certain tax legislations a beneficiary may be required to pay tax on certain inherited gifts which might be cumbersome.
2. **Conditions attached to the gift**: The conditions might be heard for the beneficiary to fulfil.
3. For Personal Reasons

REVOCATION OF WILLS

A Will may be revoked or made invalid either by the acts of the testator or by implication of the law. The various ways a Will may be revoked are:

1. **VOLUNTARY REVOCATION:** This may be through any of the following ways:

a) By the testator **making a subsequent Will or Codicil duly executed**

b) By a **written declaration with the intention to revoke the will**

c) By **destruction of a Will with the requisite intention to make it invalid**

2. **INVOLUNTARY REVOCATION (Revocation By Operation of Law)**

This may arise by the testator engaging in a subsequent statutory marriage (under the Marriage Act).

VOLUNTARY REVOCATION

A. Subsequent Will or Codicil:

A will may be revoked by the testator making a subsequent Will or Codicil duly **executed** with a revocation clause stating that he revokes the earlier Will.

NOTE importantly that:

- Where the **subsequent Will has no revocation clause but is in contrast with the provisions of the earlier Will, the new Will takes precedence**. **Biddles v Biddles**

Commented [MOU52]:
Conditions for a New Will/Codicil to Revoke an Earlier Will/Codicil
1.There must be a revocation clause in the new Will

2.The testator must know of the revocation clause in the new Will and approve of it

3.Where the terms of the new Will are materially inconsistent with the terms of the previous Will.
Hmpfrey v. Humpfrey

- If the new Will **covers practically the same grounds as the earlier one or w**here the new Will disposed the same properties to either different beneficiaries or in a manner inconsistent with the former Will, **the old Will is deemed revoked**, **-** ***Hemphrey v. Hemphrey;*** ***Demsay v Lawson*** **(August 2013 Q 6a)**

  However, it is not sufficient to prove that a subsequent Will, will revoke an existing Will, there must be proof of intention to revoke it. See Henfrey v. Henfrey.

  A will later in time revokes the earlier one.

B. Written Declaration with the Intention to Revoke the Will:

The testator may revoke his Will through a written declaration. The written declaration must be duly executed for it to be valid. It must be written with intention to revoke the will (***animus revocandi***).

There must be absence of mistake, fraud or undue influence; **S. 9 Wills Act; S.4 Wills Law Lagos**; ***Parker v. Parker; Hemphrey v. Hemphrey***

The written statement of intention to revoke the Will must meet the following requirements of law:

1) The **statement must be in writing**
2) The **testator must have testamentary capacity** as of the time of making the statement
3) The written statement must have been executed or signed by the testator.
4) The written **statement must be attested to by at least two witnesses.**
5) The **statement must not have been made by mistake.**

NOTE:

The statement could be in any form, in a diary or in form of a letter. In **The Goods of Durance**, the testator wrote a letter to his brother directing the brother to burn his will without reading it. The letter was duly executed and attested to. It was held to be a valid revocation.

C. **Destruction of A Will with the Requisite Intention to Make It Invalid**:

Commented [MOU53]:
Where the will is in duplicate the destruction of one copy with the intention to revoke, is a revocation of the other. See More v. More.
Partial destruction coupled with intention to revoke depending on the extent of destruction may or may not revoke the will.

A testator may simply destroy his Will. The destruction and the intention to revoke and the physical act of destruction must be contemporaneous. It must exist at the same time.

Although a gift can be revoked by a written intention to revoke by the Testator**, for the revocation to be valid, the written intention must also be attested to by at least two witnesses in the presence of the testator**. **In the Goods of Durrance**.

Modes of Destruction: Destruction may be in two (2) **ways /modes:**

1. **Personal destruction by the testator with an intention to revoke same**;
2. **By giving instructions to a third party to destroy the Will**

NOTE: for destruction by a third party to be valid, the following **conditions** must exist: (**exams area**) ***Re Dadds***

1. The **instruction to destroy the Will must be in writing;**
2. The **testator must be present when it is been destroyed.**

3. The **destruction must be at his request or direction**; **S. 20 Wills Act; S. 13 Wills Law**

Re Goods of Kreme: pursuant to phone instruction by client to solicitor, solicitor destroyed client's Will. It was held invalid as the testator was not there when will was destroyed; ***Re Goods of Bacon***

Examples of insufficient acts of destruction:

a. Merely squeezing the Will
b. Drawing lines across the Will; ***Cheese v. Lovejoy***
c. Tearing some parts of the Will**;** ***Perkes v Perkes,***

NOTE:

tearing part of the Will would only revoke the part torn off not the entire Will **UNLESS an essential part is destroyed or where the destruction renders the remaining part meaningless, then the entire will is deemed revoked;** ***Re Goods of Woodward***

Circumstances Where Intention to Revoke by Destruction Will not be Inferred

1) **Drunkenness**: Where a testator is drunk and destroy his will it will not be regarded as revoked. **In The Goods of Brassington**
2) **Mental Disorderliness**/Insanity: A Will destroyed during insanity is not revoked.
3) **Accidental Destruction**/Mistake: A will destroyed by a testator under a mistake of facts or law remains valid. See in **Giles v. Warren**.
4) Obliteration of Signature Without Clear Evidence of Who did it and why it was done, it will still be valid.

INVOLUNTARY REVOCATION/REVOCATION BY OPERATION OF LAW

A Will may be revoked involuntarily or by operation of law in any of the following ways: **S. 18 W.A, S. 11 WLL**

1. **Subsequent Marriage under the Act**

The position of the law is that if a testator after making a Will contracts a valid marriage under the Act, the Will is impliedly revoked by that marriage; **S. 18 Wills Act**

EXCEPTIONS to the Above Rule are as Follows: (Dec 2020 Q 1b)

1) **A Will was made in contemplation of marriage and the marriage took place with the same person contemplated in the Will; *Scallis v. Jones*; S. 11 Wills Law, S 18 WA**

   For this exception to apply: **Re Langston**

   a. The **Will must be expressed to be made in contemplation of a particular marriage.**
   b. **The testator must have married the person expressed in the Will.**
   c. **The names of the parties to the contemplated marriage must be clearly stated in the Will**

2) The testator was married under **Customary Law and later got married under the Act with the same person**. ***Jadesimi v. Okotie-Eboh***;
3) **If the subsequent marriage is void**, it cannot revoke a valid Will.

4) A subsequent marriage **under native law and custom** does not revoke an earlier Will. - ***Jadesimi v. Okotie-Eboh***

2. Making of a Subsequent Will without a Revocation Clause

Where a testator makes a Will and subsequently makes a new Will without a revocation clause, the new will shall be deemed to have impliedly revoked the old Will if it contains the same dispositions in a contrary manner. For instance, it contains the same properties but was given to different beneficiaries in the new Will.

ALTERATION OF A WILL (August 2019 Q 1d &e)

A Will is ambulatory in nature. This means that it may be altered from time to time during the lifetime of the testator.

By **Section 21 Wills Act and Section 14 WLL**. **A will may be altered by either:**

a. Re-Execution

b. By Codicil

Any alteration in a Will after its due execution will only be valid if after the alteration the Will was executed by the testator in the joint presence of at least 2 witnesses who will also attest to it in accordance with S. 9 Will Act.

Every alteration in a will must be re-executed: **If it is not re-executed, probate will be granted in its original or old form and not to the new alteration.**

Where the original words before alterations are apparent: probate is granted in its original or old form while the alteration is ignored. **Goods of Beavan.** (Alteration must be complete)

Alteration should be opposite, at the margin or near the alteration: **S. 14 Wills Law, The Goods of James**.

Alteration must be final and not merely deliberative:
where alteration is seen to be made by pencil and not ink or pen or other means of permanent nature. The alteration will not be taken as conclusively done by the testator. **Hawks v. Hawks.**
Alteration must be coupled with intention: it must be intentional and not by accident.
NOTE

For an alteration of a clause in a will after execution to be valid, **the alteration must be properly executed by the testator in the same manner as will.** Thus, any alteration not valid, the will be admitted to probate in its original. **Re Redding**

REPUBLICATION OF A WILL

is the **confirmation or reaffirmation of the validity and contents of a Will**. A will can be republished where the testator intends **to show that his previous will is unaltered or where the testator wishes to validate alteration in previous will** **REY HAY.**

USE

A. Republication **confirms a Will, which has been lying dormant and is unrevoked**.

B. Republication **changes the date the will takes effect which will be the date of republication not the date on the original will**.

A will can be republished either by:

a. Re-execution
b. Using a Codicil

Note: If it is by re-execution, it need not be attested to by the witnesses who earlier attested to the will. It can be attested to by new witnesses.

A republication can be inferred from mere references to a will by a codicil or by express declaration where a testator states, "**in all other aspects I confirm my said Will**" or words of such affects.

REVIVAL OF A WILL

This is to **bring into existence a revoked Will.** This may be **done by either a Will or Codicil**. This is the act of bringing back to life or operation a revoked Will or codicil **so long as it is not destroyed**. **Date of revival is effective date.**

By **S. 22 Wil Act and S. 15 Wills Law**, a will or codicil that is revoked can be revived by:

a. Re - execution
b. A codicil duly executed and showing the intention to revive the will.

See **IN THE GOODS OF DAVIS** where a man had a will before getting married to his wife, which was revoked by marriage, he revived the will by signing and attesting on the envelope containing that will that he has revived the will, it was held to be a codicil that has revived the will.

Salient Points on Revival of a Revoked Will

1. **The revoked will that is sought to be revive must be in existence:** It is only a will that is inexistence that can be revived.
2. **Intention to revive must be manifested:** It must be seen that the testator intends to revive it.

CODICILS

A Codicil is a supplemental or an addition to an existing Will

For there to be a codicil, there must be an earlier Will. All the formalities for a Will to be valid apply to a codicil. Therefore, the testator must possess the testamentary capacity as at the time of making the Codicil and the codicil must be executed by the testator in the presence of two witnesses who must be present at the same time and who shall attest to the codicil **S. 9 Wills Act.**

Functions/Uses of a Codicil (August 2013 Q 6c, August 2019 Q 1e)

A codicil performs the following functions: **AACR**

i. It **may affirm the contents of a Will.**
ii. It may **alter or amend the provisions of a Will.**
iii. It may **correct a clerical error in a Will.**
iv. It may **revoke, revive and republish a Will.**

When to Advise a client to Execute a Fresh Will

1. When there is a **new or subsequent marriage**
2. When there is **excess alteration or mutilation of the original will**
3. When there is **change in finances and assets.**

POSER: Can a will by reference incorporate a disposition in another document? **Yes**, if: **Singleton v Singleton, In the Goods of Smart**

1. **The will clearly identify the document sought to be incorporated.**
2. **The document is already in existence and not a document yet to be made subsequently.**
3. The **document is in existence as at the time of the execution of the will or codicil.**

LIMITATIONS TO TESTAMENTARY CAPACITY/FREEDOM

The general rule is that a person has the testamentary freedom to devise his property as he wishes, ***Adesubokun v. Yunusa*.**

The Exceptions to the Above Rule are as Follows:

1. **Islamic Law Restrictions**

It is a rule that a person subject to Islamic Law immediately after his death can only dispose **1/3** (one-third) of his properties by Will. **The remaining 2/3 (two-third) must be disposed in accordance with the Islamic Law of disposing same**. This is **applicable to** some **States** Wills Law **which makes provision for the restriction**; ***Ajibaye v. Ajibaye***

This applies in states such as **Oyo, Ilorin and Kaduna**. **S. 13(1)(b) Wills Law Oyo**; **S. 4 Wills Law of Kaduna**,

NOTE

for this restriction to apply, the testator must be a Muslim and must have lived and died in a place where the Islamic Law restriction is recognized. (See August 2017 Q 4c)

In states that do not have their own Wills Law or have Wills Law but **does not provide for such restriction, the testator is at liberty to dispose his property freely notwithstanding he is a Muslim**. **Yinusa v. Adesubokan**

2. **Customary Law Restriction – March 2021**

Under Customary Law, **a testator CANNOT dispose by Will any property which the testator had no power to dispose of by Will** or otherwise under customary law to which he was subject. **S. 1 Wills Law Lagos State, *Idehen v. Idehen*, *Lawal-Osula v. Lawal-Osula.***

In Idehen v. Idehen it was held that the **effect of passing a gift to a person not entitled to it under native law and custom is to render the gift void not withstanding that the Will is valid** – **March 2021**

For example, in Benin, Edo State a particular customary law practice **prohibits the transfer of the ANCESTRAL HOUSE** called '***IGIOGBE***' to any other person other than the **FIRST SON**. - ***Idehen v. Idehen***

Commented [MOU54]: However, for him to be entitled to the *igiogbe*, he must have performed the last burial rights of the deceased (his father); ***Idehen v Idehen***

NOTE:

It does not matter that the first child was an illegitimate child or born out of wedlock **PROVIDED that the testator acknowledged his parenthood and the child performed all the burial rights.**

Therefore, **any declaration in a Will purporting to exclude this customary practice will be void; (August 2019 Q1d, Jan 2020 Q4f & g)**

3. **PROVISIONS TO DEPENDANTS**

The testator is required by some Laws to make reasonable financial provisions to his dependents (**wife, husband and children**). Reasonable financial provision depends on the applicant's lifestyle.

His failure to do so, the dependents can apply to Court within 6 months of admitting the will to probate to vary the will: **S. 2 Wills Law of Lagos**

The dependants (applicants) may apply to court for disposition of the deceased testator **if he does not make reasonable financial provision for them or him**. **The application must be brought 6 months of the date of probate (MCQ)**

Where it is found that the testator did not make reasonable financial provision for the dependant (applicant) the court may order payment for that purpose out of his estate.

The testator may however **disentitle** a family member or a dependant by stating the reasons for doing so in a will. However **only reasonable reasons** shall be accepted by the court

E.g "I DECLARE that I have made no provision for my son Lebron for reasons set out in a statement signed by me and deposited with my lawyer"

INSTRUCTIONS NEEDED TO DRAFT A WILL – (August 2013 Q 6c, 2016 Q 4f, 2017 Q 4a) (list 10 here)

1. **Testator 's particulars i.e. name, occupation and address;**
2. **Testator 's marital status;**
3. **If there is an existing Will or Codicil;**
4. **Particulars of the proposed executors;**
5. **Whether the executors shall be remunerated or not;**
6. **Particulars of the witnesses**
7. **Particulars of all the intended beneficiaries;**
8. **Alternative/Substitute beneficiaries;**
9. **Survivorship;**
10. **Particulars of guardian, if any;**
11. **Debts and liabilities;**

12. **Provisions for residuary gift clause**
13. **Solicitors renumeration** and if he would be involved in the management of the estate a charging clause
14. List of his realties
15. List of all legacies to be given out in the Will;
16. List of all real properties) to be devised in the Will & The custody of the title deeds;
17. Manner of distribution of the estate to the beneficiaries;
18. Whether there is a trust; if yes, the names, occupations and addresses of the trustees;
19. Funeral arrangements (to be contained in a separate letter or document)

Commented [MOU55]: FOCUS
IT IS NOT ILLEGAL OR IMPROPER FOR A TESTATOR TO INCLUDE BURIAL INSTRUCTIONS IN HIS WILL, HOWEVER IT NOT ADVISABLE TO DO SO BECAUSE THE TESTATORS'S RELTIVES MAY NOT GET TO SEE THE DIRECTIONS UNTIL AFTER THE BURIAL AND THE WILL IS READ TO THEM.
IN SUCH CIRCUMSTANCE IT IS ADVISABLE TO LEAVE SUCH INSTRUCTIONS IN A SEPARATE LETTER ECLOSED IN A SEALED ENVELOPE WITH A TRUSTED RELATIVE, SOLICITOR WITH INSTRUCTIONS TO RELEASE THE SAME IMMEDIATELY THE TESTATOR DIES

CUSTODY OF WILLS - Focus

These are the means of keeping Wills before the testator's death. It can be kept in the following places:

1. **Bank of the testator**
2. **At the Probate Registry within the jurisdiction (this is the best place)**
3. **By the testator himself**
4. **With a trusted relative or close associate**
5. **Executor appointed in the will**
6. **Solicitors' office**

Advantages of Keeping the Will with Probate Registry

1. **It complies with the requirements of the law**. **S. 35 AEL**–The court should provide facilities for safe custody of Wills of living persons
2. **It ensures safe custody Order 48 Rule 16 Abuja HCCPR**
3. It **aids in proof of the Will.**
4. **It facilitates the grant of probate.**

PRACTICAL STEPS/STAGES IN THE PREPARATION OF A WILL

1. Obtain instructions;
2. Obtain the previous Will, if any;
3. Draft the new Will;
4. Forward draft Will to the client for approval;
5. Engross the Will if draft is approved;
6. Book appointment for the execution of the Will and agree on the venue for the execution;
7. Obtain execution in the presence of two witnesses;
8. Create a file for a copy of the Will together with all notes relating to the preparation of the Will, to be kept until the Will is proved. This may help in discovering the testator 's intention if there is a dispute;
9. Give a copy of the Will to the client;
10. Arrange for the safe custody or safe keeping of the other copies of the Will in accordance with the client 's (i.e. testator 's) instructions.

ETHICAL ISSUES IN WILL MAKING – March 2021 Q1

1) Dedication and Devotion to the cause of the Client - Rule 14(1)

2) Competence – Rule 16(1)(a) & Rule 14(2)(c)

3) Conflict with personal interests – R. 17 RPC.

4) Privileged communication - Rule 19(1) & (2) RPC
5) Call at Client's house or place of Business. - **Rule 22**
6) Dealing with Clients property - Rule 23
7) Confidentiality of information – Rule 23 RPC
8) Liability and damages for negligence - S. 9 of the LPA

FORMAL PARTS OF A WILL

Please take note you may be asked to draft some parts of a Will, especially **commencement**, **revocation clause**, **appointment, charging clause and execution clauses; (August 2014 Q 1h, 2016 Q 4d, 2019 Q 1c &i, January 2020 Q 4h, Dec 2020 Q 1g)**

1. **COMMENCEMENT**: Describes the document and the maker of the document as his act.

   Where the date is inserted in the commencement

   THIS IS THE LAST WILL and TESTAMENT OF ME…… (Name) of (Address)……. made this……Day of….2022

   Where the date is inserted in the testimonium

   This Is the Last Will and Testament of Me (Name) of (Address)

2. **REVOCATION CLAUSE**: (must be in all Wills even if client says he has never made a will before)

   "I Revoke All Former Testamentary Dispositions Made By Me"

3. **APPOINTMENT CLAUSE**: This clause appoints the personal representatives, executors and trustees of the testator

   "I appoint (name) of (address) to be **the Executors of my Will"**

4. **DISPOSITION CLAUSE** (**Gifts**): This is the clause that bequeaths gifts (Legacies and devices) to respective beneficiaries
"I give……..to ……..

5. **RESIDUARY CLAUSE**: This states the person who will be entitled the residue (remainder) of the estate of the testator
"I declare that the remainder of my estate shall……"

6. **CHARGING CLAUSE**: This clause permits and mandates the Personal Representatives and any **persons acting in that capacity to charge for the services they rende**r otherwise their services would be taken to be rendered gratuitously. It **is also called renumeration Clause** (**August 2014 Q 1f, 2016 Q4e, 2019 Q 1f, Jan. 2020 Q 4i, Dec 2020 Q 1g**)
"**I DECLARE that my Executors/Personal Representative shall charge reasonable professional fees for services rendered and/or time expended towards the execution of my estate**"

7. **SUBSTITUTION CLAUSE**: In case any gift fails or ceases to exist at the death of the testator

8. **TESTIMONIUM**: This links the testator with the Will.
'**IN WITNESS OF WHICH the testator has executed this Will in the manner below the day and year first above written**'

9. **EXECUTION AND ATTESTATION CLAUSE**
SIGNED By The above Named Testator:

……..

(Name of Testator)

in our joint presence and attested by us in the presence of him and of each other:

1st WITNESS:

Name……..

Address……

Occupation……

Signature……..

2nd WITNESS:

Name……..

Address……

Occupation……

Signature…….

ILLITERATES/ BLIND PERSONS/FOREIGNERS

—SIGNED by the above named Testator, with his mark after it has been read over to him in the …….. language by **name** and he appeared to have understood and approved same, in the joint presence of us and that of each other, who at his request in his presence have subscribed our names as witnesses.

DEAF& DUMB PERSONS

—SIGNED by the above named Testator, with his mark after it has been read over to him in sign language by name (a sign language instructor) and he signed that he understood and approved same, in the joint presence of us and that of each other, who at his request in his presence have subscribed our names as witnesses.

CHAPTER TEN

PROBATE AND LETTERS OF ADMINISTRATION

APPLICABLE LAWS ON PROBATE PRACTICE

1. Administration of Estate laws of the various States of the Federation
2. Wills Act 1837 as amended by the real Act (Amendment Act 1852)
3. Wills Laws of the various States.
4. High court Law of the various States.
5. High Court (Civil procedure) Rules of the various States.
6. Administration of Estate laws of the various States.
7. Administration of Estate (Small Estate Payment Exemption) Law, 2005 (Lagos State).
8. Probate (Re-sealing) Act
9. Marriage Act
10. Customary Laws

Probate is an official verification of a Will; **it is an authority to the executor's name in a Will to carry out the instructions contained in the Will.**

Commented [MOU56]:
TERMINILOGIES

1.**Personal Representative:** these are persons upon whom the estate of the deceased is vested. They include executors appointed in a will and administrators

2.**Taking out representation:** obtaining probate of a will or grant of letters of administration.

3.**Intestate:** person who dies without a will.

4.**Caveator:** a person who raises objection to grant of probate or letters of administration to an applicant for probate or letters of administration.

5.**Citation:** this is a notice of warning to an executor to prove a will or caveator to disclose the nature of his interest that conflict with that of the applicant for probate.

6.**Trust corporation:** public trustee or corporation appointed by the court in any particular case to be trustee of or be entitled to the estate of the deceased under the Public Trustees Law.

Until probate or letters of administration is granted, the executor or administrator who interferes with the state of the deceased person is an inter-meddler. **Adeniji- Jones v Martin**

Probate is granted upon application to a court of competent jurisdiction either personally or through a legal practitioner i.e can't apply through an agent.

All applications for probate or administration is made through the Probate Registry. **See O 64 R 23 Lagos**

FUNCTIONS OF PROBATE REGISTRY (focus)

1) Lodgment of Wills and codicils.
2) Search of wills.
3) Reading of will.
4) Processing and issuance of grants.
5) Resealing of probate or Letters of Administration.
6) Collection and maintenance of indexed caveats entered at the Registry.
7) Double probate
8) Confirmation/verification of grants.

PROBATE IS GRANTED ONLY WHERE:

a. **T**here is a valid Will and

b. Executors were appointed in the Will.

NOTE:

Where there is a Will but no executors were appointed, the Personal Representatives will apply for *Letters of Administration with Will Annexed*

OBTAINING A GRANT OF PROBATE

Probate is the judicial confirmation of the authority of the Executor or executors to carry out the provisions of a Will.

It is usually granted upon an application **made to the probate Registrar** by an interested person either personally or through his Legal Practitioner.

See **Order 61** R 1 Lagos (in form 1 or form 2) **Order 62** R 1 Abuja and **Order 64** R 1& 2 Abuja

CATEGORIES OR TYPES OF GRANTS

1. **Grant of probate**:

   where the **deceased left a Will behind and has appointed an executor of such Will.**

2. **Grant of administration with will annexed**:

   where the **deceased left a will either**:

   a. without appointing executors,
   b. those appointed renounce probate,
   c. minor appointed as executor
   d. the executors are incapacitated
   e. the executor dies before probate is grated (***de bono non***)

3. **A grant of administration without will (Simple administration):**

   a. where a person dies intestate either wholly or partly.

   b. Where he dies partially testate, the part of his estate not covered in the will would be administered by grant of simple administration.

GENERAL GRANT

When the executors or administrators (PR) have the authority to act for all purposes in administration of the estate.

LIMITED GRANT

1) A limited grant is a restricted grant.
2) It may be limited in three ways:
   a) **Time**: e.g., until an infant reaches majority.
   b) **Part of an estate**: e.g. to administer a part not a whole estate
   c) **Purpose**: e.g. for the use and benefit of a person.

WHO IS ENTITLED TO A GRANT (PROBATE OR ADMINISTRATION)

The order of priority of who is entitled to probate is as follows: Ors 64 R 15 Abuja, O 62 R 22 Lagos

1. The Executor
2. Any residuary legatee or devisee **holding in trust for any other person**.
3. Any residuary legatee or **devisee for life.**
4. **The ultimate residuary legatee** or devisee, including one entitled on the happening of any contingency.
5. Any **specific legatee** or devisee or any creditor.
6. Any specific legatee or devisee **entitled on the happening of any contingency or next of kin.**

TIME OF GRANT

LAGOS: Ors 61 Rule 2 Lagos

(1) Grant of administration **with will annexed** is **14 days** after the death of the deceased.

(2) Grant of administration **without the will** annexed is **21 days after the death.**

ABUJA: O 62 R 3 Abuja.

(1) Grant of administration **with will annexed is 7 days after the death of the deceased.**

(2) Grant of administration **without the will annexed is 14 days after the death of the deceased.**

Basis of Challenging Grant of Probate

There are three major grounds of contentious probate:

1. **In respect of the validity of the will** -whether or not it complies with the Wills Act or Wills Law of the jurisdiction under which it is made which may include:

   (a) Fraud, undue influence, mistake, suspicious circumstance, non-endorsement of jurat where a blind is a testator.

   (b) Whether or not the testator possessed the sound disposing mind at the time of making the will (testamentary capacity)

   (c) Whether or not a subsequent marriage under the Act by the Testator has any effect on the validity of the will or any gift.

   (d) Where there is another Will validly revoking the Will or a Codicil in the Probate Registry.

2. **Challenge on the ground of appointment of the executor** was invalidly appointed or disability or incapability of the executor **These challenges not the Will, but the Applicants right to the grant.**
3. An application can be challenged **on the basis of interest in the deceased** estate.
   (a) Where a dependent is not catered for.
   (b) Where there are more than one executor with conflicting interests.
   (c) Where a gift in the Will contradicts an interest under customary law as held **Idehen v. Idehen.**

DOUBLE PROBATE

This arises when an **executor** applies for a **second grant** of Probate after a **first one** has been **granted to other Executors** duly appointed in a Will.

Commented [MOU57]: **Double probate or second probate is where not all the executors named in a will participate in the application or were granted probate. A new or second probate could be granted to join those that were originally excluded in the grant.**

The instances where double probate will be granted are:

(1) The **applicant was an infant executor who was denied a grant because of his age so upon reaching maturity he will be granted a double Probate. S. 21 AEL Lagos (August 2013 Q 6Bi)**

(2) Where a vacancy exists in the number of Executors, the reserved executors (if **more than 4** were appointed in a Will) will apply to fill it by a grant of double Probate.

Commented [MOU58]: **Where the testator appointed more than 4 executors, out of which probate is granted to only 4, any application to fill the vacancy in future shall be by grant of double probate.**

(3) Where **one of the executors is not in the country as at the time probate is granted.**

(4) Where the **executor was sick at the time other executors applied for probate after recovery he may apply for double probate**

TYPES OF PROBATE

There are two types of probate Common form and Solemn form

(1) **Common Form Probate**- this is **non-contentious** Probate as it is granted without any action in Court challenging the validity of the Will.

Feature of a Will in a Non-Contentious Probate

a. Where the Will appears valid on the face of it
b. Where the Will is duly executed in compliance with the Law.
c. Where the Testator is not subject to any disability.
d. Where there is no alteration, erasures, or deface on the Will.

Presumption of validity can be made on upon fulfilling the above conditions ***omnia preasumuntur rite esse acta***.

NOTE:

A probate is generally non-contentious unless any person challenges or contests it. Where a matter becomes contentious, the court can appoint an administrator pending the determination of the case. **Okelola v. Boyle.**

The Procedure to Obtain Non-Contentious Probate (common form) (April 2018 Q 3d, April 2019 Q 1Aiii & 6c,)

1. **Discovery and reading the will.**
2. The applicant's **(executors) apply for grant of probate paying the prescribed fees.**
3. The application for grant of probate will be accompanied by the **following documents**: **May 2011**
   a. **Oath of executors** (stating that the applicant will administer the estate in good faith).
   b. **Oath of justification by sureties**
   c. **Death certificate**

Commented [MOU59]: A non-contentious probate is where the validity of the will is not contested nor is there any dispute concerning the right of the applicants to apply for the grant of probate.

d. **Inventory of the testator's bounties** (moveable and non-moveable)

e. **Bank Certificate of Testators Account.**

f. **Affidavit of attesting witnesses to the Will.**

g. **A copy of the Will**

h. **Particulars of Identity of the Applicant** (Passports)

4. **The Probate Registrar values the estate and payment of tax is made**. It is desirable that at this point to deduct the debt of the testator before the tax
5. **Advertisement/Publication:** A Newspaper for notification purpose. (**21 Days).**
6. **Proving the Will:** A notice will be served on the executors to come and prove or renounce the will within 21 days of such service. See **O 62 R17 Lagos**
7. Order of court to order grant of probate: **O63 R19 Lag or O 62 R 44 Abuja**

(2) Solemn Form Probate - this is a **contentious** Probate which is granted **only after the action in Court challenging the validity of the Will have been determined.**

SOURCES OF CONTENTIOUS PROBATE

a. In respect of the validity of the will-whether or not it complies with the Wills Act or Wills Law of the jurisdiction under which it is made.

Commented [MOU60]:
The importance of attaching bank certificate to an application for the grant of probate/letters of admin enables the probate registrar determine the monies due to the estate for the purpose of assessment of the estate duty payable

Commented [MOU61]:
OTHER SOURCES OF CONTENTIOUS PROBATE

a.Where a dependent is not catered for.

b.Where there are more than one executor with conflicting interests.

c.Where there is a will validly revoking the will in the probate registry.

d.Where a gift in the will contradicts customary law as held Idehen v Idehen.

e.Disability or incapability of the executor

f.Whether or not a subsequent marriage under the Act by the testator has any effect on the validity of the will or any gift.

NOTE: a contentious probate is instituted by the party opposing it.

b. **Vitiating factors** such as fraud, undue influence, mistake, suspicious circumstance, non-endorsement of jurat where a blind is a testator.

c. Whether the testator did not possess sound disposing mind at the time of making the will.

d. Whether or not the executor was validly appointed.

How to Apply/Procedure for Contentious Probate LAGOS (Solemn Form Probate) (April 2019 Q 1Aii, August 2018 Q 4d)

1. **Discovering and reading the Will**
2. **Application for grant**
3. **Advertisement**

   (Everything downwards is the procedure to challenge/contest grant)
4. **Objection/Caveat:** Notice in the relevant court with jurisdiction by the challenger to prohibit the grant by the use of **SOLEMN FORM 5 (challenger himself) or FORM 6 (if by legal practitioner)**.

5. **Citation/ warning:** The Applicant for probate upon being served with the **FORM 5 or 6** file and serves on the challenger of the Will a citation or warning to caveat as in **form 7. Ors 63 R 18(4) Lag.**

6. **Notice of appearance** (form 8): The challenger upon being served with the **FORM 7 (citation/warning)** file and served on the Applicant for the probate a reply in **FORM 8** which is a notice of appearance.

7. Probate action: The matter is set down for hearing between both parties in open court,

8. Order or judgment: judgment will be delivered in favor of either of the parties.

NOTE:

While the proceedings is pending in court, the court may grant ***administration pendent lite*** to any administrator **to manage the estate pending the determination of the dispute. S. 27 AEL Lagos**

How to Apply/Procedure for Contentious Probate ABUJA

1. Discovering and reading the Will
2. Application for grant
3. Advertisement

   (**Everything downwards is the procedure to challenge/contest grant March 2021**)

4. **Objection/Caveat**: Notice in the relevant court with jurisdiction by the challenger to prohibit the grant by the use of **SOLEMN FORM 51 (challenger himself)** or **52 (if by legal practitioner)..**

5. Citation/ warning: The Applicant for probate upon being served with the **FORM 51** or **52** file and serves on the challenger of the Will a citation or warning to caveat as in **Form 53.**

6. Notice of appearance (**form 54**): The challenger upon being served with the **FORM 53** (citation/warning) file and served on the Applicant for the probate a reply in **FORM 54** which is a notice of appearance.

7. **Probate action:** The matter is set down for hearing between both parties in open court,

8. Order or judgment: judgment will be delivered in favor of either of the parties.

Documents Required in a Contentious Grant of Probate (focus)

1. Application Letter
2. Copy of the Will duly marked
3. Death Certificate of the testator
4. Proof of Identity of the Deceased
5. Oath of Executors.
6. Affidavit which shall state the date and place of death and domiciled of the testator
7. Notice of Caveat
8. Notice of Citation or Warning
9. Notice of Appearance to Citation
10. Writ of Summons

POSER

steps to be taken by a person who intends to challenge the validity of a Will. August 2011 No 5(d)(i)

A person who seeks to challenge the Will has to file a caveat

When Does a Caveat Become Ineffective?

1. When it is **filed during the pendency of a suit** on administration of estate.
2. Where a **caveator who not entered appearance withdraws his caveat** by giving notice of withdrawal to the Registrar.
3. When the challenger fails to respond to a citation filed by the Applicant for probate.
4. When the period of the caveat lapses without an action in Court. **Lagos** the span of caveat is **3 months**

   FCT is **6 months**. **O 64 R 47 Abuja**

Commented [MOU62]: Where upon failure to file an appearance to warning or citation within the specified period of 8 days and an affidavit deposed to that effect

NOTE: focus

once the probate action is commenced, probate or any letter of administration cannot be granted until the probate action is resolved. If granted it will be invalid and subject to be revoked; *Dan-Jumbo v Dan-Jumbo*.

POSER

Advise a probate registrar on the procedure to take where there is challenge to a grant of probate. **May 2012 No 3(d)**

Where a person challenges a Will by filing a Caveat, the Registrar has to notify the Applicant to serve a Citation on the Challenger. Then there will be

an action in Court to determine the outcome to the Will. The Registrar must not grant probate during the pendency. **Dan Jumbo v Dan Jumbo.**

SIMPLE LETTERS OF ADMINISTRATION (Administration de bonis non**) -** 2009; May; August 2011

This is issued to enable the personal representatives of a deceased who died without making a Will (**intestate**), to **administer** his estate after the death.

IT IS ISSUED WHERE:

1. A person died intestate (without making a Will)
2. Where there is Partial intestacy due to absence of residuary clause
3. Where the will is void
4. When a Will was made but was rejected by the court after a probate action
5. Grant made for the preservation of the asset known as grant ***pendente lite*** (e.g. to preserve the estate when a suit or appeal is pending).

Letters of Administration (With Will Annexed) ***administration cum testament annex*** – **May 2011**

This is issued when:

1) No executor is appointed in the Will
2) The sole executor appointed predeceased the testator
3) The sole executor(s) has renounced Probate
4) Executor appointed is an infant
5) Executor appointed becomes incapacitated by reason of mental or physical infirmity
6) The appointment of the executor in the will is void

Commented [MOU63]: Very important in case you're asked to comment on the implication of appointing a sole executor

It is improper to appoint a single executor as this may result in the case where the estate may be without an executor should the sole executor predecease the testator, or renounce probate or where the executor is incompetent on the grounds of age or mental capacity.

Commented [MOU64]: Where a minor is made Executor alongside other adults, probate shall be granted to the adults with power reserved for the minor to apply for double probate when he attains majority – Omayemi v. Okunubi

7) Executor is out of the country

Persons who shall be entitled to grant of administration with the will annexed shall be determined in the following order of priority.

1. Any residuary legatee or devisee holding in trust for any other person.
2. Any residuary legatee or devisee for life.
3. The ultimate residuary legatee or devisee including one entitled on the happening of any contingency or where the residue is not wholly disposed of by the will any person entitled to share in the residue not so disposed of or the personal representative of any such person.
4. Any specific legatee or devisee or any creditor or the personal representative of any such person or where the estate is wholly disposed of by will, any person who may have a beneficial interest in the event of an accretion to it.
5. Any specific legatee or devisee entitled on the happening of any contingency or next of kin. See **Order 64 R 15 Abuja**

OTHER TYPES OF GRANTS OF LETTERS OF ADMINISTRATION - MCQS

Grant of administration *pendente lite*: Grant **made for the preservation of the estate pending the determination of dispute. Section 27 AEL**

Grant of administration pending the grant of letters of administration: between death and grant of administration, the Chief Judge is statutorily empowered to administer the estate. **section 10 AEL Lagos.** The CJ can appoint an officer of the court to take possession of the property to avoid unauthorized intermeddling.

Administration by Administrator-General: Bar final 2009

Applied for where:

1) **Where the estate is Unrepresented:** An estate is unrepresented where: **S. 2 Administrator General Law Lagos**
    a) A **person dies intestate and his next of kin is unknown** or is absent from Nigeria without having an attorney or;
    b) **A person dies testate but administrator in instances of a will annexed is unknown or refuses or neglects** for more than one month after death or is absent from Nigeria without having an attorney
    c) Executors or administrators absent from Nigeria without having an attorney.
    d) The testator appoints Administrator-General as sole executor.
2) The **estate is open to danger of being misappropriated or wasted** or deterioration.
3) **Agent in charge of assets of a person is not residing in Nigeria.**
4) Where there is **specific request for the office of the Administrator General to administer the Estate**

Grant durante absentia: where the Personal Representative resides outside FCT. It is applied to court by way of motion. **See O 64 R 57 Abuja.**

Administration by attorney: where a person who is entitled to grant resides outside the country appoints an attorney. The grant can be made to his attorney for his use and benefit. **See Ors 61 R 11 Lagos, Ors 64 R 38 Abuja**

Grant ad colligenda bona: where **goods in the estate are perishable. Limited grant could be made for the preservation of perishable items or for their disposal. See Ors 64 R 54 Abuja (MCQ) E.g Vegetable**

Grant durante dementia: this is a **grant made to another person where the person entitled suffers incapacity as a result of mental disorderliness. Ors 61 R 14 Lagos**

Grant Durante Minore aetate: grant made to a person where the person so entitled is a minor. The minor upon attainment of majority, the grant made to that person will be revoked and a fresh grant to the minor now adult. **See Ors 61 R 12 Lagos, Ors 64 R39 Abuja.**

Priority of Persons Entitled To A Grant of Letters of Administration – S. 49 AEL KEKEREOGUN V. OSHODI (Bar Final August 2016 Q 4g, April 2018 Q 5e)

1. **Surviving spouse** (which could be either the husband or wife)
2. The children of the deceased or issues of the children of the deceased
3. Parents of the deceased
4. **Brothers and sisters of the whole blood and their issues**
5. **Brothers and sisters of half blood**
6. **Grand parents**
7. **Uncles and aunts of full blood**
8. Creditors of the deceased
9. office of the Administrator-General (where the preceding fail);

   Obusez v. Obusez

Commented [MOU65]:
RENUNCIATION OF ADMINISTRATION
Subject to the order of the court, probate will not be granted on the application of a person lower in priority unless and except the person(s) higher in priority has filed the Renunciation of Administration form sworn to on oath by which he deposed to the facts that he has not intermeddled in the personal property of the deceased and expressly renounced all rights to the administration of the estate or that he has been cited and he fails to appear.

Procedure to Obtain Letters of Administration (Non-Contentious)

1. Application for letters of administration
2. The application is accompanied by:
   a. Death Certificate
   b. Proof of identity of the deceased
   c. Inventory of deceased properties moveable and non-moveable
   d. Statutory affidavit of next of kin
   e. Oath of administration (where there is a will)
   f. Administration Bonds. (Where there is a will) **S. 31 AEL Lagos.**
   g. Justification of Sureties
   h. Renunciation of Administration (where applicable)
   i. Bank Certificate(s) of the deceased.
   j. Particulars of property/properties left by the deceased
   k. Schedule of debt due by the deceased and the schedule of funeral expenses

Procedure to Obtain Letters of Administration (Contentious)

1. Application for Grant of Letters of Administration
2. Advertisement/Publication
3. Entering of Caveat
4. Filing Notice of Citation or Warning by the Applicant
5. Entering of Appearance by the Caveator
6. Probate action by way of Writ of Summons
7. Grant of letter of administration where the suit is decided.

Commented [MOU66]:
Administration Bond
Every person entitled to grant of letters of administration shall bond himself with the probate registrar to a certain amount by executing as a deed the administration Bond (Bond).

The essence of this bond is that the administrator(s) covenant to make true and perfect inventory of the personal property of the deceased, which he has or shall come into his possession as the administrator and shall truly administer the property according to law. **Section 31 AEL Lagos.**

Commented [MOU67]:
Justification of Sureties
The Probate Registrar shall direct that the applicant(s) should produce one or two sureties who shall swear an oath in justification of sureties' form to remain liable until the administrators have well and truly administered the estate according to law. **Chief Registrar v. Somefun.**

Persons Disqualified from Acting as Sureties
a. A person who resides abroad except where the leave of the court is granted otherwise

b.An officer of the probate registry except where the court granted leave

c.The spouse of a proposed administrator.

NOTE:

Any property of the deceased not covered or contained in the Will can only be administered with Letters of Administration unless there is a residuary clause; see **(August 2018 Q 4iv)**

An administrator **cannot act or deal** with the **deceased'**s estate unless Letters of Administration is granted otherwise his acts are **VOID**.

Necessary Documents for Grant of Letter of Administration (April 2018 Q 4aii)

1. Application for letters of administration.
2. Death certificate of the deceased.
3. Declaration on oath.
4. A duly completed Administration bond.
5. Bank Certificate issued by the Registrar to a personal representative or applicant to inquire into the details of the bank account of the deceased.
6. A duly completed inventory specifically listing the properties the deceased person which the administrator wishes to administer
7. Evidence of Newspaper publications.
8. Passport photographs of the applicants and sureties.
9. Declaration of the next of kin

Publication in the Newspaper

Applicants are required to pay as part of the processing fee a sum for the publication of the application for grant in a local newspaper as a legal notice.

The publication shall contain the following:

1. The name and last address of the deceased
2. The date of death of the deceased
3. The full name and address of the Applicant
4. The applicant's relationship with the deceased

Reasons for Publication

1) It allows anyone interested in the estate of the deceased to enter a notice of any application for grant.
2) It allows any person having an interest know that such an application has been made and can enter a notice which must be **within 21 working days of the application.**

Order to Issue Letter of Administration

Where at the expiration of 21 days there is no caveat lodged or notice to prohibit against the grant to the applicant, the Probate Registrar will obtain an order of the Probate Judge for the grant of the letters of administration to the applicant.

Effects of Granting a Letter of Administration

The grant of letters of administration entitles the administrator to administer the estate of the deceased:

a. First by settling the debts and other liabilities of the deceased.
b. Distributing the residue equitably among the relatives of the deceased according to customary law priority established under the Administration of Estate Law.

The ethical duties of a legal practitioner engaged to contest the validity of a Will include: March 2021

1. To represent the client with devotion and dedication; **Rule 14 RPC**
2. Duty to represent the client within the bounds of law; **Rule 15 RPC.**
3. Duty to represent the client competently and with diligence; **Rule 16**
4. Duty to avoid conflict of interest; **R. 17 RPC**
5. Duty of confidentiality while dealing with the client; **R. 19 RPC**
6. Duty not to withdraw from the clients brief without just cause; **R. 21**
7. Duty to accept brief in his law office and the not at the client's house **Rule 22**
8. Duty to promptly account for any of the client's properties in his possession; **R. 23 RPC.**
9. Duty to accept the brief; **R. 24 RPC**

RE-SEALING OF GRANTS - August

This is applied for when Probate or Letters of Administration is granted in one State **while there are other real properties of the testator/deceased in other States**. **S. 2 Probate (Re-Sealing Act),** ***O 62 R 25 Lagos, O 64 R 45 Abuja***

The property of a Testator outside jurisdiction can only be administered if the Executors apply for a **resealing of the grant**

Conditions for the Grant for Re-Sealing – S. 3 Probate (Re-sealing) Act.

1. Estate duty must have been paid in respect of the estate.

2. **In the case of letters of administration**, that the security has been given in a sum sufficient in amount to cover the property in that state to which the letters of administration.

3. The applicant is required to provide sureties who shall swear and execute the Administration Bond on Application for Re-sealing from a deed, and the application is published in a local newspaper.

APPLICATION FOR RE-SEALING

Application for Re-sealing of Probate/Double probate is made in that other state where the property is situate **accompanied by**:

a) Copy of the first grant

b) Copy of the will or CTC of will if probate

c) Oath sworn by the applicant.

The Probate Registrar of the court where the application for resealing is made will issue relevant forms to the applicant to be filled and returned. The forms are:

1) Application form for re-sealing

2) Oath leading to resealing

3) Bank certificate

4) Inventory

5) Particulars of landed properties left of the deceased

6) Administration bonds on application for re-sealing

7) Justification of sureties

Effect of Re-Sealing

A probate or letters of administration re-sealed by a High Court of any state shall have the same like force, effect and operation in the state in which it is re-sealed as if granted by the High Court of that state. **S. 6 Probate Re-sealing Act.**

GROUNDS FOR REFUSAL TO GRANT PROBATE AND LETTERS OF ADMINISTRATION – FOCUS

1) Where the applicants have **failed to file the necessary documents to their applications for grant of probate or administration.**

2) Where the court is satisfied that the **applicant is outside the table of those considered for grant** as set out in the relevant legislation.

3) Where the **application for probate and administration is made while the testator or 'deceased' is still alive.**

4) Where the **applicant is not such person with the best interest of the estate of the deceased at heart and will likely mismanage the estate**.

5) **Where the applicant is an infant, probate or administration will not be granted directly to him EXCEPT** to both of his parents jointly or to a guardian appointed by court.

6) where the court having regard to all other circumstances of the case felt that it is not just to grant probate or letters of administration to the applicant,

REVOCATION OF A GRANT OF PROBATE

Probate or letters of administration when granted may be revoked on any of the following grounds: (**August 2018 Q 4v)**

1. Where it was **made to a wrong person**
2. When a **subsequent Will or Codicil revoking the first Will is discovered after a grant.**
3. Where it was **discovered later that the will upon which a grant was made had been revoked or was invalid before grant.**
4. Where the '**deceased' is not in fact dead/later found to be alive**.
5. Where the person to whom the grant was made **consents to its revocation**. **See DAN-JUMBO V DAN-JUMBO**
6. Where it was **granted pending a probate action**; ***Dan Jumbo v Dan Jumbo***
7. Where **Grant was obtained by fraud/ misrepresentation**

GRANT OF LETTERS OF ADMINISTRATION IN RESPECT OF SMALL ESTATE

Administration of Estate (Small Estate payments exemption) Law Lagos state. excludes the application of other laws or rules to reduce financial cost. Estates that fail under the category are exempted from the full procedure for application of Letter of Administration, the requirements are:

1. The **size of the estate must not be more than N100,000 (100k)**

2. There **must not be realty in the estate.**
3. **Evidence of Death**
4. **Statutory declaration that the applicant is entitled to the grant and that the deceased died intestate without a real property**

Upon fulfilment of the above conditions a Certificate under seal is given to the applicant to administer the estate.

EXEMPTIONS IN GRANT OF LETTERS OF ADMINISTRATION IN RESPECT OF SMALL ESTATE

1) The requirement of publication is exempted.
2) Paying the actual estate duty is exempted. Only minimal amount at flat rate is paid.
3) The requirement of surety is exempted. See O 63 R 4(5) Lagos.

CHAPTER ELEVEN

PERSONAL REPRESENTATIVES AND ASSENT

Personal Representatives include Executors and Administrators.

APPOINTMENT AND QUALIFICATION OF EXECUTORS

Any adult individual or even a company can be appointed Executors. However, a minor and a person of unsound mind cannot be appointed executors.

Factors/Qualities to Consider in Appointing Executors (Personal Representatives) FOCUS

1. Availability and willingness to act as Executors/personal Representative.
2. **Honesty and Credibility**
3. capacity where the estate is vast a professional.
4. **Harmony**: People that can work together
5. **No Possibility of conflict of interest in the estate to be administered.**
6. **Knowledge and experience:**

   Where the deceased was involved in some specialized business, the personal representatives should have some knowledge of the business the testator was involved in.
7. **Logistics and convenience:**

   It is unwise to appoint a person living outside the country or distant from where most of the assets of the testator are as maximum attention will not be given to the testator's estate.
8. **Age of the executor:**

Generally, an executor should be younger than the testator it is not an ideal person to appoint an older person to be an executor to one who is younger.

Modes of Appointing Executors/Personal Representatives

1. Expressly by them been named in the Will.
2. Impliedly or by the tenor of the Will.
3. By operation of the Law, e.g. when the chain of executorship will not be allowed to be broken when all the executors granted probate are dead. The executor to the last Executor who died will be allowed to apply for Letters of Administration to continue with the execution of the Will left by the dead Executors**. S. 28 of the AEL of Lagos State.**
4. **Appointment by Nominee** i.e., authorisation of another to appoint the executors
5. **Appointment by the Courts**: The Court Will Appoint Executors in the Following Circumstances:
   a) If person entitled to grant of probate is a minor or has a mental or physical infirmity, court can appoint another person.
   b) **Where there is only one executor and, in the Will, there is a minority interest** i.e. the deceased made provision for minor/child or old mother who has a life interest in a property. **Where the sole executor is a trust corporation, then no need for court to appoint additional executor**: **s. 24 AEL Lagos; (August 2014 Q 1g, 2018 Q 4ii)**
   c) Where infant is the sole executor, court will appoint an administrator with will attached.

Commented [MOU68]:
Here, the Testator makes a declaration of appointment of the executors in the Will. The appointment is normally contained in the appointment clause. The testator names the personal representative clearly in his will, stating his address, occupation and other particulars.

Advantages
1.It lessens the difficulty in the grant of probate by officials of the registry since the personal representatives are already identified.

2.It reduces the likelihood of disputes and litigation since such express appointment are unlikely to be challenged.

3.There could be defined responsibilities.

Commented [MOU69]:
Where the testator did not expressly name the personal representatives in the will but may be implied by the tenor of the will.
The wordings of the will may be drafted in such a way that the personal representatives are not clearly identified but only by comprehensive reading of the words employed in the will, could it be said that a person is a personal representative.
It is usually but not always in wills that are poorly drafted.
Where a will requires a person to perform some tasks which are essential duties of an executor.
See **IN THE GOODS OF COOKS, IN THE ESTATE OF FAWCETT(1941) P85 and O 57 R 10 Lagos**

Commented [MOU70]:
These are executors of the estate of the last surviving executor of the Will of a Testator, who also dies testate.

NOTE: FOCUS
Break in the chain of representation may occur where the last surviving executor:
a.Dies Intestate
b.Fails to appoint an executor in his will
c.Fails to obtain probate
d.**Renounce Probate**

d) When the Will does not appoint a personal representatives **Ors 62 Rule 2 Abuja.**

e) Where there is a pending suit on the validity of the Will or for obtaining, recalling or revoking any grant, the court may appoint a general administrator to the estate. **Sect 27 AEL Lagos State**.

f) Where the personal representatives is outside jurisdiction

g) Where a personal representative or beneficiary applies to the court for the appointment of a substituted personal representative.

NUMBER OF EXECUTORS/PERSONAL ADMINISTRATORS

EXECUTORS: The **maximum** of executors to be appointed is **4** and the **minimum** is **1** (one). Although it is not advisable, a sole or single executor can be appointed. **24 AEL Lagos.**

Where more than 4 are appointed only the first 4 would be granted probate to act as executors.

ADMINISTRATORS: maximum of **4** and a minimum of **2** can be appointed.

NOTE: A Trust Corporations can be appointed to be a **Sole Executor** of a Will; **see S. 9 & 24 AEL Lagos.**

- ⇨ **NOTE THAT:** Where two executors were appointed and one dies before the testator without replacement, upon the testator's death, the surviving sole executor may apply for and be granted probate.

- ⇨ **NOTE ALSO THAT:** It is only the properties of the deceased covered or contained in the Will that can be administered with

Probate. Any other property of the testator outside the Will can only be administered with **Letters of Administration** unless there is a residuary clause; see **(August 2018 Q 4iv).**

- ⇨ if there is a minority or life interest arises under the Will or intestacy, probate or LOA will be granted either to a trust corporation, with or without an individual, **or to not less than two individuals (Focus)**

When Executors Must Be At Least Two

Generally, the power of executor can be exercised by a sole executor not in the circumstance below: **FOCUS**

a. Where a minor has benefit in the estate and there is one representative or executor, the court may appoint additional executor or representative is a trust corporation. **Section 24 AEL, The Estate of Lindley.**

Why It Is Not Advisable to Appoint One Executor/Disadvantage - Focus

1. **He may predecease the testator.**
2. **He may renounce probate when the testator had died.**
3. **He may have mental challenge or other medical conditions that will make it impossible for him to act.**
4. No room for division of labour.
5. **It is not suitable where the estate is vast**

Commented [MOU71]:
Advantages of Appointing More Than One Executor
Continuity of executorship: Sole executor may die before the testator and the testator may have to make a codicil to appoint another one. Where there are more than one executor, the others will continue to act even if one of them dies. More executors to a Will aid in division of labour. It will help in the effective administration of the estate because where other executors are busy or unavailable, the others act on behalf of the estate

Commented [MOU72]:
It may lead to grant of letters of administration with will annexed where the executor renounce probate or becomes mentally in capacitated.

REMUNERATION OF PERSONAL REPRESENTATIVES

The general rule is that **the services of personal representative is gratuitous i.e not entitled to remuneration**. **NBA v. KOKU.**

This is an important exam point which is always coming in the exam.

EXCEPTIONS: Executors or administrators may be remunerated in the following circumstance:

1. Upon a **Court Order**

   In Abuja, the judge may direct that the personal representatives be allowed some income out of the estate of the deceased not exceeding N10,000.00 when an application is made and shown that the task to be performed is difficult **Ors 62 R 2 (38) Abuja**

   In Lagos, the judge may direct that not 10% of the value of the estate be given to the executors.

2. **Recouping of Out-of pocket expenses:** The rule in ***Cradock v Piper***: applies to only executors/trustees who are professionals

3. **There is a Charging Clause in a Will (August 2019 Q 1f, Jan 2020 Q 4i)**

   NB

   Where there a charging clause, **the executors should not be a witness in the will as they will lose any gift including professional fees they are entitled under the will.S. 15, Wills Act, Re Pooley**

   4. The executor is also appointed a Solicitor.

Commented [MOU73]:
an Executor who is also an attesting witness to a will is not entitled to rely on a charging clause in the Will as the same has failed

RENUNCIATION OF EXECUTORSHIP

Renunciation is allowed as executorship is voluntary. But executor must take **positive** steps to renounce executorship i.e. to show that he is not willing to take up probate (abdicating the rights). If not, there is no renunciation.

This can be done by the following means:

1. Filing of an Affidavit of renunciation, **O. 62 R. 30 Lagos**
2. A failure to respond to a citation **within 21 days (Lagos) and 14 days (Abuja)** by the executors
3. The executors died before taking the grant, **see S. 6 AEL Lagos**.

N.B

- The fact that executor does nothing is not evidence of renunciation.
- **Renunciation must not be partial but complete.**
- **Renunciation must be positive** and not passive.
- Acts done by executor before renunciation is valid.

CESSATION OF EXECUTORSHIP

Where an executor appointed in a will survive the testator but either:

A. Dies without taking out probate; or

B. Is cited but refuses to take out probate; or

C. Renounces probate, his right in respect to executorship shall wholly cease and the representation to administration of estate shall dissolve as if no executor had been appointed. **Sect 6 AEL**

Withdrawal of Renunciation:

The executor can withdraw the renunciation at any time but **with leave of the Probate Registrar (adducing reasons)** as long as there has not been grant to other persons waiting in line. **S. 7 AEL**

EXECUTORS DE SON TORT - focus

This is simply an executor or administrator who acts without due authorization. It may arise from the following acts of an individual:

a. An **unauthorised interference with the properties in an estate, Adeniyi Jones v. Martins**
b. **Executors intermeddling with the estate without applying for Probate/ Letters of Administration or refuse to prove the will. Harrison v Rolly**
c. A **beneficiary intermeddling with the estate that has not formally been distributed Adebiyi v Adebiyi;**

Liability of An Executor De Son Tort - Section 18 AEL Lagos

1. **Liable for any loss suffered by the estate**
2. **Liability to pay for services rendered to the estate during period of intermeddling**. See **Adeniyi Jones v. Martins.**
3. Liability to creditors (Even for debt incurred by the deceases) **Wokocha v. Esiaba**
4. **Liability to pay fine** (for intermeddling with the estate of the deceased) The fines are in the various High Court Rules.
5. Liability for Citation (To prove the will or to take probate)
6. Liability for inheritance tax.

NB=An **Executor de Son Tort** must apply for Probate/Letters of Administration **within 3 months** otherwise he is liable to pay fine N5,000. Order *62* ***Rule 3 Lagos***

a person who has intermeddled with the estate but who later applies for and obtain a letter of administration ceases to be executor de son tort. See **O 62 R 3 Abuja, O 62 R 18** Lagos

ASSENT BY PERSONAL REPRESENTATIVES

An Assent is used to vest title in realty on the beneficiaries because it is the rule that title in the estate of the testator is vested in the personal representative. **Bankole v Williams; Renner v Renner**

An Assent need not be by Deed. S. 3 (AEL) August 2011 No 5(c)(ii)

Jurisdiction on the Use of Assent – focus

This depends on the area and the applicable Law as follows:

1. **In PCL states and LAGOS, IT IS REQUIRED TO VEST TITLE** on the beneficiaries
2. In **Conveyancing Act States,** a formal **Assent IS NOT required** and the beneficiary takes his gift from the Will.

Conditions of a Valid Assent/Contents to be contained in an Assent. (August 2011 No 5(c)(iii), March 2021) – S. 40(4) AEL ***Renner v. Renner,***

1. **Must be in writing**
2. It must **contain the names and address of the testator**
3. **Signed by all the personal representatives/executors**
4. The **property to which the assent is granted must be certain**
5. The **beneficiary must be stated**

POWERS OF PERSONAL REPRESENTATIVES

1. Power to **postpone the distribution of the estate for at least 1 year S. 47 AEL,** the limitation to the postponement of distribution:
   a. court order,
   b. not applicable to debt,
   c. pecuniary/general interest attracts interest

2. Power to sell, mortgage or lease property in the estate to raise funds to settle debts.

   But for realty, the sale must be with concurrence of all Personal Representatives (i.e. **jointly**). Any sale done without their joint consent is invalid: s. **4(2) AEL Lagos**.

   Exceptions: conveyance of realty can only be validly made without the concurrence of all the representatives:
   a) Where there is an order of court authorizing such conveyance;
   b) Where the other Representatives left out of the conveyance are Executors yet to be granted probate, or who have renounced probate or have refused to prove the Will.

3. **Power to appropriate assets in satisfaction of a legacy or other liabilities S. 44 AEL, Re Phelps**

4. Implied Power/authority to deal with and manage the estate: **Re Venn & Furze's Contract**
5. Power to appoint trustees for infant beneficiaries
6. Power to run a business as a going concern

7. Power to sue on the estate: **S. 15 AEL Lagos**
8. Power to distrain for rent

DUTIES OF PERSONAL REPRESENTATIVES (April 2019 Q 1i)

1. **To prove the Will.**
2. **Duty to generally administer the estate.**
3. **To gather-in the estate of the deceased. Admin-General & Public Trustee v. Ilobi**
4. **To pay out debts and liabilities of the estate.**
5. **Duty to distribute the estate amongst the beneficiaries.**
6. To account and keep records of the administration
7. Duty to make a full inventory of the estate.

LIABILITIES OF PERSONAL REPRESENTATIVES (April 2018 Q 3eApril 2019 Q 1i)

Commented [MOU74]: MCQ
DEVASTAVIT MEANS Liability for waste and conversion

1. **Liability for waste of the estate. – S. 19 AEL**
2. **Liability for conversion of any part of the estate to personal gain.**
3. **Liability to pay the creditors or beneficiaries of the estate.**
4. **Liabilities for intermeddling with the estate.**
5. **Liability for failure to pay estate taxes;**
6. **Liability as Executor *de son* tort.**

Reliefs from Liabilities of Executors/Personal Representatives

These are situations when the liabilities so incurred by a personal representative will be waived or forgiven. They are as follows:

1. By the express provisions in the Will appointing the Executors. An **EXCEPTION** is where it is **a fiduciary duty** that is breached by the executors
2. Relief obtained from the beneficiaries/ creditors concerned in a Will
3. Relief from Court
4. A plea of limitation of Statute

ACCOUNTS TO BE KEPT/FILED BY THE PERSONAL REPRESENTATIVES: (2012, January 2020)

1. **Inventory of the property of the deceased:**
2. **Vouchers of income in the hands of the executor/administration**
3. **An account of the administration which will include:**
4. **Affidavit in verification**

Commented [MOU75]: Attach the following
a.All monies spent
b.Out of pocket expenses
c.All debts paid
d.All assets of the estate

TIME ACCOUNT CAN BE REQUIRED

The account is to be filed in Court **every 12 MONTHS** until the administration is completed. **O. 61 R. 16 Lagos Ors 62 Abuja (Jan 2020)**

It may be at the end of the administration of the estate.

Instances When an Account Will Be Called by the Probate Registrar:

1. Where a complaint of maladministration of the estate is made against the Personal Representative by any person interested in the estate
2. An application that a personal representative be removed/discharge is made before the completion of the administration of estate

3. When the personal representative applied himself to be discharged or surrender the estate vested to him to the Administrator General **Section 32(1) AEL**
4. On completion of the administration and the Personal Representative is required to submit a final account to the court

Effect of Failure to File Account - Ors 61 R 16 Lagos, Ors 62 R 41 Abuja.

Liable to pay a fine of not less than **N100,000 (Lagos) and 1,000 (Abuja)** as the court may think fit.

Imprisonment for a term not exceeding **6 months**

DISCHARGE OF PERSONAL REPRESENTATIVES

This can be applied for in the Court that granted Probate/Letters of Administration when the personal representative has completed the administration of the estate and final accounts filed.

Commented [MOU76]:
DUTIES OF PR WHICH MAY ARISE AFTER THEIR BEING DISCHARGED

▶New properties of the testator which were discovered, the PR will be called to complete the administration.

▶ where it is discovered, the PR has breached his duty of trust.

SEQUENCE/ORDER IN ADMINISTERING OR WINDING UP A. DECEASED'S ESTATE

1. Give the deceased a decent burial.
2. Collect deceased's estate by making an inventory
3. Apply for probate/letters of administration as the case may be.
4. Settle debts and liabilities of the deceased
5. Distribute the estate in accordance with the tenor of the will or native law and custom of the deceased intestate.

6. Render account of administration to the probate registrar as required by law.
7. Apply to court to be discharged after the administration of estate is completed.

FORMAL PARTS OF AN ASSENT

1. **Commencement**: describes the nature of the document (as an assent)
2. **Date**
3. **Parties' clause**
4. **Vesting clause:**

   it's the operative part in the document which confers the property on the beneficiary
5. **Declaration clause:**

   it is an affirmation by the personal representatives that they have not dealt contrary to the property to vest it in another person other than the real beneficiary
6. **Acknowledgement clause:**

   It is a guarantee to the beneficiary that PRs will produce any documents in their possession
7. Testimonium:

   Connects the parties to the content of the document
8. Execution
9. Attestation

CHAPTER TWELVE

PROPERTY LAW TAXATION

APPLICABLE LAWS

1. Capital Gains Tax Act
2. Stamp Duties Act
3. Personal Income Tax Act
4. Companies Income Tax Act
5. Land Use Act
6. Land Instrument Registration Laws of the Various States
7. Land Use Charge Laws of Lagos State (Replaces Tenement Rates Law and Land Rates Law).
8. Federal Inland Revenue (Establishment) Act.
9. Value Added Tax Act

OVERVIEW OF TAXES PAYABLE IN PROPERTY TRANSACTION

(Exam focus, August 2014 Q 2vii, 2016 Q 2a, April 208 Q 1b, April 2019 Q 2Bii, August 2019 Q 6b)

The following taxes are payable over property transactions in Nigeria:

1. **Capital Gain Tax** payable by the Vendor is Sale of land
2. **Stamp Duties** payable by the Purchaser/Assignee/Mortgagee/lessee
3. **Personal Income tax** payable by the owner of the property who made income

4. **Companies Income Tax** payable by companies involved in property transaction
5. **Consent Fee** payable by the owner of the property
6. **Registration Fees** payable by the purchaser/lessee/mortgagee
7. **Value Added Tax** payable by the **person using the property**
8. **Tenement Rates** payable by the owner of the property
9. **Ground Rents** payable by the vendor

CAPITAL GAINS TAX (CGT)

These are levies charged on the gains accruing upon disposal of assets as provided for under the **Capital Gains Tax Act. Section 2**

Tax paid on gains accrued to a person on disposal of an asset

Capital gains tax shall be chargeable on the total amount of chargeable gains accruing to any person in a year of assessment after making such deductions **as S. 2(1) (CGT)**

Those liable to pay capital gains tax: **S. 45(6), S. 1, S. 8(7) CGTA**

1. Companies
2. Partnerships
3. Individuals
4. Personal representatives

Those Exempted from Payment of Capital Gain Tax

1. **Ecclesiastical**, Charitable and Educational Institutions of a public character.
2. Statutory or **Registered Friendly Societies**.
3. **Trade Unions** Registered Under the Trade Unions Act.

4. Gains accruing from any **Local Government**
5. Gains accruing to any company in export or fostering economic development in Nigeria.
6. Disposition by way of **gift**. See Generally – *Sections 26 & 27 Capital Gains Tax Act*.

These gains are those resulting from increases in the market value of assets to a person who does not regularly offer them for sale and in whose hands they do not constitute stock-in-trade.

The rate of capital gains tax is 10%.

Allowable Income/Deductions (FOCUS):

This is any income that is **wholly, exclusively and necessarily** incurred **for the acquisition, development and disposal of the property**: **s. 12 & 13 Capital Gain Tax Act.**

Examples of Allowable Income Includes:

1. Money or monies worth charged to income tax or receipt of money taken into computation under Personal Income Tax
2. Amount paid for the acquisition of the property or incidental cost of acquisition
3. Expenses incurred in enhancing the value of the property
4. Money spent on the establishment, preservation or defence of the title of the asset.
5. Cost incidental to the disposal of the asset such as the cost of advertisement or commission to the auctioneer or agent.

6. Fees, commission or remuneration paid to professionals, surveyors, Auctioneers, Agent, Valuers, and Solicitors.

EXCEPTIONS: The following shall not be considered as allowable deductions/income:

a. **Cost of disputing the taxable portion** e.g. engaging service of a Solicitor to institute action.

b. **Direct Labour put into improvement of the Property shall not allowed** e.g. Mr A wants to paint the house himself through his family members; he would not be allow to deduct payment for the direct labour- ***Oram v. Johnson***

FORMULA for Calculating CGT

1. Subtract cost of purchase from consideration to get the gain

2. Add together all the allowable deductions and subtract it from the gain

3. CGT = 10% of (Total Gain –Total Allowable Income)

ILLUSTRATION:

If A bought a land for N100, 000.00 and used N50, 000.00 to develop it, paid solicitors fee N30, 000. 00 advertised the sale for N20, 000. 00 and finally sold the property for N500, 000.00.

CGT = 500,000-100,000 = N400, 000.00 (vendor's gain)

Allowable deductions = N100, 000. 00 (50,000 + 30,000 + 20,000)

400, 000.00-100, 000.00 = 300, 000.00

Capital gain tax = 10% of 300,000 = 10/100 x 300, 000.00 = N30, 000.00

NOTE: Those Estate agents who are into the trade of selling land are exempted from paying Capital Gain Tax.

STEPS IN THE CALCULATION OF CAPITAL GAINS TAX – 2016

Step 1= Determine the consideration received for property.

Step 2= Deduct the amount paid at the time the property was originally acquired.

Step 3= Further deduct all allowable expenditure from the consideration obtained.

Step 4= Find 10% of the balance.

Commented [MOU77]:
1.Mention the selling price
2.State the allowable expenditure including cost of acquisition of the asset
3.Ascertain the chargeable gain which is selling price – Allowable Expenditure
4.Calculate the capital Gains Tax

STAMP DUTIES

These are duties (taxes) imposed on and raised from stamps charged on instruments, parchments and other legal documents relating to land under the Stamp Duties Act. Stamp Duties Act LFN 2004.

Commented [MOU78]:
duties (taxes) imposed on REGISTRABLE INSTRUMENT STAMP DUTIES COULD BE AD VALOREM OR FIXED S. 23 & 28 SDA

Time for The Payment of Stamp Duty
Time frame within which to pay stamp duties for unstamped or insufficiently stamped documents is **40 days**. Time limit for paying stamp duties for an instrument that is stamped **ad valorem is 30 days** (See Section 23 Stamp Duties Act).

Effect of Failure to Pay Stamp Duty
Document is inadmissible as evidence of title of the landowner's title. Ogbahon v. Registered Trustees of CCCG. The document is not admissible for registration.

PERSONAL INCOME TAX

Personal income tax is tax paid on profits of an income as opposed to profits arising on the disposal of capital assets. **S 2, 4, 8, PITA**

Commented [MOU79]:
Personal income tax is tax paid on salaries and income made by persons under the PITA. It is payable by individual, communities, families. Trustees or Executors, partners in partnership S. 2,4,8 PITA

Ways of Evaluating or Assessing Personal Income Tax
By filing a return on oath of the income earned by the individual(s) to be taxed. In the absence of a return filed by the individual, the taxing agency may assess.

CONSENT FEE

Payable to obtain the consent of the governor over property in the state. S 22 LUA

REGISTRATION FEES

Its payable to register all registrable instrument under the relevant Land Instrument Registration Law

VALUE ADDED TAX

Value Added Tax is a consumption tax paid when goods are purchased and services rendered. It is a multi-stage tax. Value Added Tax is borne by the final consumer. All goods and services (produced within or imported into the country) are taxable except those specifically exempted by the **Value Added Tax is charged at a rate of 7.5%.**

TENEMENT RATES

Tenement rates are charges imposed on houses and buildings within a state. The major feature of tenement is the presence buildings and also occupation of the building by persons.

MISCELLANEOUS CHARGES AND FEES

These are other forms of charges made in the course of property transfers, though not described as tax, are charges imposed with the aim of raising revenue for government.

a) **Ground Rent:** Usually charged by the Governor of a state for grant of right of occupancy and in respect of undeveloped properties; **S. 5 Land Use Act.**
b) **Consent fee**
c) **Registration fee**
d) Value Added Tax (VAT): This is a consumption tax: It is tax payable on manufactured goods and on services rendered or employed by consumers.

Effect/Implications of Failure to Pay Tax (Dec 2020 Q 6c)

1. **It will attract criminal sanctions** which may include a penalty for late payment or even terms of imprisonment.
2. The **property over which the tax is to be paid may be, sealed off or seized**.
3. **Failure to pay stamp duties may result to refusal to register the document of transfer.**

<u>Ethical Responsibilities of a Legal Practitioner in Payment of Tax:</u>

1. Duty to ensure that the client pays the necessary taxes as at and when due.
2. Not to advise the client on circumventing tax but rather represent the client within the bounds of law.

3. A Solicitor must advise his client to pay taxes on property transaction
4. A Solicitor must pay his tax when he receives an income
5. A Solicitor should not collude with his client to evade payment of tax

CHAPTER THIRTEEN
IMPORTANT SAMPLE DRAFTS ON PROPERTY LAW

1. **DEED OF ASSIGNMENT (This is usually asked in parts especially Introductory and concluding parts)**

THIS DEED OF ASSIGNMENT is made the …… day of ….. 2015; **BETWEEN** Mrs. Aduke Thomas of No. 45 Isheri Street Ikeja Lagos ('The Assignor') on the one part **AND** Professor Ugo Ekanem of 15 Straight Road Sapele Delta State ('the Assignee') on the other part.

THIS DEED RECITES AS FOLLOWS:/**BACKGROUND**:

1. The Assignor is the legal owner of a Certificate of Occupancy No. 59/59/2010A over a parcel of land with four blocks of flat situate at 15 Sapele Road, Sapele Delta State.
2. The Assignor is willing to alienate her interest while the Assignee is willing to buy subject to the conditions to be stated herein.

NOW THIS DEED WITNESSES AS FOLLOWS:

In consideration of the sum of ₦30, 000, 000.00 (Thirty Million Naira) paid to the Assignor by the Assignee (the Receipt of which the Assignor hereby acknowledges), the Assignor as a **BENEFICIAL OWNER assigns ALL THAT** parcel of Land with four blocks of flat situate at No. 15, Sapele Road, Sapele Delta State covered by a Certificate of Occupancy No. 59/59/2010A and more rightly described in the Survey plan to be prepared by a licensed Surveyor attached to the Schedule with all rights, easements and appurtenances **TO HOLD** unto the Assignee as holder of a Statutory right of Occupancy for the term unexpired on the Certificate of Occupancy.

IN WITNESS OF WHICH the parties have executed this Deed in the manner below the day and year first above written.

SIGNED, SEALED AND DELIVERED,

By the Assignor

……

Mrs. Aduke Thomas

IN THE PRESENCE OF:

Name:

Address:

Occupation:

Signature:

Date:

SIGNED, SEALED AND DELIVERED

By the Assignee

……

Prof. Ugo Ekanem

IN THE PRESENCE OF:

Name:

Address:

Occupation:

Signature:

Date:

EXECUTION BY AN ILLITERATE

SIGNED, SEALED AND DELIVERED, By the Assignor, Mrs. Aduke Thomas, the contents of this Deed having been first read and interpreted (aloud if Blind) to her From English language to Yoruba Language by me Adamu Ebuka of No. 15 Broad Street Lagos when she appeared perfectly to have understood same before affixing her thumbprint.

BEFORE ME

……

MAGISTRATE/ NOTARY PUBLIC

EXECUTION BY COMPANY (usually preferred in Exam)

The Common Seal of Zenith Bank PLC (The Assignee) Was Affixed To This Deed And Was Duly Delivered In The Presence of**:**

…….	…….
DIRECTOR	SECRETARY

EXECUTION BY A HOLDER OF POWER OF ATTORNEY

SIGNED, SEALED AND DELIVERED,

By the Assignor

……

Mrs. Aduke Thomas; through her true and lawful Attorney Mr Samuel Abubakar by virtue of a Power of Attorney dated the ….. Day of February 2011 and registered as 10/23/2011A at the Lands Registry Lagos State.

2. **POWER OF ATTORNEY (you may be asked to draft full Power of Attorney; April 2019 Q 4a, August 2019 Q 4e)**

BY THIS POWER OF ATTORNEY made this ……. day of ……20…., I, Amaechi Adebayo of 10, Carrington Avenue, Asokoro Abuja (DONOR), **HEREBY** appoint Miss Amina Gamawa of 11 Gado Nasko Street, Kubwa Abuja (DONEE) to be my true and lawful Attorney and in my name and on my behalf, to do all or any of the following acts or things, namely:

1. To lease out my property of Plot 5a Okoye Street, Port Harcourt to tenants;
2. To execute any document in pursuance to the said lease;

AND TO DO ALL THINGS necessary and incidental to the powers conferred above as I may lawfully do.

AND I DECLARE that this Power of Attorney shall be irrevocable for a period of twelve months from the date written above.

IN WITNESS of which the donor have executed this Power of Attorney in the manner below the day and year first above written

SIGNED, SEALED AND DELIVERED by the above named Donor

.....

Amaechi Adebayo.

IN THE PRESENCE OF:

Name: .....

Address: .....

Occupation: .....

Signature: .....

3. **<u>Draft of a Covering Letter for Search Report</u>**

BASSEY OLAKUNLE & CO
BARRISTERS AND SOLICITORS
NO. 15 LOKOJA STREET IKEJA
LAGOS STATE

OUR REF:

3 January, 2021

The Bank Manager,
Zenith Bank PLC
No. 23 Marina Lagos State

Dear Sir,

SEARCH REPORT CONDUCTED ON PROPERTY REGISTERED AS 12/12/6532 AT THE LANDS REGISTRY IBADAN, OYO STATE

Sequel to your briefing our Firm to conduct a search on the above property, we are pleased to inform you that the search has been carried out and a copy of the Search report is attached to this letter.

Thank you as we await further instructions or clarification.

Yours faithfully,

……
Bassey Olakunle, Esq.
(Principal Partner)
For: Bassey Olakunle & Co.
External Solicitors to Zenith Bank PLC

(NOTE: Whenever you are asked in the exam to prepare a search report, always draft the covering letter as indicated above before drafting the search report.)

4. SEARCH REPORT IN MORTGAGE (Always asked)

CHUCKWU & CO
GLORY CHAMGER
Address:

Phone No:
E-mail:

Website:

Our Ref……. **Your Ref……..**

7 January, 2021

The Manager

Zenith Bank PLC

Nigerian Law School, Bwari,

Abuja

Dear Sir,

A SEARCH REPORT CONDUCTED ON THE PROPERTY OF ALHAJI USMAN AMAECHI ADEBAYO

1. **Date of Search:** This search was conducted on 28th December 2020
2. **Place of search:** This is a search report of the property of Alhaji Usman Amaechi Adebayo lying and situated at No 4 Yakare Street, Ring Road, Ibadan, Oyo State.
3. **Name of Borrower:** Alhaji Usman Amaechi Adebayo
4. **Name of Person giving security other than Borrower:** Nil
5. **Brief Description of Property:** The property is a duplex situate at No 4 Yakare Street, Ring Road, Ibadan, Oyo State, property designated with the Survey Plan No IB.119 registered at the Land Registry of Oyo State.
6. **Encumbrance(s):** Nil
7. **Valuation Report:** The property has been valued by a registered estate valuer to worth the sum of N120, 000,000.00
8. **Conclusion/Opinion:** The title is good.

Yours faithfully,

……..
Akin Olawale Esq
Associate Counsel
For: Chuckwu & Co

5. Search Report with Covering Letter in Sale of Land

BASSEY OLAKUNLE & CO
BARRISTERS AND SOLICITORS
NO. 15 LOKOJA STREET IKEJA
LAGOS STATE

OUR REF: YOUR REF:

3 January, 2022

The Bank Manager,
Zenith Bank PLC
No. 23 Marina Lagos State
Dear Sir,

SEARCH REPORT CONDUCTED ON PROPERTY REGISTERED AS 12/12/6532 AT THE LANDS REGISTRY IBADAN, OYO STATE

Sequel to your briefing our Firm to conduct a search on the above property, we are pleased to inform you that the search has been carried out and a copy of the Search report is attached to this letter.

Thank you as we await further instructions or clarification.

Yours faithfully,

Bassey Olakunle, Esq.
(Principal Partner)
For: Bassey Olakunle & Co.
External Solicitors to Zenith Bank PLC

BASSEY OLAKUNLE & CO
BARRISTERS AND SOLICITORS
NO. 15 LOKOJA STREET IKEJA
LAGOS STATE

OUR REF:

3 January, 2021

The Bank Manager,
Zenith Bank PLC
No. 23 Marina Street,
Lagos State.
Dear Sir,

SEARCH REPORT CONDUCTED ON PROPERTY REGISTERED AS 12/12/6532 AT THE LANDS REGISTRY IBADAN, OYO STATE

1. DATE OF SEARCH: 2 January, 2021

2. PLACE OF SEARCH: Lands Registry Ibadan Oyo state

3. NAME OF REGISTERED OWNER: Chief Mrs. Remi Yakossi

4. DESCRIPTION OF THE PROPERTY: No. 12 Croker Street Oyo State.

5. NATURE OF INTEREST: Statutory Right of Occupancy No. 6532 dated 12/07/2004 registered as 12/12/6532 at the Lands Registry Ibadan Oyo State.

6. ENCUMBRANCES: Nil

7. COMMENTS/ OBSERVATIONS: The property is a good security and it is unencumbered

Yours faithfully,

……..

Bassey Olakunle, Esq.

6. DEED OF LEASE (Asked in Dec 2020 Q 4e)

THIS DEED OF LEASE made this …….. Day of ……20……

BETWEEN Mrs Aduke Thomas of 15 Ojota Road Yaba Lagos State (LESSOR) of the first part **AND** Pages and Print Limited, a company incorporated under the Companies and Allied Matters Act 2020 with its registered office address at No. 56 Igala Street Ikoyi Lagos State (LESSEE) of the second part.

RECITALS

1.
2.

NOW THIS DEED WITNESSES AS FOLLOWS:

1. In consideration of the rent and covenants reserved in this Deed, the Lessor **AS BENEFICIAL OWNER** demises to the Lessee **ALL THAT** four bedroom bungalow at No. 13 Chime Avenue, Enugu, Enugu State covered by a certificate of Statutory Occupancy registered as 45/45/2345 referred to as 'The demised Premises'
2. **TO HOLD UNTO** the Sub-Lessee for a term of ten (10) years commencing on the 1st day of February 2021 and to expire on the 31st day of January 2031, subject to any proviso for determination contained in this Sub-Lease.
3. **PAYING** the sum of ₦3, 000, 000.00 (three million naira only) per annum, (the receipt of which the Sub-Lessor hereby acknowledges) as rent for the term granted, payable in advance the first of such payment to be made on the 2nd day of February 2021.

COVENANTS:

(Include all the covenants and provisos here)

IN WITNESS OF WHICH the parties have executed this Deed in the manner below the day and year first above written.

SIGNED, SEALED AND DELIVERED By the Lessor

……..

Mrs. Aduke Thomas

{The contents of the foregoing having been first read and explained to her from English Language to Yoruba Language by me Felicia Olutope of …… when she appeared perfectly to understood same before making her thumb impression above.}

BEFORE ME

…….

MAGISTRATE/NOTARY PUBLIC/COMMISSIONER FOR OATHS

The Common Seal of Pages And Print Limited is affixed on this Deed and duly delivered in the Presence of:

DIRECTOR SECRETARY

FRANKING

SAMPLE DRAFT OF LEGAL MORTGAGE (Only the introductory and concluding parts are asked in the exam)

THIS DEED OF MORTGAGE is made the…….day of…….2022

BETWEEN

Chief Nweche Wariwari of No.10 Jakonde Street, Ibadan, Oyo State ("the mortgagor") of the first part

AND

Freedom Bank PLC, a company registered under the Part A of the Companies and Allied Matters Act, 2020 whose registered address is No.4 Osogbo Street, War College, Abuja F.C.T. ("the mortgagee") of the other part.

THIS DEED RECITES AS FOLLOWS:

1. The mortgagor is the owner of a right of occupancy covered by Certifcate of Occupancy dated 26th October 1992 and registered as 12/10/92 in respect of the property situate at No. 41 IBB Way Suleja, Niger State (Herein after referred to as the Mortgaged property).
2. The mortgagor has agreed with the mortgagee to assign absolute interest of the mortgagor over the mortgaged property to the mortgagee as security for a loan of N100,000,000.00 (One Hundred Million Naira) only subject to cesser upon redemption.

NOW THIS DEED WITNESSES AS FOLLOWS:

In consideration of the sum of N100,000,000.00 (One Hundred Million Naira) now paid by the Mortgagee to the Mortgagor, the receipt of which the Mortgagor acknowledges, the Mortgagor as BENEFICIAL OWNER hereby conveys and grants unto the Mortgagee ALL THAT property lying and situate at No. 41, IBB Way, Suleja, Niger State covered by Certificate of

Occupancy No. 12/10/92 with the payment of the mortgage sum on the 30th day of June, 2024, of the principal sum of N100,000,000.00 with interest at the rate of 15% per annum, but if paid punctually, it shall be 8% per annum.

The mortgagor further covenants with the mortgagee as follows:

a. To repay the mortgage sum with interest on the fixed date.

The mortgagee further covenants with the mortgagor as follows:

a. To insure the mortgaged property with KINGCHIME Insurance to the tune of N50,000,000 (Fifty Million Naira) at the expense of the mortgagor.

IN WITNESS OF WHICH this deed is executed in the manner below the day and the year first above mentioned

SIGNED SEALED AND DELIVERED by the within named mortgagee

……

(Director)

In the presence of:

Name:

Address:

Signature:

Date:

(In the Exam you will not be required you to draft it in full but learn the introductory and concluding parts respectively).

SAMPLE DRAFT OF WILL (learn the commencement, revocation, charging clause, execution & attestation)

THIS IS THE LAST WILL of me, Mrs. Aduke Thomas of 12 Aduke Street Ikeja Lagos (‘**The Testator’)** made on the 14 day of March 2020.

1. **I REVOKE** all previous testamentary dispositions made by me, and **I DECLARE** this Will to be my last Will.
2. **I APPOINT** Dr. Lom Thomas of 10 Ikorodu Road Surulere Lagos, Mrs. Denba Gonjuwa of No. 10 Kent Street Ikoyi Lagos State and Mrs. Comfort Musakari of 67 Dempe Street Mushin Lagos State to be the Executors (Trustees) of my Will.
3. **I DECLARE** that my Executors or any Professional or person engaged in proving my Will and administering the estate may charge reasonable fees for their services
4. **I GIVE** my……
5. **I GIVE** the remainder of my estate to my son Dr. Lom Thomas.

IN WITNESS OF WHICH, I Mrs. Aduke Thomas (‘The Testator’) have executed this Will in the manner below the day and year first above written.

SIGNED by the Testator in the presence of us both and at the same time we at her presence subscribed our names and signature as witnesses.

Mrs. Aduke Thomas …….

Name: Kehinde Dukeson (**Witness**)

Address:

Occupation: Civil Servant Date:

Signature:

Name: Ewahin Dillyton (**Witness**)

Address:

Occupation: Legal Practitioner

Date:

Signature:

NOTE: you may be asked to write some letters to Clients in Property Law.

Page 13: [1] Commented [MOU8] Microsoft Office User 28/08/2022 14:29:00

POSER:

ADVISE PARTIES ON NEED OF PERFECTION OF A TRANSACTION

Consent-

STATUTORILY required by S. 21 & 22 LUA, no alienation of legal interest without consent of the Governor or approval of LG council, SAVANAH BANK V. AJILO)

Stamping – REQUIRED, OTHERWISE

1. **not accepted for registration S. 77 LRL**
2. **Deed is inadmissible in court to prove title until stamping fee and penalty is paid s.23**

Registration- REQUIRED, OTHERWISE

1. **Interest of purchaser remains equitable**
2. **Deed is inadmissible in court to prove title (REMEMBER Benjamin v. Kalio; Abdullahi v. Adetutu**

DEED OF ASSIGNMENT – OYO state Procedure for consent

1. consent of the Governor - STATUTORILY THE VENDOR, S. 21 & 22 LUA, SAVANAH BANK V. AJILO
2. stamping- After Governor's consent, stamp duties charged must be paid, consent first since if consent is not granted stamp duties paid may not be recovered
3. REGISTRATION- LIRL of different states, register within 60days of execution.

Page 13: [2] Commented [MOU9] Microsoft Office User 28/08/2022 15:18:00

IMPLICATION OF NON-REGISTRATION OF A SALE TRANSACTION UNDER LRL

THE LAND REGISTRATION LAW IS APPLICABLE IN THE WHOLE OF LAGOS STATE IRRESPECTIVE OF THE AREA WHICH PROPERTY IS LOCATED (**1 MARK**)

1. **Un**Registered Document shall NOT be admissible to prove that the interest/transaction s. 6,24, 30, 108, & 109(2) LRL
2. Document not registered shall not be admissible in court as affecting the land to which it relates s. 30 LRL

3. Late registration attracts fine s. 28 LRL

4. Registration governs priority s. 29 LRL

5. Transaction remains inchoate, i.e. no interest is transferred/created unless and until doc is registered

6. Access to file, register, or CTC of registered doc, free of charge on subpoena or order of court

Page 55: [3] Commented [MOU21] Microsoft Office User 30/07/2022 13:46:00

STEPS TO OBTAIN CONSENT IN ABUJA

1) **Written application to the FCT minister stating the consideration of the transaction**

2) **Inspection and valuation report conducted by relevant department on whether consent should be granted or not**

3) **Payment of consent fee and other outstanding rents and charges on the property e.g. ground rent**

4) **Evidence of tax payment for 3 years preceding the time of application**

STEPS TO OBTAIN CONSENT IN OGUN STATE

1) **Application,**

2) **CTC of docs attached,**

3) **evidence of payment of ground rent up to date**

4) **evidence of payment of current tenement rate if property is developed,**

5) **3 years Tax of assignor and Assignee,**

6) **state development levy receipt for 4 years,**

7) **6 copies of Deeds of assignment,**

8) **4 passports,**

9) **PAYE for company staff (companies in the state),**

10) **TCC of 2 directors for companies outside the state**

STEPS TO OBTAIN CONSENT IN KADUNA STATE

1) **Complete Form L 6,**

2) **documents of transaction,**

3) **evidence of payment of processing fees,**

4) **evidence of payment of Tax,**

5) **valuation of the capital value of the property (usually assessed at 3%)**

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Circumstances Under Which A Gift May Suffer Ademption

1. **By Operation of Law:** Where the property is compulsorily acquired (e.g. by the government pursuant to the land use Act) **Re-Galway.**

The time of making the will and the time of acquisition determines whether the beneficiary gets the compensation or not.:

1. Where the will is made **BEFORE THE ACQUISITION**, the **gift adeems** and the **beneficiary is not entitled to the compensation.**

2. Where the will is made **AFTER ACQUISITION**, the **gift will not adeem** and the **beneficiary is entitled.**

2. **Where the property is either lost or sold by the testator before his death:** See **Re Dowsett**.

Where the property is extinguished or its natural character is substantially altered by the testator before his death.

NOTE: a change in name or form of a gift may necessarily make it liable to ademption.

NOTE: **The creation of a mortgage by the testator does not lead to ademption. The beneficiary takes the equity of redemption and thus becomes entitled to redeem the mortgage like the testator who had created the mortgage.**

3. **Option to Purchase Property Given Out in A Will:** If the property given out in a will is subject to an option to purchase and the option is

exercised by the third party, the gift will adeem once the third party who has been granted the option exercise the option.

4. **Ademption of Property in a Will Which is Subject to a Contract of Sale**: Generally, a contract of sale of land is enforceable against the Personal Representatives of the deceased party to the contract. **Yusuff v. Dada**. Whether or not the gift of land that is subject to contract will adeem or not will depend on the time the contract of sale was entered into by the testator.

5. **Where the Contract was entered into after the Land has been Devised in the Will:** The beneficiary will inherit the land until the contract is concluded by the PR of the deceased. Once the contract is concluded, the gift will adeemed and the beneficiary is not entitled to the proceeds of sale.

6. **Where the Contract of Sale of the Land Predate the Will:** The beneficiary is not entitled to property. The beneficiary is entitled to the proceeds of sale by **doctrine of conversion.** **Reasons**: It will be assumed that the testator intended the beneficiary to take the proceeds of sale: Hence he gave out the property even after entering into valid contract for sale of the property.